



Trade Policy Review Body

TRADE POLICY REVIEW

REPORT BY THE SECRETARIAT

SIERRA LEONE

This report, prepared for the third Trade Policy Review of Sierra Leone, has been drawn up by the WTO Secretariat on its own responsibility. The Secretariat has, as required by the Agreement establishing the Trade Policy Review Mechanism (Annex 3 of the Marrakesh Agreement Establishing the World Trade Organization), sought clarification from Sierra Leone on its trade policies and practices.

Any technical questions arising from this report may be addressed to Mr Michael Kolie (022 739 5931), Mr Arne Klau (022 739 5706) and Ms Gifty Akua Botwe.

Document [WT/TPR/G/470](#) contains the policy statement submitted by Sierra Leone.

CONTENTS

SUMMARY	5
1 ECONOMIC ENVIRONMENT	9
1.1 Main features of the economy	9
1.2 Recent economic developments	11
1.3 Developments in trade and investment	13
1.3.1 Trends and patterns in merchandise and services trade	13
1.3.2 Trends and patterns in FDI	16
2 TRADE AND INVESTMENT REGIMES	17
2.1 General framework	17
2.2 Trade policy formulation and objectives	18
2.3 Trade agreements and arrangements	19
2.3.1 WTO	19
2.3.2 Regional and preferential agreements	19
2.3.2.1 African Union (AU) and the African Continental Free Trade Area (AfCFTA)	19
2.3.2.2 Economic Community of West Africa States (ECOWAS)	20
2.3.2.3 Other regional trade agreements	20
2.3.3 Other agreements and arrangements	21
2.4 Investment regime	21
2.5 Regulatory framework	23
2.6 Investment cooperation	23
3 TRADE POLICIES AND PRACTICES BY MEASURE	24
3.1 Measures directly affecting imports	24
3.1.1 Customs procedures, valuation, and requirements	24
3.1.2 Rules of origin	25
3.1.3 Tariffs	26
3.1.3.1 Applied MFN tariff	26
3.1.3.2 Bound tariff and other duties and charges	27
3.1.3.3 Preferential tariffs	28
3.1.3.4 Duty concessions and exemptions	28
3.1.4 Other charges affecting imports	29
3.1.4.1 Goods and Services Tax	29
3.1.4.2 Excise duties	29
3.1.4.3 Other duties and charges	29
3.1.5 Import prohibitions, restrictions, and licensing	29
3.1.6 Anti-dumping, countervailing, and safeguard measures	30
3.2 Measures directly affecting exports	30
3.2.1 Customs procedures and requirements	30
3.2.2 Taxes, charges, and levies	31
3.2.3 Export prohibitions, restrictions, and licensing	31

3.2.4	Export support and promotion	31
3.2.5	Export finance, insurance, and guarantees	32
3.3	Measures affecting production and trade.....	32
3.3.1	Incentives	32
3.3.2	Standards and other technical requirements.....	33
3.3.3	Marking, labelling, and packaging	34
3.3.4	Sanitary and phytosanitary requirements.....	34
3.3.5	Competition policy and price controls	35
3.3.6	State trading and state-owned enterprises	36
3.3.7	Government procurement.....	37
3.3.8	Intellectual property rights.....	40
4	TRADE POLICIES BY SECTOR.....	42
4.1	Agriculture, forestry, and fisheries	42
4.1.1	Overview	42
4.1.2	Policy developments.....	43
4.1.3	Forestry	44
4.1.4	Fisheries.....	45
4.2	Mining and energy	47
4.2.1	Mining.....	47
4.2.2	Energy	50
4.2.2.1	Overview	50
4.2.2.2	Petroleum	51
4.2.2.3	Electricity	52
4.3	Manufacturing.....	53
4.4	Services.....	53
4.4.1	Financial services.....	53
4.4.1.1	Banking.....	54
4.4.1.2	Insurance	56
4.4.2	Telecommunications.....	56
4.4.3	Transport	58
4.4.3.1	Overview	58
4.4.3.2	Land transport.....	58
4.4.3.3	Air transport	58
4.4.3.4	Maritime transport	59
4.4.4	Tourism.....	60
5	APPENDIX TABLES	62

CHARTS

Chart 1.1	Merchandise trade by product, 2017-23	14
Chart 1.2	Merchandise trade by partner, 2017-23	15

Chart 3.1 Distribution of MFN applied tariff rates, 2016 and 2024	27
Chart 3.2 Value of government procurement, 2018-21.....	38
Chart 3.3 Total trademark applications (direct and via the Madrid System), 2018-23	41

TABLES

Table 1.1 Basic economic and social indicators, 2017-23	9
Table 1.2 Balance of payments, 2017-23	12
Table 1.3 Trade in services, 2017-23	16
Table 2.1 Key policy prescriptions in the Local Content Policy.....	22
Table 3.1 Structure of MFN tariff in Sierra Leone, 2016 and 2024	26
Table 3.2 State involvement in enterprises, 2024	36
Table 3.3 Sierra Leone's main IPR legislation	40
Table 3.4 Sierra Leone's participation in WIPO treaties.....	40
Table 4.1 Production of main agricultural items, 2018-22	42
Table 4.2 Production figures of the main mineral products since 2017	47
Table 4.3 Petroleum rights, related fees, and conditions.....	51
Table 4.4 Air tourist arrivals by region excluding diaspora, 2018-22.....	61
Table 4.5 Air tourist arrivals by purpose of visit including diaspora, 2018-22.....	61

APPENDIX TABLES

Table A1.1 Merchandise exports by MTN category, 2017-23.....	62
Table A1.2 Merchandise imports by MTN category, 2017-23	63
Table A1.3 Merchandise exports by destination, 2017-23	64
Table A1.4 Merchandise imports by origin, 2017-23.....	65
Table A3.1 Sierra Leone's main investment incentives, 2024.....	66
Table A3.2 Data on the use of each procurement method on an annual basis, 2018-21	68

SUMMARY

1. Sierra Leone is rich in natural resources, including iron ore, gold, rutile, and bauxite, along with fisheries, forests, and fertile agricultural land. However, due to gaps in macroeconomic management and other regulatory issues, compounded by external shocks, during the review period, the economy struggled to pick up significantly and improve the country's living standards. GDP grew moderately from 2017 to 2019, peaking at a 5.3% growth rate in 2019. However, COVID-19 caused a 2% contraction in 2020. Growth rebounded to 4.1% in 2021 but slowed in 2022–23 due to rising energy and input costs associated with the war in Ukraine.

2. Slow economic progress, evidenced by low per capita income (around USD 800), weak human capital, and a narrow-based economy, has kept Sierra Leone classified as a least developed country. Its role in global value chains remains minimal, mainly supplying raw commodities to China, the European Union, and India (90% of exports in 2023). Intra-regional exports dropped from 5% in 2017 to under 1% in 2023, indicating limited regional integration. Consumer goods, including food, electronics, and transport equipment, dominate imports.

3. While some social indicators have improved in recent years, Sierra Leone's slow economic transformation has kept the poverty situation acute. Between 1990 and 2022, life expectancy rose by 16.4 years (to 60.4), schooling increased by 4.4 years (to 9), and the Human Development Index grew by 45.9%, yet the country remains in the UNDP's "Low Human Development" category.

4. Sierra Leone's macroeconomic performance featured persistently high inflation during the review period, with double-digit Consumer Price Index rates. Inflation fell from 18.9% in 2017 to 11.2% in 2020, driven by the Central Bank's restrictive monetary policy. However, food and fuel price surges following the Ukraine war, along with a currency depreciation after the leone's redenomination, pushed inflation to 47.6% in 2023.

5. Monetary policy effectiveness remains limited due to inefficiencies, including the Central Bank's lack of full independence, as it continues financing government deficits (up to 5% of prior-year tax revenue). Loose policies and inflation volatility erode investor confidence. To address these issues, reforms are underway to strengthen Central Bank autonomy and restrict the Central Bank's lending to the Government.

6. Fiscal mismanagement, compounded by various shocks, has resulted in persistent public finance deficits throughout the review period, with a notable peak of 11.1% of GDP in 2017. The total debt-to-GDP ratio also increased during this time; however, in 2022, the IMF considered Sierra Leone's debt levels sustainable, albeit with a high risk of debt distress.

7. Sierra Leone's current account, traditionally in deficit, showed significant improvement during the review period. After experiencing double-digit deficits (including 19.4% of GDP in 2019), the deficit narrowed to 3.8% of GDP in 2022, reflecting a recovery in mineral exports. The trade deficit remains the primary driver of the current account imbalance. Merchandise trade as a percentage of GDP rose from 53% in 2017 to 77.6% in 2023, whereas services trade fluctuated between 12.6% and 10.3% of GDP over the same period. The country's merchandise exports primarily consist of mineral and agricultural products. The relative share of minerals further increased during the review period, leading to the worsening of Sierra Leone's export concentration index between 2020 and 2023 from 0.226 to 0.386. Imports are dominated by food products, electrical machinery, electronic equipment, and transport equipment. In terms of services, key sectors include transport, telecommunications, computer and information services, and travel.

8. To enhance the business climate, Sierra Leone joined the New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards. In 2022, it adopted a new Arbitration Act based on the UNCITRAL Model Law, governing both domestic and international arbitration.

9. Trade policy formulation and objectives saw renewed focus during the review period. The National Trade Strategy, adopted in 2020, aligns with the country's broader development strategies, aiming to drive economic growth and diversification through infrastructure development, support for women entrepreneurs, and enhanced competitiveness. It also seeks to reduce the current account deficit by promoting exports, with particular emphasis on leveraging preferential market access schemes with the European Union, the United States, and China, as well as free trade under

ECOWAS. Additionally, the strategy underscores the need for full implementation and capitalization of the African Continental Free Trade Area (AfCFTA), which Sierra Leone ratified in 2019.

10. Sierra Leone showed its commitment to the WTO during the review period. It participates in the Joint Initiative on Investment Facilitation for Development. In 2017, it formally accepted the Protocol amending the TRIPS Agreement, along with depositing its instrument of acceptance for the Trade Facilitation Agreement. In 2024, it ratified the Agreement on Fisheries Subsidies. However, its record regarding the notification of trade measures has remained inconsistent since 2017, with submissions limited to certain areas such as trade facilitation, export subsidies, and regional trade agreements.

11. The investment framework is largely liberal with minimal restrictions, particularly in small-scale mining and land ownership. Several measures have been introduced to streamline investment procedures. A key development was the establishment of the National Investment Board in 2022, designed to function as a one-stop shop for investment facilitation, coordination, and promotion.

12. While the overall structure of investment incentives has remained largely unchanged, reforms were undertaken to enhance transparency and discipline in granting tax incentives. These incentives range from general and sector-specific tax concessions to customs duty exemptions and non-tax benefits, primarily aimed at fostering development projects and encouraging new enterprises. Eligibility for these incentives is subject to local-content requirements outlined in the country's Local Content Policy.

13. Despite these reforms, Sierra Leone continues to face challenges in attracting substantial investments that can drive economic growth and create quality jobs. One key constraint is the reluctance of financial institutions to extend credit to businesses. The authorities indicate that the weak insolvency and bankruptcy framework raises the risk for banks to resolve non-performing loans, which has led to limited credit availability and high borrowing costs.

14. A number of reforms have taken place in customs modernization. Sierra Leone has committed to implementing 82.8% of the provisions under the Trade Facilitation Agreement, within a period spanning from February 2018 to December 2027. It transitioned from ASYCUDA++ to ASYCUDA World in January 2019 and introduced the Electronic Single Window in 2020, streamlining procedures in import processes. A risk management system is in place to help Customs focus resources on high-risk consignments. However, a large proportion of shipments still undergo physical inspections, which undermines the intended efficiency of the risk management approach.

15. Additionally, the current destination inspection scheme aims to assess the quality, quantity, value, and customs classification for imported items. It has resulted in overlapping roles between Customs administration and the private company managing the process, leading to high fees that increase trading costs for businesses and discourage integration into regional and international value chains.

16. In 2022, Sierra Leone began implementing the ECOWAS Common External Tariff (CET) with five bands (0%, 5%, 10%, 20%, and 35%) simplifying its tariff structure compared to the previous system, which had seven rates. As of September 2024, the average unweighted applied MFN tariff rate stood at 11.8%, down from 12% in 2016. Agricultural products, as defined by the WTO, continue to face higher average tariff rates (14.4%), though this marks a decline from 15.6% in the previous review period. The average tariff for non-agricultural products fell slightly from 11.4% in 2016 to 11.3% in 2024.

17. Various duties and charges apply to imports, including a goods and services tax, excise duties, and other levies. However, the predictability of the tariff regime is undermined by frequent changes introduced through annual finance acts. Furthermore, a significant gap exists between applied tariffs and bound tariffs, with the latter averaging 47.5% and all tariff lines being bound.

18. Sierra Leone grants duty concessions and exemptions under economic incentive schemes, international agreements, special customs regimes, and bilateral agreements with certain mining companies. However, exemptions are also granted on a discretionary basis, which undermines transparency and further inflates fiscal expenditure. To address this issue, the Tax and Duty Exemption Act was adopted in 2023 to rationalize the process of granting duty and tax exemptions.

-
19. Import prohibitions and restrictions are in place, in accordance with international conventions such as CITES, the Stockholm Convention, and the Rotterdam Convention, with additional restrictions based on sanitary and phytosanitary (SPS) measures.
20. Sierra Leone has not established legislation or an institutional framework for anti-dumping, countervailing, or safeguard measures and has never implemented any such actions.
21. Exports are subject to various requirements and fees. Exporters are subject to an inspection fee amounting to 1% of the f.o.b. value of goods for quality assessments, even though additional inspections may be conducted upon arrival at the destination, adding to export costs and undermining competitiveness. Export taxes and charges also apply to coffee, cocoa, palm kernel oil, palm kernel cake, ginger, and piassava.
22. Export controls mainly consist of permit requirements for environmental reasons, covering trade in certain plants and charcoal. Exports of gold, diamonds, and selected agricultural products also require a permit.
23. Sierra Leone has 16 technical regulations in place, although none have been notified to the WTO. The country lacks essential laboratory facilities, limiting the authorities' ability to inspect imported goods against the adopted technical standards. In cases where quality concerns arise, samples may be sent to a foreign country for inspection.
24. Sierra Leone places significant emphasis on SPS regulations, primarily to enhance the quality and competitiveness of its agricultural sector, as well as to protect the health of consumers. Despite reforms during the review period, including the adoption of a Food and Feed Safety Act, some agricultural trade regulations remain outdated. The authorities have plans to further modernize the regulatory framework and strengthen relevant institutions. Harmonizing SPS regulations within ECOWAS is also a priority to promote regional trade.
25. Sierra Leone does not have a stand-alone competition law. Instead, the Ministry of Trade and Industry addresses anti-competitive business practices and works with the ECOWAS Regional Competition Authority to promote fair competition. A Consumer Protection Act was adopted in 2020, and a National Consumer Protection Commission was established to safeguard consumer rights and enforce fair market practices. While prices are primarily market-determined, the Government regulates prices for rice, fuel, and flour. Telecommunications, electricity, and water prices require regulatory approval.
26. The Government maintains significant involvement in economic activities through the presence of state-owned enterprises in almost all sectors. This has often led to inefficiencies. To address the issue, a State Ownership and Governance Policy for SOEs was adopted to promote competitive neutrality and reduce fiscal impact. No privatization has taken place during the review period.
27. New public procurement regulations were adopted in 2020. They aim to improve public procurement processes, including promoting electronic communication and environmental protection. However, their full implementation is still pending. Open bidding is the preferred procurement method, though some entities still attempt to bypass competitive methods. Sierra Leone is neither a member nor an observer of the WTO Agreement on Government Procurement.
28. The enforcement of intellectual property rights remains weak, with copyrights and trademarks being the most infringed forms of intellectual property.
29. Agriculture is the dominant economic sector, contributing two thirds to GDP and employing three quarters of the labour force. The authorities have conducted a value chain analysis for key products, including cocoa, oil palm, cassava, vegetables, rice, ginger, and poultry, with the aim of boosting productivity and promoting value addition. The Government's agricultural strategies aim at achieving self-sufficiency in staple foods, optimizing value chains for export-oriented crops, and encouraging climate-smart agricultural practices.

30. In the forestry sector, the Government has plans to promote carbon capture initiatives. The fisheries sector faces challenges in controlling overfishing and illegal fishing, but certain provisions of the 2018 Fisheries and Aquaculture Act address these issues, emphasizing international and regional cooperation, as well as monitoring and surveillance.

31. Despite Sierra Leone's abundant mineral resources, value addition remains limited due to related challenges, including unreliable energy supply. However, in recent years, investments have improved electricity access for businesses and households, which more than doubled from 16% in 2018 to 36% in 2023.

32. Sierra Leone's financial sector is dominated by commercial banks, which hold 85% of total assets. The state plays a significant role, owning two commercial banks that account for 30% of the sector's assets. Financial inclusion is low, with only about 29% of adults having an account with a formal financial institution or mobile money provider. A financial inclusion strategy is in place, focusing on women, youth, rural populations, and MSMEs.

33. In telecommunications, the Government aims to promote digital economy, particularly digital financial services, and e-commerce, to reduce transaction costs and stimulate economic growth. This is expected to be achieved through improved telecommunications infrastructure, skills development, governance, and cybersecurity. Mobile, fixed-line, and Internet services penetration saw growth during the review period.

34. The transport sector faces significant challenges, despite efforts by the Government to address infrastructural gaps through public-private partnerships (PPPs), particularly in road and airport construction. Tourism is seen as a key area for diversification, with the adoption of the first-ever National Strategic Tourism Plan in 2024. The Government is relying on PPPs to enhance the quality of tourism.

35. In summary, Sierra Leone's economy faced considerable challenges during the review period, especially due to the COVID-19 pandemic and to geopolitical tensions and their economic repercussions. Although mining has played a role in supporting the economy, it has not been sufficient to foster sustained growth, largely due to limited value addition activities. For the country to achieve meaningful economic transformation, the authorities must prioritize investments in human capital to drive productivity, improve the macroeconomic management framework, lower business costs through consistent trade facilitation reforms, and strategically promote the development of the digital economy and e-commerce. In addition, addressing energy costs and reliability, as well as utilizing PPPs for infrastructure development, is crucial for attracting foreign investments to ensure long-term economic progress.

1 ECONOMIC ENVIRONMENT

1.1 Main features of the economy

1.1. Sierra Leone is rich in natural resources, including fisheries, water, forests, and minerals.¹ Its deep-water ports and adjacent transport corridors have the potential to reduce trade costs and promote economic growth. However, despite these advantages, Sierra Leone is classified as a least developed country (LDC) due to structural challenges that impede its economic progress. These include infrastructure deficits such as inadequate affordable and reliable energy, weak human capital, and gaps in economic governance, particularly in macroeconomic management and sectoral regulation. The predominance of the informal sector also hinders economic performance, leaving the economy largely undiversified. Moreover, Sierra Leone is vulnerable to climate-related risks, which frequently disrupt economic activities. These risks include extreme weather events and declining agricultural land fertility, further complicating the country's development trajectory.

1.2. With an estimated population of approximately 8.8 million in 2023, up from 7.3 million in 2017 (Table 1.1), Sierra Leone has a relatively young population.

Table 1.1 Basic economic and social indicators, 2017-23

	2017	2018	2019	2020	2021	2022	2023
Before rebasing in 2018							
GDP at current market prices (SLE million)	27,465.4	32,401.6	36,730.9	39,938.1	44,360.0	57,519.0	81,168.0
GDP at current market prices (USD million)	3,719.4	4,085.1	4,076.6	4,062.9	4,249.3	4,094.6	3,809.8
Current GDP per capita (USD)	484.4	519.7	506.6	493.4	504.6	475.8	433.4
Real GDP growth (%)	3.8	3.5	5.3	-2.0	4.1	3.5	3.4
After rebasing in 2018							
GDP at current market prices (SLE million)	n.a.	50,687.2	58,778.9	65,748.4	74,800.7	100,007.1	136,604.1
GDP at current market prices (USD million)	n.a.	6,390.5	6,523.6	6,688.6	7,165.2	7,119.1	6,411.9
Current GDP per capita (USD)	n.a.	812.9	810.7	812.3	850.9	827.3	729.4
Real GDP growth (%)	n.a.	n.a.	5.5	-1.3	5.9	5.3	5.7
Population (million)	7.7	7.9	8.0	8.2	8.4	8.6	8.8
Iron ore (USD/dmtu)	71.8	69.8	93.8	108.9	161.7	121.3	120.6
National accounts (percentage change at 2006 constant prices)							
Real GDP	3.8	3.5	5.3	-2.0	4.1	3.5	3.4
Real GDP excluding iron ore	3.6	5.5	5.0	-1.8	3.6	2.7	3.0
Final consumption	-0.7	14.5	3.2	5.4	25.0	9.2	4.8
Household incl. non-profits serving household final consumption expenditure	-0.3	-6.8	27.7	2.7	19.6	7.4	3.9
Government final consumption	-4.8	250.2	-69.1	38.3	74.0	20.7	10.0
Capital formation	4.2	-32.9	1.0	-9.3	1.0	28.3	25.5
Gross fixed capital formation	4.3	-33.7	0.9	-9.6	0.1	29.3	26.9
Exports of goods and services	23.3	-34.9	-1.6	-9.8	1.9	51.4	16.3
Imports of goods and services	6.3	-11.5	-7.0	7.5	46.6	36.0	12.0
GDP by type of expenditure (% of GDP at current market prices)							
Final consumption	103.5	106.9	107.2	105.6	113.4	112.6	115.1
Household incl. non-profits serving household final consumption expenditure	93.0	97.7	98.9	97.6	106.0	100.9	106.2
Government final consumption	10.5	9.2	8.2	8.0	7.3	11.7	8.8
Capital formation	16.4	13.5	12.5	12.1	11.2	11.7	11.7
Gross fixed capital formation	15.9	13.1	12.1	11.7	10.8	11.3	11.5
Exports of goods and services	26.2	17.5	18.2	15.1	16.9	31.9	40.5
Imports of goods and services	48.3	39.2	37.9	36.5	41.5	56.2	67.3
GDP by economic activity (% of GDP at current basic prices)							
Agriculture, forestry and fishing	62.9	62.1	61.2	63.1	60.9	63.8	67.1
Crops	38.9	37.5	36.7	36.9	35.9	38.1	40.1
Livestock	2.7	2.4	3.2	3.3	3.5	3.5	3.7
Forestry	7.8	7.6	7.2	6.9	6.5	6.9	6.9
Fisheries	13.4	14.5	14.1	15.9	14.9	15.2	16.3
Mining and quarrying, of which:	2.1	2.3	2.8	2.4	3.2	4.0	5.6
Diamonds	0.7	1.2	1.2	1.1	1.2	1.0	1.4
Iron ore	0.8	0.0	0.3	0.0	0.7	1.5	2.6
Manufacturing and handicrafts	2.0	2.2	2.1	2.0	2.0	1.9	1.6
Electricity and water supply	0.2	0.2	0.2	0.3	0.3	0.3	0.2
Construction	1.0	0.8	0.8	0.9	0.8	0.8	0.7
Services, of which:	33.2	34.1	34.5	32.8	34.2	30.5	25.7
Wholesale and retail	9.5	9.2	8.8	5.8	5.9	5.8	5.8
Hotels and restaurants	0.4	0.3	0.4	0.3	0.3	0.4	0.4
Transport, storage and communication	3.7	3.4	3.3	3.2	3.0	2.7	2.3
Finance, insurance and real estate	4.4	4.9	4.4	4.2	4.2	3.4	2.7

¹ African Development Bank (2013), *Green Growth: Sierra Leone*, p. 7. Viewed at: https://www.afdb.org/sites/default/files/documents/projects-and-operations/sierra_leone_-_transitioning_towards_green_growth_-_stocktaking_and_the_way_forward_-_executive_summary.pdf.

	2017	2018	2019	2020	2021	2022	2023
Administration of public services	6.9	6.6	8.3	9.8	10.7	8.9	6.7
Health	2.8	2.9	2.5	3.0	4.0	3.7	2.9
Education	1.9	2.9	2.5	2.4	2.2	1.8	1.3
Less FISIM	1.5	1.7	1.5	1.5	1.4	1.2	0.9
Public finance (Central Government) (% of GDP)							
Total revenue including grants	12.4	15.5	17.8	16.3	20.2	18.9	17.2
Domestic revenue	11.9	13.5	14.8	13.8	15.6	12.3	12.4
Customs and excise	3.0	2.9	3.6	3.1	3.0	2.1	2.2
Income tax department	4.3	5.0	5.1	5.0	5.5	5.0	4.9
Goods and services tax	2.6	2.8	2.8	2.6	2.8	2.3	2.6
Miscellaneous	1.4	2.6	3.1	2.8	3.8	2.6	2.5
Mines department	0.5	0.7	0.6	0.6	1.2	0.7	0.8
Other departments	0.9	1.9	2.4	2.2	2.6	1.8	1.7
Road-user charges	0.5	0.3	0.3	0.3	0.5	0.3	0.3
Grants	0.5	2.0	3.0	2.5	4.7	6.6	5.2
Total expenditure and net lending	23.5	24.0	20.5	25.3	25.7	28.0	24.9
Contingency expenditure	0.0	0.0	0.0	-0.1	-0.2	-0.1	-0.1
Overall deficit/surplus on commitment basis including grants (+/-)	-11.1	-8.5	-2.7	-9.0	-5.6	-9.2	-7.5
Total debt (% of GDP)	58.4	65.5	69.2	75.8	78.0	89.9	78.5
External	41.8	41.2	45.0	50.2	51.3	62.0	52.9
Domestic	16.6	24.3	24.2	25.6	26.7	27.9	25.6
Money and interest rates							
CPI (percentage change, period average)	18.2	16.0	14.8	13.4	11.9	27.2	47.6
Savings rate (period average)	2.5	3.1	2.9	2.8	2.3	2.2	2.2
Prime lending rate (period average)	15.7	16.0	18.0	17.9	18.9	19.3	19.6
Central Bank policy rate (end of period)	14.5	16.5	16.5	14.0	14.3	17.0	22.3
External sector							
SLE/USD (period average)	7.4	7.9	9.0	9.8	10.4	14.0	21.3
Nominal effective exchange rate (percentage change; - depreciation)	-15.7	-8.3	-8.1	-7.7	-8.1	-16.8	-34.4
Real effective exchange rate (percentage change; - depreciation)	-13.9	-10.0	3.3	3.1	-0.5	-3.0	-8.1
Current account (% of GDP)	-18.3	-17.1	-19.4	-7.9	-9.3	-3.8	-8.4
Goods trade (% of GDP)	53.0	45.7	47.7	45.0	63.0	70.9	77.6
Services trade (% of GDP)	12.6	11.3	12.4	5.4	8.1	7.5	10.3
Total reserves (USD million, end of period)	549.1	501.2	530.1	707.7	945.9	624.5	495.7
In months of imports of goods and services	3.9	3.6	3.3	5.9	5.7	3.6	2.8
Remittance inflows (USD million)	63.6	73.2	177.5	177.0	232.4	321.6	321.6
FDI inward flow (USD million)	413.7	250.5	342.4	172.7	212.3	186.2	263.0
% of GDP	11.1	6.1	8.4	4.3	5.0	4.5	6.9
FDI inward stock (USD million)	1,498.9	1,716.7	2,084.4	2,219.5	2,437.8	2,687.8	2,950.7
% of GDP	40.3	42.0	51.1	54.6	57.4	65.6	77.5

n.a. Not applicable.

Note: Provisional for 2023 GDP data.

Source: IMF Data. Viewed at: <https://data.imf.org/>; World Bank, Databank. Viewed at: <https://databank.worldbank.org/home>; UNCTADstat, Data Centre. Viewed at: <https://unctadstat.unctad.org/datacentre/>.

1.3. According to the World Bank, the poverty rate in Sierra Leone, measured by the USD 1.90 poverty line (2011 PPP), was estimated at 43% of the population in 2018 based on data from the Sierra Leone Integrated Household Survey (SLIHS). This marks a significant decrease from 54.7% in 2011. However, the Gini coefficient rose from 0.33 in 2011 to 0.36 in 2018 (latest available data), indicating widening inequality.²

1.4. Despite improvements over the past two decades, overall human development in Sierra Leone remains persistently low. According to the UNDP, between 1990 and 2022, the country's life expectancy at birth increased by 16.4 years (to 60.4 years), expected years of schooling rose by 4.4 years (to 9 years), and mean years of schooling improved by 1.6 years (to 3.5 years). Although Sierra Leone's Human Development Index (HDI) value increased by 45.9% during this period, rising from 0.314 to 0.458, the country remains in the "Low Human Development" category.³

² World Bank (2020), *Sierra Leone: Poverty and Equity Brief*. Viewed at: https://databankfiles.worldbank.org/public/ddpext_download/poverty/987B9C90-CB9F-4D93-AE8C-750588BF00QA/SM2020/Global_POVEQ_SLE.pdf.

³ UNDP, *Sierra Leone: Trends in Sierra Leone's HDI 1990–2022*. Viewed at: <https://hdr.undp.org/data-center/specific-country-data#/countries/SLE>.

1.5. The sectoral distribution of GDP in Sierra Leone continues to be dominated by agriculture, accounting for approximately two thirds of total output. This share increased during the review period, partly due to the declining contribution of the mining industry to the country's domestic output. Crop production and fisheries are the main subsectors within agriculture (Table 1.1). Services, particularly wholesale and retail trade, along with financial intermediation, remain the second-largest sector of the economy.

1.2 Recent economic developments

1.6. Sierra Leone experienced steady economic growth from 2017 to 2019, driven by the resumption of iron ore production and recovery in the agriculture, construction, tourism, transport, and communications sectors. However, the COVID-19 pandemic led to a 2% contraction in 2020, disrupting global demand for Sierra Leonean commodities and stalling foreign investment. Tourism and hospitality were particularly affected. The Government's Quick Action Economic Response Programme (QAERP), alongside sound macroeconomic policies, helped mitigate the impact.

1.7. Growth rebounded to 4.1% in 2021, as the mining sector recovered, particularly in iron ore production. However, the war in Ukraine triggered increases in energy and agricultural input prices in 2022-23, affecting further recovery.

1.8. No noticeable progress was reported with respect to the agreement establishing the West African Monetary Zone (WAMZ), a monetary union to which Sierra Leone is party with 5 of the 16 ECOWAS members (the Gambia, Ghana, Guinea, Liberia, and Nigeria). As indicated during the previous Review, the launch of a single currency has been delayed many times.

1.9. Monetary policy in Sierra Leone falls under the responsibility of the Bank of Sierra Leone (BSL), whose mission includes managing the national currency, the new leone (SLE), as well as formulating and implementing monetary policy. The primary aim of monetary policy is to achieve and maintain price stability.

1.10. During the review period, Sierra Leone remained a high-inflation country, with Consumer Price Index (CPI) rates consistently in double digits each year (Table 1.1). The ongoing rise in CPI was primarily driven by high prices of imported food and inputs, exchange rate depreciation, and the subsequent pass-through to domestic prices. While inflation rates showed a decreasing trend from 2017 to 2021, they surged in 2022 and 2023, largely due to spikes in food and fuel prices following the Ukraine war and the depreciation of the leone that followed its redenomination.

1.11. On 1 July 2022, Sierra Leone's national currency, the leone (SLL), was redenominated by removing three zeros. The new leone (SLE) was introduced alongside the old one, with both being accepted as legal tender during an initial six-month transition period. According to the IMF, the redenomination announcement in August 2021 heightened uncertainty and speculation, exerting downward pressure on the exchange rate and raising import costs.⁴ Additionally, the depreciation has been partly attributed to exporters' non-compliance with repatriation requirements. The authorities note that the Finance Act, 2023 introduced stricter control measures to ensure the effective repatriation of export proceeds.

1.12. Notably, the inflationary uptick occurred despite the BSL's recent tightening of monetary policy. The Central Bank raised its policy rate from 14.25% in December 2021 to 18.25% in December 2022 and further to 22.25% in December 2023.

1.13. Efforts to achieve monetary policy objectives, particularly in controlling inflation, have been hampered by inefficiencies in the monetary policy framework, largely due to obstacles in the transmission channels. The IMF highlights that the significant disparity between domestic interest rates – ranging from 2% for deposits to 23% for 1-year Treasury bills – suggests potential inefficiencies in the system. One possible reason for weak monetary transmission is the Central Bank's pursuit of competing goals, such as managing inflation while also addressing the Government's budgetary needs. It is noteworthy that the BSL is permitted to address the Central Government's fiscal needs by financing deficits up to 5% of the previous year's tax revenue. Fiscal

⁴ IMF (2022), Sierra Leone: Staff Report for the 2022 Article IV Consultation, IMF Country Report No. 22/259. Viewed at: <https://www.imf.org/en/Publications/CR/Issues/2022/07/29/Sierra-Leone-2022-Article-IV-Consultation-and-Fifth-Review-under-the-Extended-Credit-521569>.

dominance, especially in the context of tight liquidity within the banking system, further undermines the Central Bank's ability to effectively implement monetary policy and control inflation.⁵

1.14. High and volatile inflation, coupled with a depreciating domestic currency, risks distorting market signals, eroding price competitiveness, weakening investor confidence, and undermining the Government's efforts to promote value addition in Sierra Leone for swift integration into global value chains. Additionally, the authorities acknowledge that rising global inflationary pressures and their spillover into domestic inflation present significant challenges to poverty alleviation efforts.⁶

1.15. The authorities recognize the importance of price stability for economic diversification. The Bank of Sierra Leone Act, adopted in June 2019, seeks to improve the Central Bank's policy effectiveness. This Act includes provisions that safeguard the personal autonomy of the Governor, deputy governors, and directors, as well as enhanced restrictions on credit extended to the Government.

1.16. The public finance situation was challenging throughout much of the review period. Tight fiscal space, compounded by successive external shocks, weaknesses in budget controls, and the legacy of past fiscal mismanagement, resulted in significant fiscal overruns, particularly in 2017, when the overall deficit reached 11.1% of GDP. Recent expenditure pressures have arisen from measures to manage a third wave of COVID-19, salary increases for teachers, rising costs for goods and services due to inflation, and higher energy subsidies, including transfers to the Electricity Distribution and Supply Authority. Additionally, Sierra Leone has accumulated a substantial stock of domestic expenditure arrears, which may undermine business confidence in the Government.

1.17. A notable deficit reduction occurred in 2019, primarily driven by strong domestic revenue performance following the implementation of the Treasury Single Account – a system that channels all government-generated revenues into a single central account. Despite this deficit reduction, the total debt-to-GDP ratio increased during the review period. However, the IMF indicated in 2022 that while the country's overall and external public debts are sustainable, they remain at a high risk of debt distress.⁷

1.18. Sierra Leone's current account has historically been in deficit, primarily due to a significant trade deficit (Table 1.2). During the review period, the current account deficit as a percentage of GDP eased considerably, declining from three consecutive years of double-digit deficits to 3.8% of GDP in 2022 (Table 1.1). The substantial deficit between 2017 and 2019 was largely attributed to declining export receipts following the closure of the country's only operational iron ore mine, which was only partially mitigated by increased diamond exports. However, the deficit gradually narrowed as iron ore production resumed and exports of diamonds, bauxite, and rutile picked up.

Table 1.2 Balance of payments, 2017-23

(USD million)

	2017	2018	2019	2020	2021	2022	2023
Current account	-679.6	-697.8	-792.3	-320.4	-395.5	-156.7	-320.4
Goods	-436.9	-551.0	-830.2	-612.5	-584.7	-594.5	-434.5
Credit	766.4	658.8	557.8	608.5	1,046.6	1,154.4	1,261.3
General merchandise: export	761.4	653.7	555.2	604.2	1,039.3	1,148.1	1,250.9
Non-monetary gold: export	5.0	5.1	2.6	4.3	7.3	6.3	10.3
Debit	1,203.3	1,209.8	1,388.0	1,221.0	1,631.3	1,748.8	1,695.8
General merchandise: import	1,203.3	1,209.8	1,388.0	1,221.0	1,631.3	1,748.8	1,695.8
Non-monetary gold: import	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Services	-313.5	-304.8	-355.4	-112.0	-207.1	-224.0	-306.0
Credit	77.5	79.2	74.6	53.0	67.7	40.6	42.7
Debit	391.0	384.0	430.0	165.0	274.8	264.6	348.6
Primary income	-99.7	-68.8	-69.7	-26.6	-70.1	-67.0	-54.0
Credit	13.6	18.5	19.8	15.2	10.1	3.2	0.0
Debit	113.2	87.3	89.6	41.8	80.2	70.2	54.0
Secondary income	170.5	226.9	463.1	430.7	466.5	728.7	474.1
Credit	177.5	234.0	467.9	439.1	472.2	736.9	476.2

⁵ IMF (2022), IMF Country Report No. 22/259.

⁶ BSL, *Annual Report 2022*. Viewed at: <https://bsl.gov.sl/ANNUAL%20REPORT%20AND%20STATEMENT%20OF%20ACCOUNT%202022.pdf>.

⁷ IMF (2022), IMF Country Report No. 22/259.

	2017	2018	2019	2020	2021	2022	2023
Debit	7.0	7.1	4.8	8.4	5.7	8.2	2.1
Capital account	147.7	66.3	81.5	84.8	105.7	106.0	345.9
Financial account, of which:	-602.0	-397.0	-616.1	-307.7	-322.9	-302.6	-348.4
Direct investment	-413.7	-250.4	-342.4	-172.7	-212.3	-294.0	-201.8
Net incurrence of liabilities	413.7	250.4	342.4	172.7	212.3	294.0	201.8
Other investment	-186.2	-142.4	-306.2	-285.7	-320.5	206.6	123.1
Net acquisition of financial assets	30.0	-114.3	-109.8	78.6	91.3	249.5	173.6
Net incurrence of liabilities	216.2	28.1	196.4	364.3	411.8	42.9	50.5
Reserve assets	-2.1	-4.2	32.5	150.7	210.0	-215.2	-269.6
Net errors and omissions	-70.1	234.5	94.7	-72.1	-33.1	-251.9	-373.8

Source: IMF Data. Viewed at: <https://data.imf.org/>.

1.19. Sierra Leone's worsening current account balance highlights the country's reliance on a narrow range of exports. While foreign direct investment (FDI) and external official loans have been instrumental in financing the current account deficit and maintaining relatively adequate reserve levels, implementing supply-side reforms is crucial for diversifying the economy, enhancing export competitiveness, and broadening Sierra Leone's foreign exchange earnings.

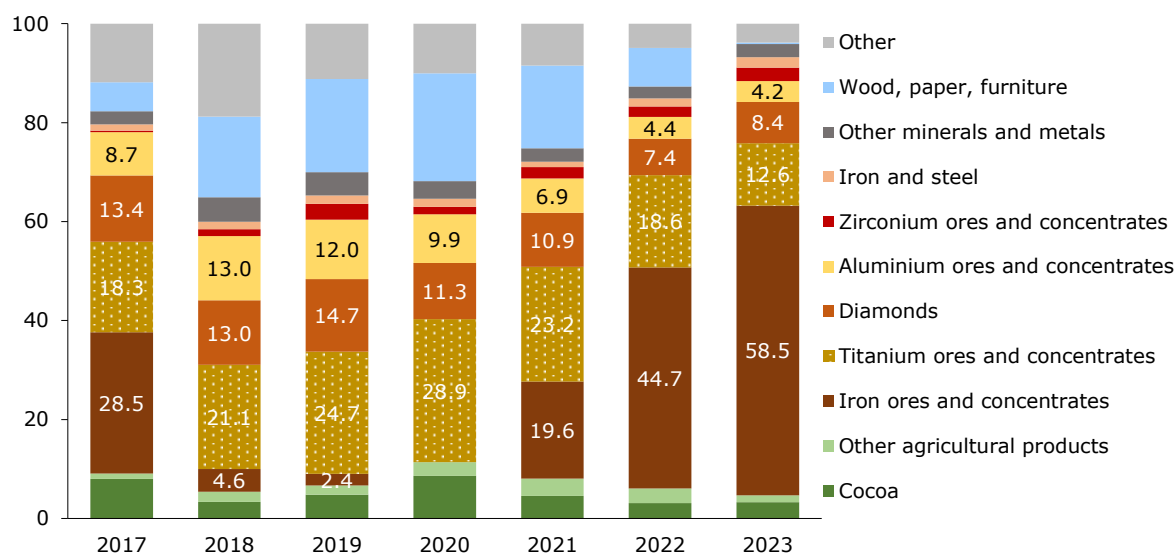
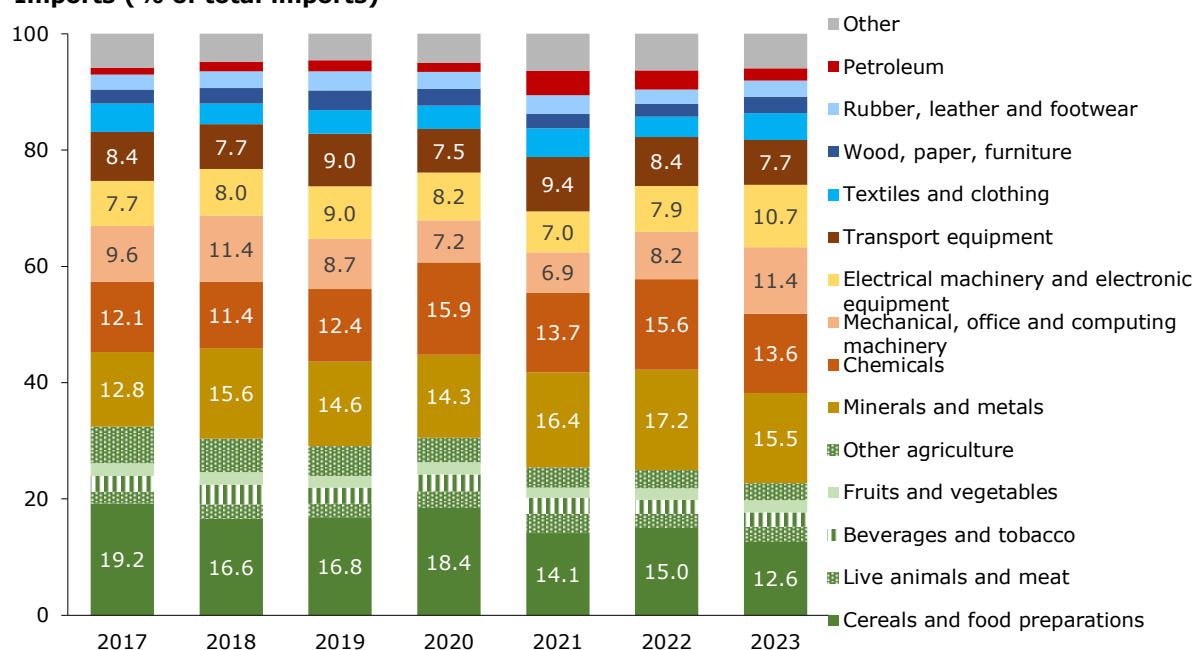
1.3 Developments in trade and investment

1.3.1 Trends and patterns in merchandise and services trade

1.20. The value of merchandise exports saw a significant decline between 2017 and 2020, primarily due to reduced activity in the mineral industries. However, a robust recovery began in 2021, and exports have continued to grow since then, with the 2023 export value being nearly double that of 2017 (Table A1.1). The export basket consists primarily of mineral products (e.g. iron ores, titanium ores, and diamonds) and agricultural products (e.g. coffee, tea, cocoa, and spices). Key shifts in export composition included increasing exports of iron ores and concentrates, alongside a decline in wood, paper, and furniture exports (Chart 1.1 and Table A1.1). Additionally, there was a decrease in the relative importance of cocoa over the period. The increase in the relative share of minerals exports led to a further concentration of total merchandise exports during the review period. This reflected in the increase of UNCTAD's export product concentration index from 0.226 in 2020 to 0.386 in 2023.⁸

1.21. The country's merchandise imports experienced a progressive increase from 2017 to 2023. Food products, electrical machinery and electronic equipment, and transport equipment were the main components. Minerals and metals, in particular cement and ceramics imports, were also significant (Table A1.2 and Chart 1.1).

⁸ UNCTADstat Data Centre (2024), Merchandise: product concentration and diversification indices of exports and imports, Annual. Viewed at: <https://unctadstat.unctad.org/datacentre/dataviewer/US.ConcentDiversIndices>.

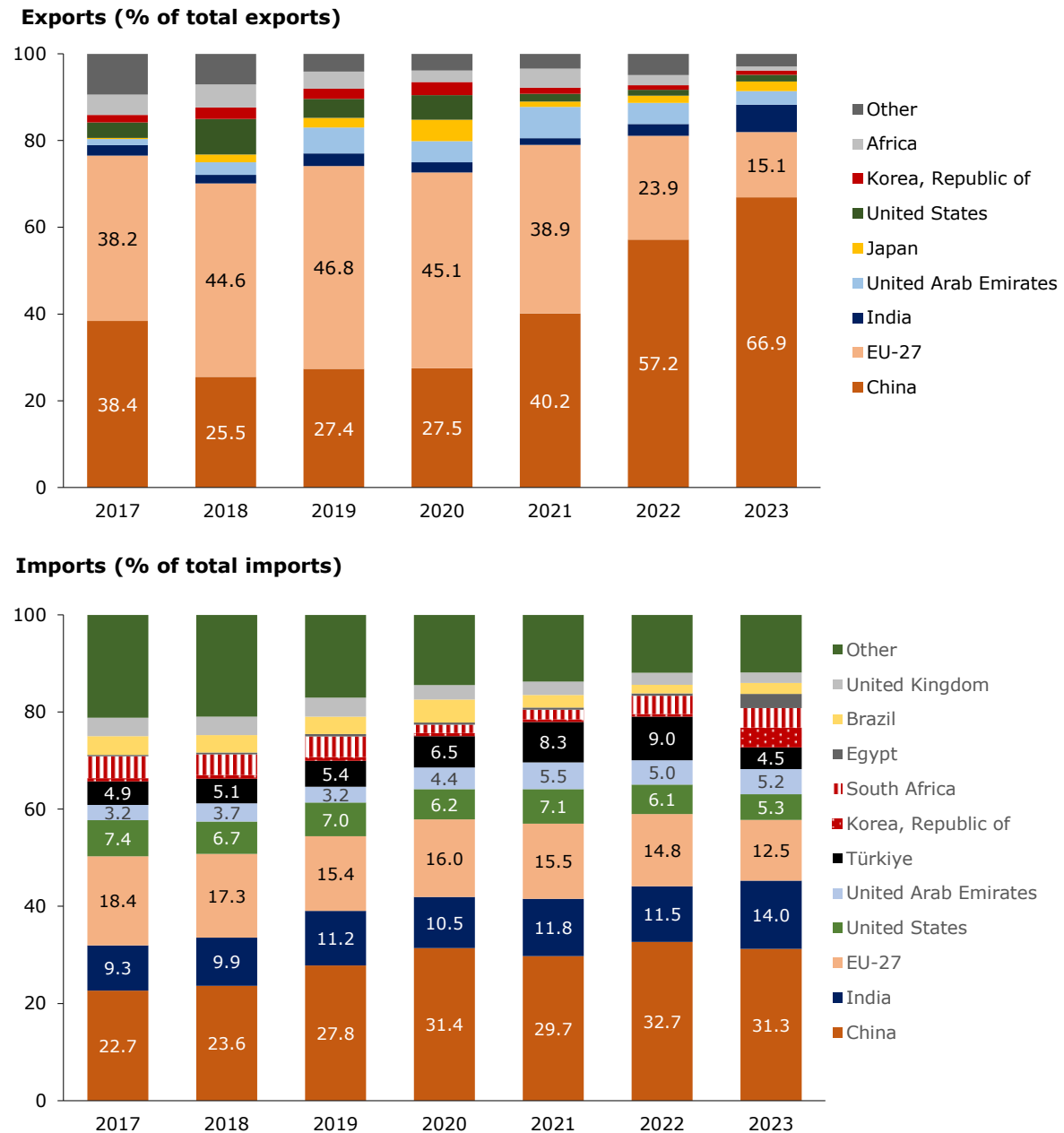
Chart 1.1 Merchandise trade by product, 2017-23**Exports (% of total exports)****Imports (% of total imports)**

Note: The data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total trade, including all relevant partners, regardless of data availability.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

1.22. Since 2021, China has surpassed the European Union to become Sierra Leone's primary export destination, representing more than half of the country's total export markets in 2022 and 2023. While the European Union and India are the other major export markets, Africa's significance as an export destination declined steadily over the review period, dropping from approximately 5% of total exports in 2017 and 2018 to less than 1% in 2023 (Chart 1.2).

1.23. Like with export destinations, China, the European Union, and India have emerged as the top three sources of Sierra Leone's merchandise imports (Table A1.3 and Chart 1.2).

Chart 1.2 Merchandise trade by partner, 2017-23

Note: The data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total trade, including all relevant partners, regardless of data availability.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

1.24. Since 2017, Sierra Leone has consistently been a net importer of services, though marked by annual fluctuations during the period under review. The trend peaked in 2019, followed by a gradual decline influenced by the COVID-19 pandemic and its ongoing repercussions. The negative balance can be attributed to transport, telecommunications, computer, and information services and government goods and services (Table 1.3). Sierra Leone was also a net exporter of travel during the review period.

Table 1.3 Trade in services, 2017-23

(USD million, % of total exports/imports)

	2017	2018	2019	2020	2021	2022	2023
Services	-313.5	-304.8	-355.4	-112.0	-207.1	-224.0	-306.0
Exports	77.5	79.2	74.6	53.0	67.7	40.6	42.7
	(% of total services exports)						
Maintenance and repair services n.i.e.	0.2	0.3	6.6	0.7	0.8	1.1	0.8
Transport	19.5	22.4	14.9	12.5	12.8	18.3	13.0
Travel	50.1	48.9	57.0	72.9	33.3	50.1	46.5
Business travel	20.9	23.0	26.9	24.7	28.7	43.1	39.4
Personal travel	29.3	25.9	30.1	48.2	4.5	6.9	7.1
Other services, of which:	30.1	28.4	21.5	13.8	53.2	30.6	39.7
Insurance and pension services	0.0	0.0	0.0	0.5	42.7	21.2	33.0
Financial services	7.4	7.4	5.6	7.4	5.5	7.5	6.3
Telecommunication, computer, and information services	8.6	5.3	1.3	5.9	5.0	1.9	0.4
Government goods and services n.i.e.	14.1	15.6	14.6	0.0	0.0	0.0	0.0
Imports	391.0	384.0	430.0	165.0	274.8	264.6	348.6
	(% of total services imports)						
Transport	38.9	39.3	39.6	66.9	64.6	76.3	53.7
Passenger	2.0	1.8	1.4	0.1	0.2	0.3	0.2
Freight	36.5	37.2	38.0	66.8	64.1	75.1	53.1
Other (including postal and courier)	0.4	0.4	0.3	0.0	0.3	0.9	0.4
Travel	13.7	14.1	17.9	7.3	4.5	6.8	3.9
Business travel	4.0	1.7	2.1	2.2	3.9	6.1	3.4
Personal travel	9.7	12.4	15.8	5.2	0.6	0.7	0.4
Other services, of which:	47.4	46.6	42.5	25.8	30.9	16.9	42.4
Insurance and pension services	8.5	9.1	9.5	17.0	17.0	2.0	6.5
Financial services	0.8	0.8	0.0	0.0	0.0	0.0	0.0
Charges for the use of intellectual property n.i.e.	0.4	0.2	0.2	0.8	0.4	0.7	0.3
Telecommunication, computer, and information services	5.7	3.8	1.5	3.6	2.1	2.4	17.2
Other business services	29.7	28.9	25.2	0.0	0.0	0.0	0.0
Personal, cultural, and recreational services	0.2	0.1	0.1	0.1	0.1	0.1	9.4
Government goods and services n.i.e.	2.1	3.5	6.1	4.3	11.3	11.7	8.9

Source: IMF Data. Viewed at: <https://data.imf.org/>.**1.3.2 Trends and patterns in FDI**

1.25. FDI inflows were volatile during the review period, showing a clear downward trend. Inflows nearly halved over the period, declining from USD 413.7 million in 2017 to USD 186.2 million in 2022, before rebounding to USD 263 million in 2023 (Table 1.1). The performance of FDI has been closely tied to business sentiment in the mining sector, which remains the primary destination for such investments. The recovery in FDI figures in 2023 reflects robust mining activities that resumed in 2021, coupled with proactive government policies. For instance, the establishment of the National Investment Board (NIB) in 2022 aimed to promote business investments in Sierra Leone. Additionally, the Government's diversification efforts, focused on agriculture, fisheries, and infrastructure, have started to attract investors to these sectors. The Government has also prioritized public-private partnerships for major infrastructure projects, particularly in energy, roads, ports, and telecommunications.

2 TRADE AND INVESTMENT REGIMES

2.1 General framework

2.1. During the review period, the structure of Sierra Leone's legal and institutional framework remained largely unchanged. The current Constitution, originally enacted in 1991, was amended twice in 2022, primarily to expand the membership of the Electoral Commission and the Political Parties Regulation Commission.¹ Sierra Leone is a democratic unitary State governed by a President as the Head of State, who is assisted by a Vice President, both of whom are elected by universal suffrage for a term of five years. Their current term started in 2023 and the next presidential elections (together with the parliamentary elections) are scheduled for 2028. The Constitution proclaims the separation of powers between the executive, legislative, and judicial branches. The structure, functions, and hierarchy of the Government have not undergone any significant change since 2017.

2.2. In addition to other responsibilities, the President appoints the Cabinet (composed of ministers) and judges, subject to parliamentary approval. The Cabinet, which includes the Vice President, assists the President in formulating and implementing policies.

2.3. The unicameral Parliament of Sierra Leone holds legislative power, comprising 149 seats with direct representation from the district block (majority) and indirect representation from paramount chiefs (minority). The Cabinet and members of Parliament introduce bills in the Parliament for enactment. Parliament, therefore, enacts bills with a two-thirds majority vote for presidential assent. Notably, laws take effect only upon publication in the Official Gazette.

2.4. The hierarchy of laws consists of the Constitution, laws, ordinances, orders, regulations, and customary laws.² Domestic laws take precedence over international laws until incorporated into the national legal system. In effect, international laws can only be applied by the national courts after they have been adopted into the national system.³

2.5. The Superior Court system in Sierra Leone consists of the Supreme Court, the Court of Appeal, and the High Court of Justice. The lower courts include the magistrate courts and local courts. Administratively, there are magistrate courts operating in each district, and each of the chiefdoms have at least one local court.

2.6. A fast-track commercial court is in place to resolve commercial disputes.

2.7. The authorities are working to enhance the efficiency and integrity of the judicial system through the Justice Sector Reform Strategy and Investment Policy (JSRSIP), which includes significant commercial law reforms, such as establishing an efficient alternative dispute resolution mechanism. During the review period, the 2024-2028 JSRSIP was adopted, replacing the 2015-2018 version.

2.8. In October 2020, Sierra Leone joined the New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards. In 2022, the English Arbitration Act, 1950, previously in force under Cap 25 of the Laws of Sierra Leone, 1960, was replaced by a new Arbitration Act based on the United Nations Convention on International Trade Law (UNCITRAL) Model Law.⁴ The new legislation regulates both domestic and international arbitrations within the country.⁵ It provides for the establishment of the Sierra Leone International Arbitration Centre (SLIAC), a fully independent

¹ Parliament of Sierra Leone, Constitution of Sierra Leone (Amendment) Act, 2022. Viewed at: [https://www.parliament.gov.sl/uploads/acts/THE%20CONSTITUTION%20OF%20SIERRA%20LEONE%20\(AMENDMENT\)%20ACT,%202022.pdf](https://www.parliament.gov.sl/uploads/acts/THE%20CONSTITUTION%20OF%20SIERRA%20LEONE%20(AMENDMENT)%20ACT,%202022.pdf) and <https://sierralii.gov.sl/akn/sl/act/2022/22/eng@2022-12-22>.

² Government of Sierra Leone (2019), *Sierra Leone: An Investor's Guide June 2019*. Viewed at: <https://www.sliepa.gov.sl/invest-in-sierra-leone/investors-guide/p/item/14594/sierra-leone-investors-guide>.

³ Investing in Sierra Leone, *Dispute Resolution*. Viewed at: <https://www.investinginsierraleone.com/dispute-resolution/>.

⁴ Parliament of Sierra Leone, Arbitration Act, 2022. Viewed at: <https://www.parliament.gov.sl/uploads/acts/THE%20ARBITRATION%20ACT,%202022.pdf>.

⁵ Investing in Sierra Leone, *Dispute Resolution*. Viewed at: <https://www.investinginsierraleone.com/dispute-resolution/>.

entity responsible for promoting, facilitating, and enhancing international commercial arbitration. It is expected to be Sierra Leone's first arbitral institution.

2.2 Trade policy formulation and objectives

2.9. The Ministry of Trade and Industry (MTI) remains responsible for formulating trade and trade-related policies in collaboration with other relevant ministries and agencies, including the Ministry of Finance and the Ministry of Agriculture, and the private sector.⁶

2.10. During the review period, Sierra Leone's Medium-Term National Development Plans (MTNDP) for 2019–2023 and 2024–2030 were the primary socio-economic development frameworks guiding the country's macroeconomic policies, including trade. Both plans aim to position Sierra Leone as a middle-income country by 2039, with food security as an immediate priority. The plans seek to achieve the national development objectives through a green and inclusive economic transformation, promoting diversification, stimulating growth and employment, and investing in critical infrastructure to support private sector expansion.⁷

2.11. The authorities note that Sierra Leone has been unable to fully capitalize on the numerous opportunities offered by its participation in various preferential trading arrangements, as its exports remain concentrated in raw and unprocessed metals and precious stones, leaving the economy largely undiversified. Furthermore, trade has played a marginal role in the country's broader national development planning. In response, and in alignment with its development strategies, the National Trade Strategy (NTS) was adopted in 2020, building on the MTNDP 2019–2023's policy focus areas of economic diversification, infrastructure development, competitiveness, and growth.⁸ It also aligns with the MTNDP's macroeconomic goal of reducing the current account deficit from 14% to 11.5% by promoting exports and encouraging diversification.

2.12. The Strategy emphasizes economic diversification, regional integration, competitiveness, and inclusivity, with a particular focus on empowering women. To achieve these objectives, the Strategy is built on four key pillars: (i) engaging with the African Continental Free Trade Area (AfCFTA); (ii) offering trade support services; (iii) promoting industrial growth; and (iv) strengthening industrial capacities for effective policy development and implementation. While the Strategy acknowledges Sierra Leone's existing but underutilized preferential market access to the European Union, the United States, China, the Mano River Union, and Economic Community of West Africa States (ECOWAS) members, it places special emphasis on actions needed to fully implement and capitalize on the AfCFTA. The Government plans to raise awareness and take concrete steps to leverage the opportunities provided by the AfCFTA. Notably, specific recommendations are included to benefit women entrepreneurs and women-owned businesses in Sierra Leone. In 2021, the Gender Equality and Women Empowerment Act was adopted. The authorities note that efforts are underway to enhance the NTS by incorporating key issues such as climate change, support for small and medium-sized enterprises, and the promotion of women's entrepreneurship.

2.13. As part of the implementation of the NTS, the 2011 National Industrial Policy of Sierra Leone was revised in 2022 to improve the efficiency of the industrial sector and enhance international competitiveness. The revised policy aims to create a competitive, sustainable industrial framework that raises living standards by 2030. It focuses on accelerating industrialization by transforming local raw materials into finished products, diversifying the industrial base, and strengthening regional and multilateral cooperation to boost exports of manufactured goods. This initiative has also led to the revision of the country's Special Economic Zones (SEZs) policy (Section 3).

⁶ Government of Sierra Leone (2019), *Sierra Leone: An Investor's Guide June 2019*. Viewed at: <https://www.slepa.gov.sl/invest-in-sierra-leone/investors-guide/p/item/14594/sierra-leone-investors-guide>.

⁷ FAO and the Ministry of Finance, *Medium-Term National Development Plan (MTNDP), 2019–2023*. Viewed at: <https://www.fao.org/faolex/results/details/en/c/LEX-FAOC212672/>; and *Medium-Term National Development Plan (MTNDP), 2024–2030*. Viewed at: <https://mof.gov.sl/documents/medium-term-national-development-plan-2024-2030/>.

⁸ Ministry of Trade and Industry (2020), *National Trade Strategy: Repositioning Trade for the African Continental Free Trade Area*. Viewed at: <https://elba-l.com/wp-content/uploads/2024/06/Sierra-Leone-National-Trade-Strategy-Executive-Summary-June-2020.pdf>.

2.3 Trade agreements and arrangements

2.3.1 WTO

2.14. Sierra Leone has been a WTO Member since 1995 and extends at least MFN treatment to all its trading partners. Sierra Leone formally accepted the Protocol amending the TRIPS Agreement on 21 March 2017 and deposited its instrument of acceptance of the Trade Facilitation Agreement on 5 May 2017 and of the Agreement on Fisheries Subsidies on 19 July 2024. The country is neither a party nor an observer to any of the WTO plurilateral agreements.

2.15. Sierra Leone continues to benefit from the WTO's Enhanced Integrated Framework (EIF). Recent programmes have resulted in the development of the National Tourism Policy (2022) and the National Export and Trade Facilitation Strategy (2022).

2.16. In negotiations, Sierra Leone remains committed to collaborating with the ACP Group, the African Group, the G-90, the LDCs, and the "W52". The country currently participates in the Joint Initiative on Investment Facilitation for Development.

2.17. Sierra Leone's notifications of its trade measures and regulations remain weak. Since 2017, the country has made notifications in the areas of export subsidies and RTAs.⁹

2.18. In 2023, the country notified, pursuant to the provisions of paragraph 5 of Article XXVIII of the GATT 1994, that it reserves the right to modify its goods schedule during the three-year period commencing on 1 January 2024.¹⁰

2.3.2 Regional and preferential agreements

2.3.2.1 African Union (AU) and the African Continental Free Trade Area (AfCFTA)

2.19. Sierra Leone, as a founding member of the AU, actively participates in the organization's initiatives. With the aim to integrate Africa, the AU called for the establishment of Regional Economic Communities (REC) under the Abuja Treaty. The Treaty, which entered into force in 1994, paved the way for the establishment of the AfCFTA in 2019 – a flagship project of the AU's Agenda 2063. The AfCFTA seeks to create a unified market for goods and services, enabling free movement of persons and investments to enhance Africa's competitiveness, socio-economic development, and industrial growth.¹¹

2.20. Sierra Leone ratified the Agreement establishing the AfCFTA on 30 April 2019. The AfCFTA brings together the 55 AU partner States, representing the continent's eight regional economic communities. The Agreement currently consists of eight protocols, including (i) trade in goods; (ii) trade in services; (iii) rules and procedures for dispute resolution; (iv) investment; (v) IPRs; (vi) competition policy; (vii) digital trade; and (viii) women and youth in trade.

2.21. ECOWAS (including Sierra Leone) submitted its common market access offer for goods, covering 90% of tariff lines, to the AfCFTA Secretariat in December 2020. The offer was adopted by the AfCFTA Council of Ministers in October 2021, enabling provisional implementation and preferential trading among State Parties with approved tariff offers.

2.22. Preferential trading under AfCFTA currently occurs through the AfCFTA Secretariat's Guided Trade Initiative (GTI), launched in June 2022. The GTI aims to match companies and products for export and import among eligible State Parties, coordinated by their AfCFTA National Implementation Committees. Sierra Leone is set to participate in the GTI.

⁹ WTO documents [G/AG/N/SLE/1](#) to [G/AG/N/SLE/27](#), 5 April 2023; and [WT/REG399/N/1](#), 6 May 2019.

¹⁰ WTO documents [G/MA/426](#), 12 December 2023; and [G/MA/402](#), 6 January 2021.

¹¹ TRALAC (2024), "Comparing the Abuja Treaty and the AfCFTA Agreement", 29 February. Viewed at: <https://www.tralac.org/blog/article/16331-comparing-the-abuja-treaty-and-the-afcfta-agreement.html>.

2.23. Preferential trading under the Agreement on Trade in Services has yet to commence. The Protocol outlines the mandate for ongoing negotiations in five priority sectors: business, communication, financial, tourism, and transport.

2.3.2.2 Economic Community of West Africa States (ECOWAS)

2.24. Sierra Leone has been a member of ECOWAS since its establishment in May 1975. The community brings together 15 West African countries to achieve economic union by promoting economic cooperation and integration. To achieve this goal, ECOWAS has established several protocols to facilitate the free movement of goods, services, capital, and persons and the right of establishment. These initiatives also focus on creating a common market, harmonizing policies among member States, and establishing a monetary union.

2.25. As discussed in the previous report, Sierra Leone has been implementing the above-mentioned protocols through several key initiatives, including the ECOWAS Common External Tariff (CET), the ECOWAS Trade Liberalization Scheme (ETLS) and the issuance of ECOWAS passports, and a 90-day waiver of visa and residency permit requirements for community citizens. During the review period, the bloc adopted a Supplementary Act to amend the ETLS Rules of Origin (RoO), revising the community's RoO requirements (Section 3.1). Nevertheless, Sierra Leone's official trade within the bloc remains low, below 0.5% of the total.

2.26. Recent measures to enhance intra-ECOWAS trade facilitation include the establishment by the Commission, with the support from donors, of an Interconnected System for the Management of Transit Goods (SIGMAT), which replaced the Inter-State Road Transit and encouraged the construction of Joint Border Posts (JBPs), including the one between Liberia and Sierra Leone.¹²

2.27. The single currency goal of the West African Monetary Zone (WAMZ), comprising the Gambia, Ghana, Guinea, Liberia, Nigeria, and Sierra Leone, remains pending (Section 1).¹³

2.3.2.3 Other regional trade agreements

2.28. As discussed in the previous report, Sierra Leone has been a member of the Mano River Union (MRU) since its establishment in 1973. However, the effective implementation of its regional trade integration objectives remains a challenge. The MRU consists of Côte d'Ivoire, Guinea, Liberia, and Sierra Leone, all of which are also members of ECOWAS.¹⁴

2.29. Following Sierra Leone's accession to the Community of Sahel-Saharan States (CEN-SAD) in 2008, there has been minimal or no significant progress on trade and the economic integration process – pending the ratification of the revised CEN-SAD Treaty of 2013. CEN-SAD, which comprises 25 member States, aims to achieve an economic union through policy harmonization, the removal of tariff barriers, and the development of infrastructure.¹⁵

2.30. The European Union-ECOWAS Economic Partnership Agreement (EU-ECOWAS EPA) has yet to take effect, pending the signing of the Agreement by all member States and the ratification by two thirds of the members. The EPA seeks to grant duty-free, quota-free market access to both parties.

2.31. Sierra Leone is a signatory to various agreements, which aim to enhance economic development and cooperation between the parties. Only those with the Gambia and Ghana are currently active.

¹² UNCTAD (2022), *The SIGMAT System: The ASYCUDA Journey in West Africa*. Viewed at: https://unctad.org/system/files/official-document/dtlasycudainf2022d1_en.pdf.

¹³ ECOWAS Commission (2021), *Fifty-Ninth Ordinary Session of the Authority of Heads of State and Government*, 19 June. Viewed at: https://www.afdb.org/sites/default/files/documents/2021-06-20-uk_final_communique-venenglish.pdf.

¹⁴ European Council on Foreign Relations, *Mapping African Regional Cooperation: Mano River Union (MRU)*. Viewed at: <https://ecfr.eu/special/african-cooperation/mano-river-union/>.

¹⁵ United Nations Economic Commission for Africa, *CEN-SAD – The Community of Sahel-Saharan States*. Viewed at: <https://archive.uneca.org/oria/pages/cen-sad-community-sahel-saharan-states>.

2.3.3 Other agreements and arrangements

2.32. Sierra Leone is eligible for unilateral preferences under the Generalized System of Preferences (GSP) of Armenia, Australia, Canada, the European Union, Iceland, Japan, Kazakhstan, the Kyrgyz Republic, New Zealand, Norway, the Russian Federation, Switzerland, Türkiye, the United Kingdom, and the United States. Furthermore, Chile, China, India, the Republic of Korea, Montenegro, Morocco, Tajikistan, Chinese Taipei, and Thailand offer LDC-specific schemes to Sierra Leone.¹⁶

2.33. Sierra Leone is a beneficiary of the UNCTAD Globalized System of Trade Preferences among developing countries.

2.34. Sierra Leone also benefits from the United States' African Growth and Opportunity Act (AGOA), which provides duty-free market access to textiles, agriculture, and apparel from eligible countries.

2.4 Investment regime

2.35. Since 2017, efforts have been made to reform Sierra Leone's investment climate and regulatory framework to attract foreign direct investment (FDI), including the establishment of the National Investment Board (NIB) in 2022, following the enactment of the National Investment Board Act, 2022. The Board is mandated to serve as a one-stop shop to streamline investment facilitation processes as well as coordinate and promote investment activities in the country. The NIB's responsibilities span facilitating partnerships, evaluating investment initiatives, issuing incentive certificates, and providing institutional support to investors, among others.¹⁷

2.36. The National Investment Board Act, 2022 repealed the Investment Promotion Act, 2004 and the Sierra Leone Investment and Export Promotion Agency Act, 2007. With a view to reshuffling the institutional framework, the Public-Private Partnership Act, 2014, the Companies Act, 2009, and the Registration of Business Act, 2007 were amended, replacing the Public-Private Partnership Unit, the Corporate Affairs Commission, and the Sierra Leone Investment and Export Promotion Agency with specific directorates under the NIB.

2.37. The NIB acts as a one-stop shop for business setup, offering support and information for starting and running businesses. Its Business Facilitation Directorate handles and forwards applications for registration, permits, licences, and clearances to relevant ministries and agencies.¹⁸ Meanwhile, the Corporate Affairs Directorate oversees the incorporation and registration of companies.

2.38. While the broad structure of incentives available to investors has remained largely unchanged since 2017, the Tax and Duty Concession Act, 2022 has introduced renewed discipline in the granting of tax incentives (Section 3.3.1). The incentives offered (ranging from general and sector-specific tax concessions to customs duty exemptions and various non-tax benefits) are designed to stimulate development projects and support the establishment of new enterprises.¹⁹ The annual Finance Acts regularly modify tax concessions for some industries. Among recent such measures, the Finance Act, 2024 provides duty-free importation of plants, machinery, and equipment for manufacturing biodegradable plastic alternatives for five years, in accordance with the Tax and Duty Exemption Act, 2023.²⁰

¹⁶ WTO, *Preferential Trade Arrangements*. Viewed at: <http://ptadb.wto.org/Country.aspx?code=694>.

¹⁷ Institute for Legal Research and Advocacy for Justice (2023), "Examining the Impact of the NIB Act 2022 on Investment Promotion in Sierra Leone: A Call for Checks and Balances", 17 October. Viewed at: <https://www.ilraj.org/case-law/examining-the-impact-of-the-nib-act-2022-on-investment-promotion-in-sierra-leone-a-call-for-checks-and-balances/>.

¹⁸ Several economic activities (in the mining, petroleum, and other key sectors) require operating licences, which investors must obtain before starting their operations. The transfer of these operational licences, however, is subject to ministerial approval.

¹⁹ SLIEPA, *Available Incentives in Sierra Leone*. Viewed at: <https://www.sliepa.gov.sl/invest-in-sierra-leone/all-incentives>.

²⁰ Parliament of Sierra Leone (2023), *Parliamentary Budget Office's Analysis on the Finance Act 2024*. Viewed at: <https://www.parliament.gov.sl/images/pdf/PBO%20Analysis%20on%20the%20Finance%20Act%202023.pdf>.

2.39. In general, eligibility for existing incentive schemes is subject to local-content requirements specified in the Local Content Policy. The policy was unchanged during the review period (Table 2.1).

Table 2.1 Key policy prescriptions in the Local Content Policy

Objective	Prescriptions
Use of locally available goods and services	• Investment incentives: The granting and/or continued use of incentives is conditional on compliance with the LCP. In particular, a local-content plan will be required upon application for government incentives. • Materials, products, and goods: ◦ Manufacturing industry: at least 10% of domestically produced inputs; ◦ Beer industry: up to 20% of locally produced sorghum; ◦ Bakery and confectionery: up to 10% of cassava flour produced locally from locally grown cassava; ◦ Sugar industry: for any product requiring sugar as an additive, up to 15% of locally produced sugar in the first five years, and up to 30% in the succeeding five years; ◦ Soap-making industry: up to 50% of locally produced palm oil in the first five years, and up to 70% in the succeeding five years; ◦ Flour industry: up to 10% of wheat flour produced locally in the first five years, and up to 30% in the succeeding five years; and ◦ Locally produced fabric, wood carvings and paintings: 25%. • Services sector: Requirement to use service providers registered and located in Sierra Leone. Where there is no local entity, the foreign entity shall operate in partnership with a nationally owned and registered company. ◦ Hotel, hospitality, and tourist industry.
National preference in contracts and procurements	• Contracts and concessions: First consideration should be given to Sierra Leonean firms in sectors such as mining and the petroleum industry; • Procurements: Preferential margin of 10% for domestic firms; • Bid evaluation: A 5% price preference is granted, provided that the local content of the selected bid is at least 5% higher than that of its closest competitor.
Employment of nationals	• Employment targets: At least 50% of nationals at the managerial level and 40% at the intermediate level. If the required skills are not available locally, the company must demonstrate a capacity-building plan to comply with the requirement within 5 years; • Use of foreign skills: All junior-level positions shall be held by nationals. The employment of expatriates is subject to quotas.
Local ownership	• Local-foreign partnerships: First consideration should be given to companies with significant equity ownership by nationals when assigning rights such as mineral concessions; • Promote access to finance by nationals.

Source: Sierra Leone Local Content Policy; and information provided by the authorities.

2.40. The National Investment Board Act strengthens investor obligations by enforcing compliance with licence terms, maintaining financial and operational records, and aligning transfer rights with exchange control restrictions. It provides guidelines for compensation under investor protection principles and ensures fund transfers through official channels in the investor's chosen currency.

2.41. The Act also establishes a dispute resolution framework that includes international mechanisms like arbitration, the International Centre for the Settlement of Investment Disputes, and agreements under bilateral or multilateral investment protection treaties involving the investor's home country and the Government.²¹

2.42. Despite efforts to attract investment, the authorities acknowledge that the weak insolvency and bankruptcy framework undermines the investment climate, making it difficult for financial institutions to resolve non-performing loans and collect debts.²² This raises credit costs, discourages bank lending, and potentially depresses investment and constrains economic growth. Currently, some provisions concerning insolvency are found in the Companies Act, 2009 and in the Bankruptcy

²¹ UNCTAD, *Investment Policy Hub: Sierra Leone Adopts National Investment Board Act, 2022*. Viewed at: <https://investmentpolicy.unctad.org/investment-policy-monitor/measures/4407/adopts-national-investment-board-act-2022>.

²² Ministry of Finance (2024), *Request for Expressions of Interests: Consultancy Services for Drafting of an Insolvency Legislation for Sierra Leone*. Viewed at: <https://mof.gov.sl/wp-content/uploads/2024/05/Consultancy-Services-for-Drafting-of-an-Insolvency-Legislation-for-Sierra-Leone-Firm-Selection-Sierra-Leone-Economic-Diversification-Project.pdf>.

Act, 2009. In the absence of comprehensive domestic regulations, the courts often apply the Companies (Winding-Up) Rules, 1929, to address gaps in insolvency proceedings.

2.5 Regulatory framework

2.43. Sierra Leone is generally open to foreign investments in most economic sectors. However, restrictions remain for activities such as foreign investments in mining valued at USD 500,000 or less, which require a 25% national shareholding.

2.44. Restrictions on land ownership for foreign investors remain in effect. Foreigners are allowed to lease land for up to 50 years, with the possibility of a 21-year extension, contingent upon the territorial land governance system. Alternatively, leases of up to 99 years are permitted for mining activities.

2.45. In 2023, Sierra Leone adopted the establishment of the Koya Industrial Zone, a new area created through a public-private partnership aimed at enhancing FDI. The industrial zone is set to offer essential infrastructure, including transport, logistics, and energy systems, to support industrial activities. It is also expected to streamline procedures for business permits and approvals. At its initial stage, the zone's focus will be on import substitution through the local manufacturing of tiles, processing of iron ore for construction, and the creation of pharmaceutical products. In agriculture, it aims to enhance "value capture by producing finished and packaged goods from forestry, cotton, soya, and cashew".²³ The authorities indicate that an SEZ policy was recently adopted to regulate the creation of various industrial zones.

2.6 Investment cooperation

2.46. Sierra Leone is a member of the Multilateral Investment Guarantee Agency, a signatory to the 1958 New York Convention on Recognition and Enforcement of Foreign Arbitral Awards, and a party to the ICSID (International Centre for Settlement of Investment Disputes) Convention.

2.47. Sierra Leone has bilateral investment treaties (BITs) with Germany (signed in 1965) and the United Kingdom (signed in 1981 and revised in 2000). It has also signed treaties that are not yet in force with China and the United Arab Emirates.²⁴ Sierra Leone also has double taxation agreements with Canada, Denmark, the Gambia, Ghana, New Zealand, Nigeria, Norway, South Africa, and the United Kingdom.

²³ UNCTAD, *Sierra Leone: Ratifies Establishment of Koya Industrial Zone*. Viewed at: <https://investmentpolicy.unctad.org/investment-policy-monitor/measures/4433/ratifies-establishment-of-koya-industrial-zone>.

²⁴ UNCTAD, *Investment Policy Hub: Sierra Leone*. Viewed at: <https://investmentpolicy.unctad.org/country-navigator/194/sierra-leone>; and Investing in Sierra Leone, *Treatment & Protection of Foreign Investments*. Viewed at: <https://www.investingsierraleone.com/foreign-investments/>.

3 TRADE POLICIES AND PRACTICES BY MEASURE

3.1 Measures directly affecting imports

3.1.1 Customs procedures, valuation, and requirements

3.1. Companies importing goods into Sierra Leone must be incorporated with the Corporate Affairs Commission and registered with the Office of the Administrator and Registrar General (OARG). Additionally, importers are required to obtain a taxpayer identification number (TIN) from the National Revenue Authority (NRA) to clear goods through customs. These requirements apply equally to both domestic and foreign entities.

3.2. The legal framework governing customs issues in Sierra Leone remained largely unchanged during the review period. The Customs Act, 2011 (last amended in 2024) continues to regulate customs procedures, with its administration overseen by the Customs and Excise Department (CED) of the NRA. The NRA maintains a website where information on import and export procedures can be found (www.nra.gov.sl).

3.3. Several other international instruments also shape customs procedures. For example, Sierra Leone is a member of the World Customs Organization and a contracting party to the Kyoto Convention. On 5 May 2017, the country ratified the WTO Trade Facilitation Agreement and notified the WTO of the list of measures under Categories A, B, and C on 22 February 2018.¹

3.4. Customs procedures in Sierra Leone are influenced by several factors that can increase trading costs for businesses, including role duplication and the application of various fees. For instance, imported goods are subject to a destination inspection scheme managed by a single company, Integrated Trade Services (ITS). This scheme assesses the quality, quantity, value, and customs classification of imports prior to clearance, which are tasks traditionally performed by customs authorities. The inspection company provides recommendations on classification and valuation for Customs' review and charges a service fee of 1% of the assessed f.o.b. value of each consignment. Furthermore, customs authorities often disagree with the classifications or valuations provided by the inspectors and make adjustments. In 2024, approximately 80% of the inspectors' conclusions were accepted by Customs, and the remaining 20% were subject to changes.

3.5. The following items are exempt from the destination inspection scheme: arms, ammunition, weapons, implements of war, gold and other precious stones, explosives and pyrotechnic products, live animals, scrap metals, crude oil, personal and household effects, supplies for non-governmental organizations and diplomats for their own use, and frozen fish caught by vessels owned by Sierra Leoneans.

3.6. Customs declaration formalities may be conducted by a trader or a customs broker. They must be approved by the Commissioner-General of the NRA and should have the ability to use ASYCUDA, be trained in customs procedures, and provide a SLE 20,000 guaranteed bond. A list of licensed customs agents is published in the Gazette.

3.7. In general, customs declarations are done electronically. For all imports, a Single Custom Declaration must be submitted with accompanying documentation, which includes the invoice, the Classification and Valuation Certificate (CVC) delivered by the destination inspection company, the delivery order, the packing list, the original copy of the Bill of Lading, and any applicable certificates (e.g. sanitary, phytosanitary, origin) or any other documents required by specific laws.

3.8. The NRA upgraded from ASYCUDA++ to ASYCUDA World in January 2019 and introduced the Electronic Single Window in 2020. According to the authorities, the single window provides for the automation of procedures with external stakeholders (SPS and standards-setting authorities). For example, the automation of the duty waiver process allows all involved government agencies to recommend, approve, and endorse as their function requires.

¹ WTO TFA Database, *Sierra Leone*. Viewed at: <https://www.tfadatabase.org/en/members/sierra-leone>.

3.9. The customs clearance process in Sierra Leone utilizes a risk management system integrated within ASYCUDA World. This system, managed by a specialized Risk Management Unit, assigns consignments to one of four selectivity lanes based on assessed risk levels: green for low-risk goods, enabling immediate release without additional checks; yellow, requiring a documentary review; red, involving both documentary checks and physical examinations; and blue, reserved for perishable goods, which are subject to post-clearance audits.

3.10. While the system is designed to prioritize efficiency and focus resources on high-risk consignments, its implementation has encountered challenges. According to the authorities, a significant proportion of customs declarations are processed through the red lane, indicating a higher frequency of physical inspections than originally intended. Furthermore, the green lane is underutilized for broader trade facilitation. This misalignment undermines the core objective of the risk management system: to expedite clearance for low-risk consignments while concentrating scrutiny on high-risk goods.

3.11. The authorities indicate that several trade facilitation reforms are ongoing, with substantial progress made towards their completion. These reforms include the adoption of a legal framework for the implementation of an Authorized Economic Operator programme and the conducting of a time release study. The aim is to identify potential corrective actions for Customs and other border agencies to enhance their performance.

3.12. For certain trade facilitation reforms that have already been implemented, it is essential to raise awareness within the business community. For instance, a binding advance ruling mechanism is in place with an emphasis on tariff classification, determination of origin, and the valuation method. However, it remains significantly underutilized, with the authorities reporting that only about 1% of traders currently make use of this tool.

3.13. Sierra Leone's rules on customs valuation are found in the Customs Act, 2011, which is, in principle, aligned with the WTO Agreement on Customs Valuation. Customs duties are determined based on goods' c.i.f. value.

3.14. As was the case during the previous Review, Customs have the authority to examine and redetermine the classification, value, or country of origin of goods within five years of the date of the customs declaration. If such a decision is made, it can be appealed to the Commissioner-General within 90 days of receiving the formal notice. However, filing an appeal does not suspend the payment of the reassessed import duties and taxes by the importer. The Act mandates the Commissioner-General to address the appeal promptly but does not specify a timeframe. Should the importer be dissatisfied with the Commissioner-General's decision, it may further appeal to the High Court within 90 days of the notification of the decision.

3.15. A dispute resolution system is available for all customs-related matters, which can be addressed through the Objections and Appeals Committee of the NRA, with a representative from Customs. The authorities note that importers have been informed about their right to appeal if they disagree with a customs re-determination. However, it appears that, to date, no importer has utilized this dispute resolution process for customs issues.

3.1.2 Rules of origin

3.16. Sierra Leone implements both non-preferential and preferential rules of origin (RoOs).

3.17. Under the Customs Act, 2011, non-preferential RoOs are in place with a view to applying quantitative restrictions or other trade measures. The rules determine the country of origin of a product based on two main criteria:

- Wholly obtained: the product is considered to originate from the country where it was entirely obtained or produced; or
- Substantial transformation: if a product is not wholly obtained, its country of origin is determined by the location of its last substantial transformation, defined as a change in the product's tariff classification (heading or subheading). ECOWAS' relevant protocols can also be used in assigning a specific origin to a product.

3.18. According to the ECOWAS Protocol, goods are considered to originate from a member State if they are wholly produced within that State or have undergone sufficient transformation. In 2018, the ECOWAS RoOs were amended, including exceptions to the sufficient transformation requirement.² The relevant implementation regulations were adopted in 2021. A product is now considered sufficiently transformed if there is a change in tariff heading or if non-originating materials do not exceed 68% of the ex-works price of the product (previously set at 70%).

3.19. Under the ECOWAS Trade Liberalization Scheme (ETLS), industrial goods must undergo a dual approval process to be recognized as originating ECOWAS products. First, designated authorities in the exporting country must approve the firm as a producer of the goods within a member State (firm eligibility).³ Second, the product itself must be approved based on origin criteria (product admissibility). This dual approval requirement does not apply to agricultural, livestock, forestry, or traditional craft products.

3.20. The RoOs under the yet-to-be-implemented African Continental Free Trade Area (AfCFTA) are designed to harmonize RoOs across various free trade agreements in Africa. The AfCFTA Agreement stipulates product-specific RoOs that determine the origin of goods based on whether they are wholly obtained or sufficiently worked or processed, using one of five criteria: value addition, non-originating material content, change in tariff heading, specific processes, and specific rules.⁴ As of June 2024, product-specific RoOs had been agreed upon for about 92% of tariff lines. Once implemented, AfCFTA RoOs are set to allow full cumulation among members.

3.1.3 Tariffs

3.1.3.1 Applied MFN tariff

3.21. Sierra Leone has implemented the ECOWAS Common External Tariff (CET) since 2022. During a transitional period ending in January 2028, ECOWAS member States have the option to apply an Import Adjustment Tax (IAT) on goods imported from non-ECOWAS countries. This measure allows for adjustments in tariff protection to mitigate the impact of the ECOWAS CET. However, the tariff lines subject to the IAT are limited to a maximum of 3% of the total tariff lines.

3.22. In September 2024, using HS22 classification for 6,381 tariff lines at 10-digit tariff line level, the average unweighted applied MFN tariff rate was 11.8%, down from 12% in 2016 (Table 3.1). As at the time of the previous Review, with a coefficient of variation of 0.6%, rates are moderately dispersed around the average. Agricultural products (by the WTO definition) continue to attract higher rates (14.4% on average), but they registered a relatively more significant reduction during the review period (the average was 15.6% during the previous Review). The average tariff rate on non-agricultural products stood at 11.3%, a slight decrease from 11.4% in 2016. Highest rates apply to dairy products, beverages and tobacco, and textiles and clothing.

Table 3.1 Structure of MFN tariff in Sierra Leone, 2016 and 2024

(%, unless otherwise indicated)

	Applied MFN		
	2016	2024	ECOWAS CET
Simple average rate	12.0	11.8	12.1
WTO agricultural products	15.6	14.4	15.6
WTO non-agricultural products	11.4	11.3	11.5
HS 01-24	16.4	15.3	16.2
HS 25-97	11.2	11.0	11.2
Duty-free tariff lines (% of all tariff lines)	0.3	1.5	1.6
Tariff quotas (% of all tariff lines)	0.0	0.0	0.0
Non- <i>ad valorem</i> tariffs (% of all tariff lines)	0.0	0.0	0.0
Domestic tariff "peaks" (% of all tariff lines) ^a	0.0	0.0	0.0
International tariff "peaks" (% of all tariff lines) ^b	41.8	37.6	38.3

² ECOWAS Secretariat (2018), 54th Ordinary Session of the Authority of Heads of State and Government of ECOWAS. Viewed at: <https://etls.ecowas.int/wp-content/uploads/2020/10/SUP-ACT-FIXING-RULES-ORIGIN-2018-ENG.pdf>.

³ The procedures can involve up to five national authorities.

⁴ African Continental Free Trade Area Agreement, Updated Annex 2 on Rules of Origin. Viewed at: https://findrulesoforigin.org/documents/pdf/itc00883_roo.pdf.

	Applied MFN		
	2016	2024	ECOWAS CET
Coefficient of variation	0.6	0.6	0.6
Nuisance applied rates (% of all tariff lines) ^c	0.0	0.0	0.0
Total tariff lines	5,467	6,381	6,381

a Domestic tariff peaks are defined as those exceeding three times the overall simple average applied rate.

b International tariff peaks are defined as those exceeding 15%.

c Nuisance rates are those greater than zero, but less than or equal to 2%.

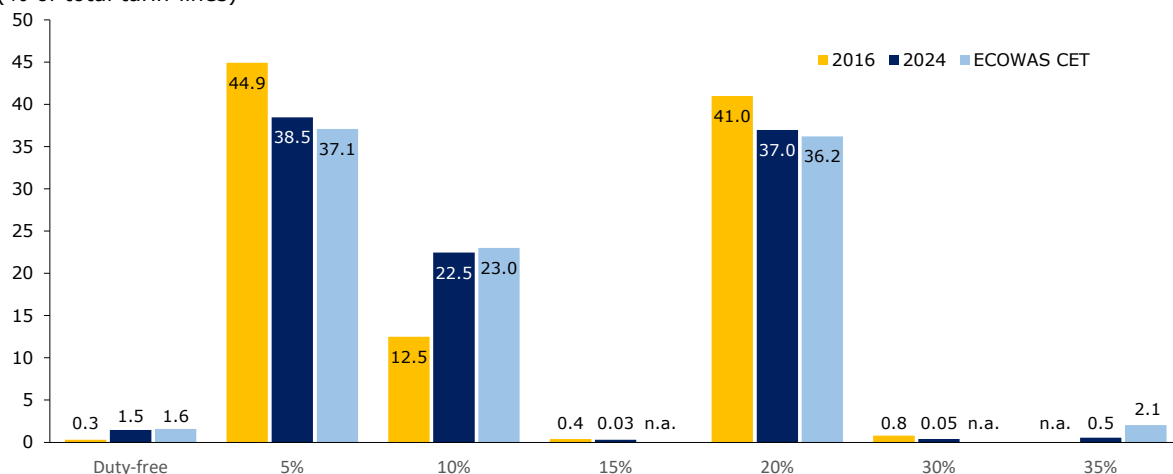
Note: The 2016 tariff is based on HS07 nomenclature consisting of 5,467 tariff lines (at the 8-digit tariff line level). The 2024 national tariff is based on HS22 nomenclature consisting of 6,381 tariff lines (at 10-digit tariff line level). Calculations are based on national tariff line level.

Source: WTO Secretariat calculations, based on the tariff information provided by the authorities; and the WTO IDB.

3.23. The tariff consists of five CET bands (all *ad valorem*) – zero, 5%, 10%, 20%, and 35% – representing a simplification from the previous review period, which included seven rates: 0%, 5%, 10%, 15%, 20%, 25%, and 30%. The proportion of products in the 5%, 20%, and 30% tariff bands has slightly declined, while the share of products in the 10% band has seen a significant rise. Additionally, 0.5% of tariff lines now fall under the 35% band (Chart 3.1).

Chart 3.1 Distribution of MFN applied tariff rates, 2016 and 2024

(% of total tariff lines)



n.a. Not applicable.

Note: Figures above the bars indicate the share of total tariff lines. In the case of the 2016 tariff, they do not add up to 100% since duty rates were not available for four tariff lines.

Source: WTO Secretariat calculations, based on the tariff information provided by the authorities; and the WTO IDB.

3.24. The applied tariff undergoes regular reviews, primarily through finance acts. For example, the Finance Act, 2024 sets new customs duty rates for cement (20%), rice (5%), iron rod (10%), and cooking gas (5%)⁵, while the Finance Act, 2022 had previously set rates for cement at 10%, iron rod at 5%, and rice and cooking gas at zero. These frequent revisions affect the stability and predictability of the tariff regime, which can hamper business confidence in the domestic economy. Sierra Leone does not administer any tariff quotas.

3.1.3.2 Bound tariff and other duties and charges

3.25. Sierra Leone's bindings cover all tariff lines at ceiling rates between 30% and 80%, with an average bound rate of 47.5%. Tariffs on agricultural products were bound at a ceiling rate of 40%, except for preparations of cereals, flour, solid soup, and cotton linters, all of which were bound at

⁵ Ministry of Finance, Finance Act, 2024. Viewed at: <https://mof.gov.sl/wp-content/uploads/2024/01/The-Finance-Act-2024.pdf>.

ceiling rates of 30%, and beer made from malt at 80%. A large majority of tariffs on non-agricultural items are bound at a ceiling rate of 50%.

3.26. Sierra Leone bound its other duties and charges (ODCs) at rates that vary between zero and 50%.

3.1.3.3 Preferential tariffs

3.27. Under the ECOWAS ETLs, Sierra Leone provides duty-free access to products that are approved and produced by certified enterprises located in any ECOWAS member State (Section 2).

3.1.3.4 Duty concessions and exemptions

3.28. Duty concessions and exemptions are generally granted in relation to economic incentive schemes (Section 3.1.1), under ratified international agreements (e.g. the Vienna Convention), pursuant to special customs regimes, or under bilateral agreements with certain companies, in particular in the mining sector.

3.29. The World Bank notes that tax waivers granted to organizations, entities, and individuals, along with tax exemptions under key tax instruments in Sierra Leone, resulted in an annual tax revenue loss of 6% during the 2009-19 period.⁶ Exemptions granted through discretionary decisions on an *ad hoc* basis have played a significant role in exacerbating fiscal expenditure. During the previous Review, it was indicated that the Finance Act, 2013 introduced a cap of 3% of GDP on duty waivers granted in a given year. However, it appears that no formal evaluation of this policy was conducted during the review period.

3.30. In 2023, the Tax and Duty Exemption Act was adopted.⁷ It seeks to establish a clear legal and regulatory framework to streamline and govern the process of granting duty and tax exemptions.

3.31. The Act recognizes the importance of promoting national economic and social policy goals through tax exemptions. Additionally, it aims to streamline current exemptions and privileges, introduce sanctions to limit discretion and prevent potential abuse, and, where necessary, consolidate existing statutory provisions on exemptions to improve administration and boost domestic revenue. The authorities believe that this initiative will help the Government achieve its goal of increasing domestic revenue mobilization.⁸

3.32. Duty-free importation is granted to items such as agricultural inputs and energy and in the context of infrastructure projects.

3.33. Exemption from customs duties may be granted for imported goods designated for inward processing. In addition, goods re-imported into Sierra Leone in the same condition within one year of their export may qualify for exemption from import duties and taxes.

3.34. Section 51 of the Customs Act stipulates that access to a Special Economic Zone (SEZ) shall be granted for imported goods without requiring payment of customs duty or Goods and Services Tax (GST). The exemption applies to all goods directly used in the production of export goods from Sierra Leone within the SEZ by licensed enterprises. In practice, the authorities indicate that no duty or tax concession had been planned in the context of the newly established SEZ.

⁶ World Bank, *Sierra Leone Tax System Review*. Viewed at: <https://view.officeapps.live.com/op/view.aspx?src=https%3A%2F%2Fdocuments1.worldbank.org%2Fcurated%2Fen%2F099345012132139071%2FP1719830fa6a7b0f088c60e01b8a4b73e8.docx&wdOrigin=BROWSELINK>.

⁷ Parliament of Sierra Leone, Tax and Duty Exemption Act, 2023. Viewed at: <https://www.parliament.gov.sl/uploads/acts/Tax%20And%20Duty%20Exemption%20Act,%202023.pdf>.

⁸ Ministry of Finance, Tax and Duty Exemption Act Adopted. Viewed at: <https://mof.gov.sl/parliament-approve-duty-and-tax-waiver-law-to-minimise-revenue-leakages/>.

3.1.4 Other charges affecting imports

3.1.4.1 Goods and Services Tax

3.35. In accordance with the Goods and Services Tax Act, 2009, Sierra Leone maintains a GST on a list of domestically produced and imported goods. The main adjustment to the GST regime during the review period was the amendment introduced by the Finance Act, 2021. In response to the growing significance of the digital economy, this amendment updated the GST Tax Act to include digital market supplies and digital services as taxable transactions.⁹ Additionally, the Finance Act, 2023 further expanded the scope of this provision to cover a wider range of digital services.¹⁰

3.36. The GST is levied at a standard rate of 15%. Exports are zero-rated. On imports, the base comprises the c.i.f. value, customs duties, and any other tax or fiscal charge payable on the importation of goods.

3.37. GST-exempted goods and services include animals; fish and birds imported for breeding and rearing purposes; agricultural inputs, seeds, bulbs, and roots imported for propagation; rice (in its raw state); machinery for use in agriculture, veterinary, fishing, horticulture, manufacturing, and mining; exports of minerals; water (excluding package and distilled water); crude oil and hydrocarbon products (excluding lubricating oils); books and newspapers; land, buildings, and public work; and some services (education, medical, and pharmaceuticals services; passenger transportation; and financial services).

3.1.4.2 Excise duties

3.38. Sierra Leone levies excise duties, primarily in accordance with the Excise Act, 1982. Excise duties apply to selected items at specific rates and at *ad valorem* rates between 5% and 20%. The list comprises gambling services; non-alcoholic beverages; alcoholic beverages such as beer and wine; tobacco products, including e-cigarettes; petroleum products; and certain plastic containers. The tax base is determined by the c.i.f. value for imports or the sale value for domestic goods. Tax rates are periodically updated through finance acts, with the latest adjustments outlined in the Finance Act, 2024.¹¹ Domestically manufactured beverages generally attract lower rates than imported ones.

3.1.4.3 Other duties and charges

3.39. Imports from non-ECOWAS countries are subject to the ECOWAS Community Levy at the rate of 0.5% of the c.i.f. value from non-ECOWAS countries. The proceeds from the levy aim to finance the operating expenses of the ECOWAS Commission and regional integration projects.

3.40. During the previous Review, it was indicated that bills of lading for duty-free imports are subject to a stamp duty of SLE 750. Port charges are assessed on the volume of imports and exports, at rates ranging from SLE 0.5 tonne to SLE 1 tonne. A customs processing fee of SLE 30 is applicable to all transactions. However, updated information was not available during the current review. A stamp duty is levied at 20% on imported and domestically produced tobacco products and alcoholic beverages.

3.41. A withholding tax (collected as a prepayment of the income tax) is charged at a rate of 3% of the c.i.f. value of imported goods intended for resale.

3.1.5 Import prohibitions, restrictions, and licensing

3.42. The import control regime has remained unchanged since the previous Review. In accordance with the Customs Act, 2011, import control measures aim to protect, *inter alia*, public morality; human, animal, plant life or health; or the environment. Prohibitions and restrictions can also be

⁹ Ministry of Finance, Finance Act, 2021. Viewed at: <https://mof.gov.sl/wp-content/uploads/2021/01/The-Finance-Acts-2021-1.pdf>.

¹⁰ Ministry of Finance, Finance Act, 2023. Viewed at: <https://mof.gov.sl/wp-content/uploads/2024/01/The-Finance-Act-2023.pdf>.

¹¹ Ministry of Finance, Finance Act, 2024. Viewed at: <https://mof.gov.sl/wp-content/uploads/2024/01/The-Finance-Act-2024.pdf>.

maintained in accordance with international conventions signed by Sierra Leone, including the Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES), the Stockholm Convention, and the Rotterdam Convention.

3.43. The importation of narcotic drugs is strictly prohibited. The National Drugs Control Act, 2008 (last amended in 2021) prohibits the importation and exportation of a list of drugs, with a view to implementing provisions of International Drug Control Conventions.¹²

3.44. As a signatory to the Montreal Protocol, Sierra Leone prohibits the import and export of products containing ozone-depleting substances. Import and export are only permitted when the substances come from or are destined for countries that are also parties to the Protocol. The Road Traffic Regulation, 2011 prohibits the importation of right-hand-drive vehicles.

3.45. Imports of caustic soda, pharmaceuticals, and local currency are restricted. Imports of arms and ammunition are subject to licensing.

3.46. Prohibitions and restrictions are in place, in accordance with the Plant Phytosanitary (Import) Rules, 1974 (Section 3.3.4).

3.1.6 Anti-dumping, countervailing, and safeguard measures

3.47. Sierra Leone does not have a legislative or institutional framework for anti-dumping, countervailing, or safeguard actions and has not implemented any measures related to these areas. In 2014, it notified to the WTO that it does not have legislation, regulation, or administrative procedures on safeguard measures.¹³

3.48. Under the ECOWAS tariff regime, the supplementary protection tax acts as a safeguard mechanism aimed at protecting local products. It can be enforced if the average import volume of a product into the customs territory of a member State increases by at least 25% over the past three years for which data are available. The tax may also be applied if, during a specific month, the average c.i.f. import price of a product (in national currency) falls below 80% of the average c.i.f. price over the previous three years. Depending on the circumstances, the tax can be imposed for a maximum period of one or two years. The authorities indicate that Sierra Leone has never used the supplementary protection tax.

3.2 Measures directly affecting exports

3.2.1 Customs procedures and requirements

3.49. The registration formalities applicable to importers of goods for commercial purposes, including customs procedures, generally also apply to exporters (Section 3.1).

3.50. The Chamber of Commerce, Industry, and Agriculture provides certificates of origin and certifies other export documents for preferential exports to the United States, ECOWAS member States, and the European Union.

3.51. Additionally, diamond exporters are required to obtain a licence from the Ministry of Mineral Resources. The Government Gold and Diamond Office (GGDO) is responsible for certifying all legally exported diamonds from Sierra Leone.

3.52. As at the time of the previous Review, all exports of coffee, cocoa, palm kernel oil, palm kernel cake, ginger, and piassava require an export permit from the Ministry of Trade and Industry, which issues the licence only if the Produce Monitoring Board (PMB) inspects the exporter's premises to certify compliance with statutory requirements and ensure that the products meet international standards.

¹² FAO (2008), *Sierra Leone: National Drugs Control Act*. Viewed at: <https://www.fao.org/faolex/results/details/en/c/LEX-FAOC211467/>.

¹³ WTO document [G/SG/N/1/SLE/1](#), 20 March 2014.

3.53. Exporters must submit the following documents along with their customs declaration: a valid business registration or incorporation certificate, a tax clearance certificate, and (for agricultural products) a letter from the PMB confirming that the exporter has fulfilled the statutory requirements by maintaining an appropriate store equipped with all necessary instruments for operation.

3.54. Exporters are required to repatriate at least 30% of the export proceeds through the commercial banking system within 90 days from the date of export.

3.2.2 Taxes, charges, and levies

3.55. Taxes, charges, and levies on exports in Sierra Leone have remained broadly unchanged since the previous Review, continuing to significantly increase the country's trading costs and affect its competitiveness in the global market. For instance, exporters are required to pay an inspection fee of 1% of the f.o.b. value of exports, imposed by ITS as part of the quality assessment process. This leads to redundancy, as exports undergo further assessments upon arrival at their destination, increasing the financial strain on exporters.

3.56. Additionally, exporters of coffee, cocoa, palm kernel oil, palm kernel cake, ginger, and piassava are required to pay a 2.5% levy on the f.o.b. value of their exports.

3.57. An export tax of 3% applies to diamonds. Small-scale mining leaseholders are subject to a 5% royalty fee based on the export value, along with a 1% valuation fee. Individuals exporting on an occasional basis can obtain a special exemption from the licensing requirement but will incur an additional 2% charge on top of the 3% export tax.

3.58. Gold exports are taxed at 5% of their assessed value by the Precious Minerals Trading Directorate. However, individually mined gold benefits from a reduced tax rate of 3%.

3.59. In general, exports are zero-rated for GST. However, exports of certain minerals, including rutile and its byproducts, iron ore, bauxite, gold, and diamonds, are taxed at the standard rate of 15%.

3.2.3 Export prohibitions, restrictions, and licensing

3.60. Similar to import regulations, export control measures are designed to protect public health, ensure safety, and promote environmental sustainability. Most of these measures are aligned with international agreements to which Sierra Leone is a signatory. For instance, under the Montreal Protocol, the export of ozone-depleting substances is strictly prohibited. Additionally, the National Drugs Control Act, 2008 restricts the export of certain drugs. Sierra Leone has also periodically imposed export bans on logs to mitigate environmental harm. The authorities also note that temporary bans also applied to palm oil, rice, and scrap metal during the review period.

3.61. For environmental purposes, exports of plants and charcoal require a special permit from the ministry in charge of natural resources.

3.62. Permits are also required for the exportation of gold, diamonds, and a list of agricultural products (Section 3.2.1).

3.2.4 Export support and promotion

3.63. Sierra Leone has never submitted a subsidy notification to the WTO Committee on Subsidies and Countervailing Measures. In its most recent notification in 2023, it notified the Committee on Agriculture that no export subsidies were granted to agricultural products in 2021¹⁴, consistent with its practice in previous years throughout the review period.

3.64. Throughout most of the review period, the Sierra Leone Investment and Export Promotion Agency (SLIEPA) was responsible for promoting and encouraging the development of export-oriented activities. Its role included providing exporters with market access information and technical assistance opportunities, as well as advocating on their behalf. Key activities involved

¹⁴ WTO document [G/AG/N/SLE/27](#), 5 April 2023.

facilitating trade fairs and exhibitions, offering market intelligence and trade data, delivering capacity-building initiatives within export value chains, and developing product profiles for non-traditional exports.

3.65. With the passing of the National Investment Board Act in 2022, the Investment and Export Promotion Directorate, under the National Investment Board (NIB) is in charge of export promotion activities.

3.66. In 2019, the Ministry of Trade and Industry facilitated the implementation of the Sierra Leone National AGOA Response Strategy for the period 2019-25. This Strategy aims to harness business opportunities within the AGOA framework to enhance Sierra Leone's exports to the United States. Key priority sectors identified in the Strategy include agriculture, agri-business, fisheries, and textiles.¹⁵

3.67. Sierra Leone does not have an export processing zone in place and encounters difficulties in implementing an effective export promotion strategy. The authorities note that the lack of collaboration among the various public agencies responsible for export-related matters constitutes one of the main barriers to export development.

3.2.5 Export finance, insurance, and guarantees

3.68. In general, access to finance is challenging for Sierra Leone. The country does not maintain a public mechanism to support or facilitate export financing.

3.69. In the current context, commercial banks are the sole providers of trade finance instruments. Some banks note that certain regulatory tools from the Bank of Sierra Leone (BSL) hinder their ability to provide guarantees. For instance, when assessing the risk profile of a commercial bank, the BSL treats a loan it guarantees as a fully-fledged loan, which discourages banks from engaging in loan guarantees for exporters.

3.3 Measures affecting production and trade

3.3.1 Incentives

3.70. Exemptions and reductions in border taxes (Section 3.1.3.4) and income tax remain the primary mechanisms for providing incentives to businesses in Sierra Leone. Companies in Sierra Leone are subject to a corporate income tax rate of 25%. Manufacturing entities located outside the Western area enjoy a reduced rate of 15%. Additionally, all companies, regardless of their performance, are liable for a minimum alternative tax rate of 2% on turnover (down from 3% in 2023).

3.71. Sierra Leone offers a range of incentives to promote private sector investment, including exemptions from income tax, deductions for tax purposes, and exemptions from import duties and GST. These incentives are subject to meeting certain criteria, such as enhancing local content (Section 2).

3.72. General incentives available include income tax relief on plant, machinery, and equipment; a three-year exemption from import duties for businesses importing these items; reduced import duty rates on raw materials; and 100% tax deductions for expenses related to research and development, employee training, and social service development. Additionally, sector-specific incentive programmes are offered to encourage investments in agriculture, energy, infrastructure, tourism, and pharmaceuticals (Table A3.1).

3.73. Incentives are also offered to SEZ companies. These include three-year corporate tax holidays and streamlined government services, such as expedited customs, immigration, and registration processes.

¹⁵ Ministry of Trade and Industry (2019), *Sierra Leone National AGOA Response Strategy 2019 to 2025*. Viewed at: <https://agoa.info/images/documents/15571/sierra-leone-agoa-response-strategy-paper-final.pdf>.

3.3.2 Standards and other technical requirements

3.74. The legal and institutional framework for standards and technical regulations remained broadly unchanged during the review period.

3.75. The Standards Act No. 2 of 1996 continues to serve as the legal framework for regulating standardization, certification, and conformity assessment. This Act also led to the establishment of the Sierra Leone Standards Bureau (SLSB), which is responsible for overseeing standardization and quality management activities. It further established the National Standards Council, which was operationalized in 2020 and is tasked with approving the standardization work programme and the list of technical committees. The Council's membership includes representatives from various ministries, such as those overseeing agriculture, health, and the environment, along with members from academic institutions and business associations.

3.76. As of January 2025, despite the existence of several technical regulations, Sierra Leone has not notified any technical regulations or designated a national enquiry point under the WTO Agreement on Technical Barriers to Trade (TBT Agreement). However, in the context of this review, the authorities indicate that the SLSB has been assigned the role of the country's enquiry point under the TBT Agreement.

3.77. Additionally, in accordance with the Weight and Measures Act No. 5 of 2010, the SLSB is responsible for the enforcement of the metric system of measurement.

3.78. The development of standards is driven by technical committees responsible for specific subjects. These committees include representatives from academia, researchers, conformity assessment bodies, regulators, industry, trade associations, and consumer advocacy groups. They collaborate to develop national standards aligned with market needs. The SLSB serves as the secretariat and project manager for these committees. The authorities note that SLSB has adopted the relevant ISO/IEC Directives for its standardization process.

3.79. At the time of the current Review, the SLSB manages technical committees covering areas such as water quality, photovoltaic/renewable energy, electrical and electronics, mechanical engineering, civil engineering, energy management, information security management systems, and food and agriculture.¹⁶ This represents an expansion in the number of committees and a better specialization compared with the situation at the time of the previous Review, where the SLSB managed only five committees: the National Codex Committee, the Industrial Standards Board, the Metrology Committee, the Food and Agriculture Committee, and the Engineering Technical Committee.

3.80. The standards development process begins by assessing the country's needs and priorities and, through consultations with relevant stakeholders, drafting the SLSB standards work programme. Standards are then developed by the appropriate technical committees and published in the Gazette. These committees often base their work on international standards, including those from regional organizations. In cases where no international standards exist, such as for indigenous products, the SLSB creates its own guidelines. Recent efforts have focused on aligning with regional frameworks like the ECOWAS Quality Policy (ECOQUAL) to harmonize standards across West Africa. As of September 2024, the SLSB has published 349 nationally developed and internationally adapted standards.¹⁷

3.81. Once a standard is published in the Gazette, the relevant industry regulator may present it to Parliament for approval to make it mandatory. A 60-day public comment period is required before the standard can be adopted as a technical regulation. Standards are usually made technical regulations at the request of sectoral ministers. The authorities note that as of January 2025, the technical regulations in force in Sierra Leone include 15 regional harmonized technical regulations (ECOWAS level) and one national technical regulation.

3.82. As at the time of the previous Review, the SLSB has an agreement with ASTM International, formerly known as the American Society for Testing and Materials. Under the agreement, the SLSB

¹⁶ SLSB, *Standards Overview*. Viewed at: <https://slsb.gov.sl/standards-overview/>.

¹⁷ SLSB, *List of Available Standards and Codes: Standards Department*. Viewed at: <https://slsb.gov.sl/wp-content/uploads/2023/11/STANDARDS-CATALOGUE-2022-23-1.pdf>.

has access to ASTM's standards, may participate in its technical committee meetings, and receives technical assistance. The SLSB is a member of the African Organization for Standardisation (ARSO). It is a corresponding member of the ISO. The authorities note that full ISO membership is set to be effective in 2025. The SLSB is an affiliate member of the International Electrotechnical Commission (IEC). It has adopted standards from the Codex, the IEC, and ISO.

3.83. Only food and petroleum products are subjected to quality testing upon arrival. The authorities note that for other products, the SLSB conducts inspections and collects samples when there are concerns about the product. These samples are then sent for testing at accredited laboratories in the region, particularly in Ghana and Nigeria. Regarding metrology, the calibration range of the SLSB is limited from 0.1µg to 5mg.

3.3.3 Marking, labelling, and packaging

3.84. Products must be labelled in English to show basic information regarding name, weight, manufacture dates, expiration dates, ingredients, and origin.

3.85. The Weights and Measures Act, 2010 mandates that sellers of packaged goods display both the gross and net weights or measurements on the packaging. For canned goods, food items, and pharmaceuticals, the net weight or quantity of contents, along with the country of origin, must also be clearly indicated. Additionally, the Act requires the liquid volume of beverages and the yardage and width of textiles to be properly labelled.

3.3.4 Sanitary and phytosanitary requirements

3.86. Sierra Leone is a member of the Codex Alimentarius Commission, the World Organisation for Animal Health, and the International Plant Protection Convention (IPPC).¹⁸

3.87. The country did not notify any SPS regulations during the review period. It has also not notified the WTO of its sanitary and phytosanitary (SPS) legislation or designated an enquiry point under the SPS Agreement. However, the authorities have stated that the National SPS Committee serves as the established enquiry point, and the SLSB (under the Ministry of Trade and Industry) functions as the notification authority.

3.88. The main SPS provisions related to trade in plant products are outlined in the Agriculture Inspection Rules under Chapter 185 (Cap 185) of 1946 for exports and the Plant Phytosanitary (Import) Rules of 1974 (amended in 1976). The latter lists 64 categories of plants and plant products, specifying which are prohibited from import unless accompanied by a phytosanitary certificate, inspection, or treatment. In the context of this Review, the authorities noted in 2024 that an updated pest list is under preparation. The Food and Feed Safety Act, adopted in 2017 in Sierra Leone, aims to ensure the safety and quality of food and feed, protect public health, promote fair trade practices, and address related matters.¹⁹ According to the authorities, other sources for standards and requirements regarding the import of food products, animals, and plants are the Trade and Food Standards set by the FAO and WHO, the WHO's International Health Regulations (Third Edition (2005)), the EU Legal Requirements for Imports of Fruits and Vegetables (A Supplier's Guide), and the Codex Alimentarius.

3.89. In general, the SPS regulatory framework for imports and exports of agricultural products is outdated and misaligned with modern agricultural practices and priority products. For example, various international organizations, including the International Trade Centre and the United Nations Industrial Development Organization note that since Cap 185 was enacted in 1946, quality standards have evolved, leading to discrepancies between Cap 185 and international best practices.²⁰ This misalignment creates technical barriers to trade. Modernizing the framework could encourage

¹⁸ Ministry of Agriculture and Forestry (2019), *Presentation on Phytosanitary System in Sierra Leone at the IPPC High Level Symposium in China*. Viewed at: https://assets.ippc.int/static/media/files/publication/en/2019/07/16_Country_Report_Sierra_Leone_031LYsu.pdf.

¹⁹ Parliament of Sierra Leone, The Food and Feed Safety Act, 2017. Viewed at: https://www.parliament.gov.sl/uploads/bill_files/The%20Food%20and%20Feed%20Safety%20Authority%20Act,%202017.pdf.

²⁰ International Trade Centre (2023), *Modernising Produce Inspection Rules for Exports in Sierra Leone*. Viewed at: [https://www.intracen.org/file/policy-paper-revision-of-inspection-rules-in-slpdf#:~:text=Chapter%20185%20\(Cap%20185\)%20Native,Cap%20185%20is%20severely%20outdated.](https://www.intracen.org/file/policy-paper-revision-of-inspection-rules-in-slpdf#:~:text=Chapter%20185%20(Cap%20185)%20Native,Cap%20185%20is%20severely%20outdated.)

investment and enhance Sierra Leone's agricultural exports, improving access to regional and global markets.

3.90. During the previous Review, the authorities indicated that a phytosanitary policy and phytosanitary and pest control bills were in the drafting stage. However, these documents were not finalized during the review period. The Fishery Products Regulations, 2007 outline health requirements for fish processing facilities and conditions for imports and exports and also set the requirements for obtaining an export certificate.²¹

3.91. The Ministry of Agriculture, Forestry, and Food Security (MAFFS) holds the primary responsibility for developing and implementing SPS measures related to crops and livestock. The Ministry of Health and Sanitation is responsible for enforcing SPS regulations concerning food safety and pharmaceuticals. In addition, the Fishery Products Regulations, 2007 designate the Food Unit of the Ministry of Health as the authority responsible for inspection services to verify and certify compliance of fishery and aquaculture products with the regulations.

3.92. The institutional framework has been under construction over the last couple of years, but progress was slow during the review period. In 2017, the Food and Feed Safety Act provided for the establishment of an Authority tasked with developing and maintaining food and feed safety control systems. Upon its establishment, the Authority will be expected to regulate food and feed businesses and ensure compliance with prescribed standards throughout the food and feed chain. The Act also called for the creation of a Food and Feed Safety Scientific Committee to provide scientific advice, technical support, and policy recommendations. The Committee is also expected to be responsible for delivering independent information and communicating risks.

3.93. The Crop Protection Unit under MAFFS is responsible for conducting phytosanitary inspections and certifications for plant imports. However, due to a lack of designated laboratories, inspections are only physical. The PMB, established by an Act of Parliament in 2013, is tasked with regulating export quality control for agricultural products in line with the Agriculture Inspection Rules under Chapter 185 (Cap 185).²² The Livestock and Animal Health Department of MAFFS conducts inspections of livestock, which were limited to two border posts at the time of the previous Review. Inspection fees are borne by importers and exporters. However, the authorities did not provide information about applicable rates.

3.94. In general, a phytosanitary certificate is required for the international transport of plant materials and products. For exports, these certificates are issued by the Phytosanitary Control Unit within MAFFS in accordance with the IPPC format. Certificates are issued following a pest-risk analysis for plant products considered "pathways" for pest introduction, which require fumigation.

3.95. Sierra Leone participates in regional SPS frameworks to further reinforce its biosafety framework. For instance, the Revised ECOWAS Treaty encourages the harmonization of plant and animal protection measures, as well as agricultural strategies and regulations within West Africa. Furthermore, the African Union introduced the SPS Policy Framework for Africa in 2019 to promote enhanced cooperation and harmonization of SPS measures across the continent.²³ However, it appears that the lack of assessment mechanisms to monitor member States' SPS measures has continued to hinder the effective implementation of regional regulations.

3.3.5 Competition policy and price controls

3.96. Sierra Leone does not have competition legislation. A Competition Policy and a Consumer Protection Policy have been in place since 2012. The Ministry of Trade and Industry is in charge of regulating anti-competitive practices. The authorities indicate that it is not unusual for firms to use their dominant position to manipulate prices. Predatory pricing, price fixing, and tying and bundling

²¹ Parliament of Sierra Leone, Fishery Products Regulations, 2007. Viewed at: https://www.parliament.gov.sl/uploads/statutory_instruments/The%20Fisheries%20Product%20Regulations%202006.pdf.

²² International Trade Centre (2023), *Modernising Produce Inspection Rules for Exports in Sierra Leone*. Viewed at: [https://www.intracen.org/file/policy-paper-revision-of-inspection-rules-in-slpdf#:~:text=Chapter%20185%20\(Cap%20185\)%20Native,Cap%20185%20is%20severely%20outdated.](https://www.intracen.org/file/policy-paper-revision-of-inspection-rules-in-slpdf#:~:text=Chapter%20185%20(Cap%20185)%20Native,Cap%20185%20is%20severely%20outdated.)

²³ African Union (2019), *Sanitary and Phytosanitary Policy (SPS) Framework for Africa*. Viewed at: https://au.int/sites/default/files/documents/40036-doc-au_sps_policy_framework_-_full_document.pdf.

are also frequent. Actions taken by the Ministry to address such issues include fines, injunctions, and divestitures.

3.97. The Ministry of Trade and Industry regulates anti-competitive business practices and collaborates with the ECOWAS Regional Competition Authority to promote fair competition in Sierra Leone.

3.98. A Consumer Protection Act was adopted in 2020.²⁴ The Act establishes the National Consumer Protection Commission and details its functions. The Commission is tasked with, *inter alia*, protecting consumer rights and enforcing fair market practices. Its duties include monitoring consumer markets, recommending improvements, investigating non-compliance, and taking corrective actions. Consumers or their representatives can submit complaints about goods, services, or unfair conduct, and the Act outlines procedures for handling these complaints.

3.99. The authorities state that prices are generally set by market conditions. However, they also note that the Government maintains regular interactions with private sector stakeholders involved in essential commodities to address issues related to shortages and excessive price increases. This is the case for rice, fuel, and flour. Prices of regulated services, such as telecommunications, electricity, and water, are subject to the approval by the relevant regulatory bodies. The prices and charges on goods and services provided by government departments, public institutions, and companies owned in majority by the Government are generally regulated.

3.3.6 State trading and state-owned enterprises

3.100. Sierra Leone has not submitted any notifications to the WTO regarding state trading activities as defined under Article XVII:4(a) of the GATT 1994.

3.101. The National Commission for Privatization (NCP) is the governmental body responsible for overseeing the management, privatization, and reform of public enterprises, as outlined in the NCP Act, 2002. The Commission is authorized to approve divestiture policies, establish guidelines for the valuation of public enterprises being privatized, and select strategic investors. However, the Finance Act, 2020 transferred full oversight of Sierra Leone Commercial Bank and Rokel Commercial Bank to the Ministry of Finance.

3.102. State-owned enterprises (SOEs), play an important role in Sierra Leone's economy, as they often engage in commercial activities like agriculture, energy, water, telecommunications, and financial services (Table 3.2).

Table 3.2 State involvement in enterprises, 2024

Sector/entity	Activity/monopoly rights	State ownership (%)
Agriculture and manufacturing		
Sierra Leone Produce and Marketing Company	Export of agricultural produce	100
Forest Industries Corporation	Furniture and logging of timber	100
Seaboard West Africa	Flour mill	0.01
Sierra Leone National Workshop	Economic zone	18
Utilities		
Guma Valley Water Company	Supply of potable water	95
Sierra Leone Water Company	Supply of potable water	100
National Power Authority	National State electricity provider	100
Sierra Leone Postal Services Ltd	Postal services	100
Sierra Leone Telecommunication Co. Ltd	Telecommunications	100
Transport		
Sierra Leone Airport Authority	Airport facilities	100
Sierra Leone Port Authority	Port facilities	100
Sierra Leone Airlines	National airline	100
Sierra Leone National Shipping Company Ltd	Cargo clearing and forwarding services	100
Sierra Leone Road Transport Corporation	Long-distance domestic bus services	100
Sierra Leone Roads Authority	Road construction and maintenance	100
Information services		
Sierra Leone Broadcasting Corporation	Broadcasting	100
Sierra Leone Daily Mail	Newspaper publication	100

²⁴ Parliament of Sierra Leone (2020), The Consumer Protection Act, 2020. Viewed at: https://www.parliament.gov.sl/uploads/bill_files/The%20Consumer%20Protection%20Act,%202020.pdf.

Sector/entity	Activity/monopoly rights	State ownership (%)
Government Printing Department	Printing and supply of stationery	100
Financial services		
Sierra Leone Commercial Bank Ltd	Banking	100
National Development Bank Ltd	Banking	98.98
Rokel Commercial Bank	Banking	51
National Insurance Company	Insurance and life insurance	100
Other		
Sierra Leone State Lottery Co. Ltd	Lottery	100
Sierra Leone Housing Corporation	Construction of houses	100

Source: National Commission for Privatization.

3.103. In 2022, a State Ownership and Governance Policy for State-Owned Enterprises (SOEs) was adopted to address the inefficiencies within SOEs and mitigate their fiscal impact.²⁵ The Policy stipulates that SOEs' operations should be justified only when necessary to correct market failures, manage strategic national assets, or implement public policy objectives. It acknowledges that poor oversight and governance have contributed to SOEs' underperformance, leading to fiscal risks for Sierra Leone and inadequate service delivery. As of December 2019, SOEs' contingent liabilities were estimated at USD 285.82 million, representing 6.8% of the country's GDP. More recent information was not available in the context of this Review.

3.104. Recognizing the need for improved SOE performance, the Policy focuses on strengthening oversight and governance. It proposes the repeal of the NCP Act, 2002 and the enactment of new legislation to establish a centralized ownership entity, accountable to the Office of the President, to oversee SOEs. The Policy also emphasizes competitive neutrality, ensuring that SOEs operating in competitive markets do not receive preferential treatment over private sector companies. This includes SOEs being required to pay all applicable taxes and fees, without gaining special access to resources, services, or financing unavailable to the private sector. The authorities indicate that a new bill has been initiated to further improve the management of SOEs. It is also expected to further clarify the oversight of SOEs.

3.3.7 Government procurement

3.105. The primary goal of Sierra Leone's public procurement system is to ensure that government funds are utilized transparently, efficiently, and equitably.²⁶ In accordance with the legislation in place and as a way of supporting domestic suppliers and the development of domestically produced goods, a procuring entity may provide a margin of preference to favour bids from domestic contractors. The Finance Act, 2019 provided for the granting of preferential measures by procuring entities at the district level.

3.106. In addition, Sierra Leone's public procurement rules and standards encourage procuring entities to consider environmental factors during bid preparation and evaluation, including the prevention or minimization of waste and pollution, energy conservation, and promotion of environmentally friendly products. However, the authorities note that such standards are not yet implemented.

3.107. In an effort to enhance the efficiency of the procurement process, the NPPA is planning to implement an electronic procurement system for government entities in 2025.

3.108. According to the authorities, the total value of procurement in 2021 stood at SLE 1.9 billion.

3.109. An annual public procurement report is, in principle, published every year to present the main developments, including challenges faced by the overall system.²⁷

²⁵ Ministry of Finance, *State Ownership and Governance Policy for State-Owned Enterprises*. Viewed at: <https://mof.gov.sl/documents/state-ownership-and-governance-policy-for-state-owned-enterprises/>.

²⁶ National Public Procurement Authority (NPPA) (2020), *Public Procurement Manual 2020*. Viewed at: <https://nppa.gov.sl/wp-content/uploads/2021/01/Public-Procurement-Manual-2020-final.pdf>.

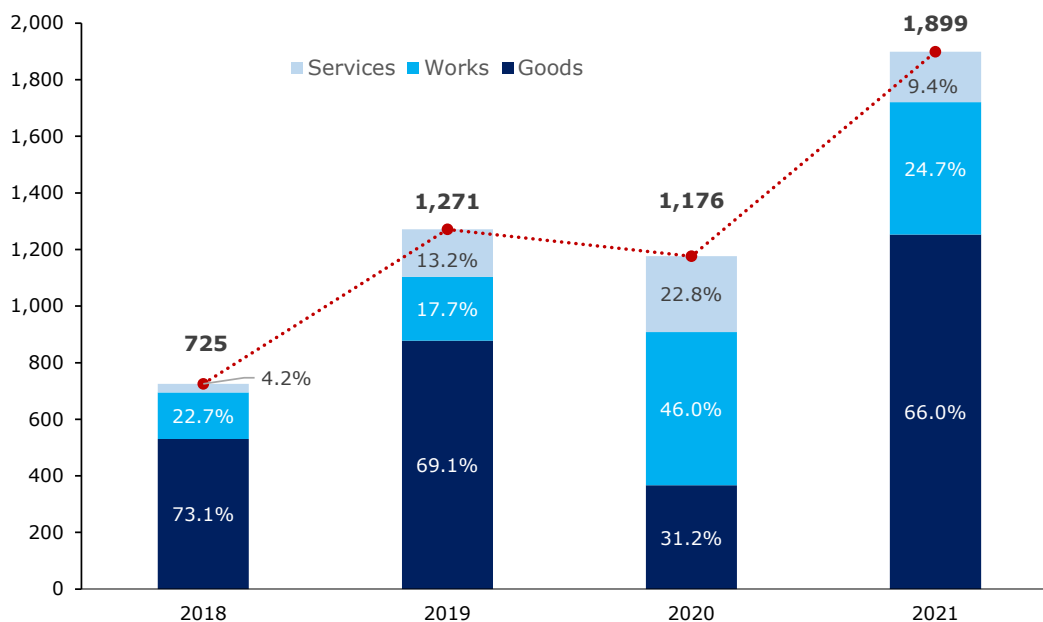
²⁷ NPPA, *2019 Annual Public Procurement Assessment*. Viewed at: <https://nppa.gov.sl/wp-content/uploads/2022/03/2019-Annual-Assessment-Report-BIG-BOOK-1.pdf>.

3.110. The Public Procurement Act, 2016 continues to be the main legislative document that governs public procurement. The main aspects of the system remained unchanged.

3.111. The Act applies to the procurement of goods, works, and services by ministries, public departments and agencies, local councils, SOEs that utilize public funds, other institutions that are wholly owned by the State or in which the State has at least 25% stake, and any entity in the private sector that is given the responsibility for carrying out activities using public funds. Over the last couple of years, procurement of goods has represented the largest part of government procurement, except for 2020 (Chart 3.2). No more recent figures were available.

Chart 3.2 Value of government procurement, 2018-21

(SLE billion)



Note: The figures within each bar represent the share of the total. The round dots represent the total amount.

Source: Information provided by the authorities.

3.112. The adoption of the Public Procurement Regulations in 2020 stands out as a key development during the review period. These regulations address various facets of public procurement, such as electronic communications, capacity-building, data management, updated thresholds for different procurement methods, supplier registration, and environmental protection.²⁸

3.113. Standards and procedures to be followed in the procurement process by public bodies are detailed in the 2020 Public Procurement Manual²⁹, which also provides guidance on complaint procedures relating to breaches in procurement procedures.

3.114. Sierra Leone implements a decentralized procurement system, with procurement units and procurement committees in place in all procuring entities in the public sector. The unit is responsible for conducting the procurement process for the procuring entity, including preparing procurement plans for each fiscal year, receiving the bids, and finalizing the draft procurement contracts. The Procurement Committee appears as an *a priori* control body that checks the validity of tender documents prepared by the unit concerned; the procedure to be followed in awarding procurement contracts; contract award proposals made by the procurement unit; draft contracts to be awarded following the direct contracting procedure to contractors meeting threshold qualifications, and any amendments thereto.

²⁸ NPPA (2020), The Public Procurement Regulations, 2020. Viewed at: <https://nppa.gov.sl/wp-content/uploads/2021/05/Public-Procurement-Regulations-2020.pdf>.

²⁹ NPPA (2020), *Public Procurement Manual 2020*. Viewed at: <https://nppa.gov.sl/procurement-manual>.

3.115. The Act requires that all public procurement be carried out through advertised open bidding processes, ensuring equal access for all eligible and qualified bidders without discrimination.

3.116. To be eligible, bidders must provide documentary evidence certifying their compliance with prescribed requirements. The required documentation includes certificates of registration, tax documents, declarations regarding conflict of interest and criminal history, and evidence of qualifications, financial resources, and past performance, among other specified criteria. The legal framework mandates that the procuring entity must not unfairly discriminate against foreign bidders when establishing the required documentation. SOEs can participate in public procurement if they are legally and financially autonomous, operates under commercial law, and are not a dependent agency of the procuring entity.

3.117. Procurement units must use the appropriate procurement method, taking into account the specific requirements and the revised thresholds established in the 2020 Regulations. Subject to, *inter alia*, available qualified local bidders, a national bidding procedure must be used for procurements below SLE 5 million for goods and services and SLE 8 million for works. An international competitive bidding procedure is required for procurements above these thresholds. Restricted bidding procedures can be used when the products are available from a limited pool of suppliers, or when the time and cost associated with evaluating a large number of bids are considered disproportionate to the procurement's value.

3.118. Requests for quotations from at least three bidders must be used for procurement of goods and services below SLE 250,000 and procurements of works below SLE 500,000. Sole-source procurement (direct contracting) is allowed only under specific and restricted conditions, such as when the works or services can only be provided by a single source due to physical, technical, or policy constraints or in emergency situations. In all instances, approval from the NPPA is mandatory. Request for proposals is the preferred method in the case of procurement of consultant services. A solicitation for expressions of interest is required when the estimated value of the consultants' services is above SLE 5 million.

3.119. Apart from the thresholds, factors to be considered in deciding the procurement method to be used remained broadly unchanged during the review period. Any proposed change to a procurement method must be justified in writing by the procurement unit and receive approval from the Procurement Committee.

3.120. The Act prohibits procuring entities to divide procurements into lots for the purpose of avoiding contract approval thresholds. According to its 2019 report (the most recent report available), the NPPA notes that although there was progress in the value of procurements conducted through open competitive methods, several entities continue to intentionally split procurement activities to bypass open competitive processes persists.³⁰ In the period 2018-21, request for quotation was the most used procurement method by number, while competitive bidding was the most used method by value (Table A3.2). The significant scale of government procurement in Sierra Leone, coupled with the widespread use of manoeuvres to bypass established competitive and transparent procurement procedures, highlights persistent public financial challenges that continue to impede the efficient allocation of resources in the economy.

3.121. The contract must be awarded to the bidder with the lowest evaluated and substantially responsive bid that meets the specified evaluation criteria. Contract awards must be published when the estimated value exceeds SLE 300 million for procurement of goods and services (SLE 600 million for works).

3.122. Bidders that are dissatisfied with the procurement decision have the right to challenge or appeal at any stage of the process. Initially, complaints can be submitted through an application for reconsideration to the head of the procuring entity. If the bidder remains unsatisfied, it may request a review by the Independent Procurement Review Panel and, if needed, escalate the appeal to a high court whose decision is final.

³⁰ NPPA (2019), *Annual Public Procurement Assessment*. Viewed at: <https://nppa.gov.sl/wp-content/uploads/2022/03/2019-Annual-Assessment-Report-BIG-BOOK-1.pdf>.

3.123. Sierra Leone is neither a member of nor an observer to the WTO Agreement on Government Procurement.

3.3.8 Intellectual property rights

3.124. As a least developed country, Sierra Leone benefits from the TRIPS Council's decision to extend the transition period for the full implementation of the TRIPS Agreement to 1 July 2034.³¹ Sierra Leone has also actively participated in the annual workshop on the implementation of Article 66.2 of the TRIPS Agreement and related discussions in the Council.³²

3.125. In the period under review, Sierra Leone maintained its existing IPR legislation (Table 3.3).³³ The OARG is responsible for all IPR matters, including IPR enforcement.

Table 3.3 Sierra Leone's main IPR legislation

Title	Version	Dates	Subject matter
The Trade Marks Act, 2014 (Act No. 8 of 2014)	2014	Published: 9 October 2014 Signature: 17 September 2014	Trade marks Trade names
The Patents and Industrial Design Act, 2012 (Act No. 10 of 2012)	2012	Published: 11 October 2012 Signature: 5 October 2012	Patents (inventions) Utility models Industrial designs
The Copyright Act, 2011 (Act No. 8 of 2011)	2011	Published: 6 October 2011 Signature: 29 July 2011	Copyright and related rights (neighbouring rights)

Source: WIPO, *Sierra Leone*. Viewed at: <https://www.wipo.int/wipolex/en/members/profile/SL>.

3.126. Sierra Leone is a contracting party to the World Intellectual Property Organization (WIPO) and continues to participate in core WIPO treaties (Table 3.4) and related WIPO bodies.³⁴

Table 3.4 Sierra Leone's participation in WIPO treaties

Treaty	Signature	Accession	In force
Marrakesh VIP Treaty	28 June 2013		
Beijing Treaty on Audiovisual Performances	26 June 2012		
Madrid Protocol		28 September 1999	28 December 1999
Madrid Agreement (Marks)		17 March 1997	17 June 1997
Paris Convention		17 March 1997	17 June 1997
Patent Cooperation Treaty		17 March 1997	17 June 1997
WIPO Convention		18 February 1986	18 May 1986

Source: WIPO, *WIPO-Administered Treaties*. Viewed at: <https://www.wipo.int/wipolex/en/treaties/ShowResults?code=SL>.

3.127. Sierra Leone is among the 18 members of the African Regional Intellectual Property Organization (ARIPO), whose mission is to provide a shared pool of expertise in intellectual property matters and to foster harmonization of the relevant national frameworks. It has been a party to the Harare Protocol on Patents and Industrial Designs since 1999 and has not joined other ARIPO treaties.

3.128. Sierra Leone has not concluded any RTAs with provisions on IPRs.³⁵ Sierra Leone is a party to the Convention on Biological Diversity.³⁶

³¹ WTO document [IP/C/88](#), 29 June 2021.

³² WTO documents [IP/C/M/107](#), [IP/C/M/107/Add.1](#), 25 May 2023; and [IP/C/M/104/Add.1](#), [IP/C/M/104/Rev.1](#), [IP/C/M/104](#), 8 April 2022.

³³ For a description of the main features of the legislation, see WTO document [WT/TPR/S/303/Rev.1](#), 10 January 2017.

³⁴ WIPO, *WIPO-Administered Treaties*. Viewed at: https://www.wipo.int/wipolex/en/treaties/ShowResults?search_what=B&code=SL.

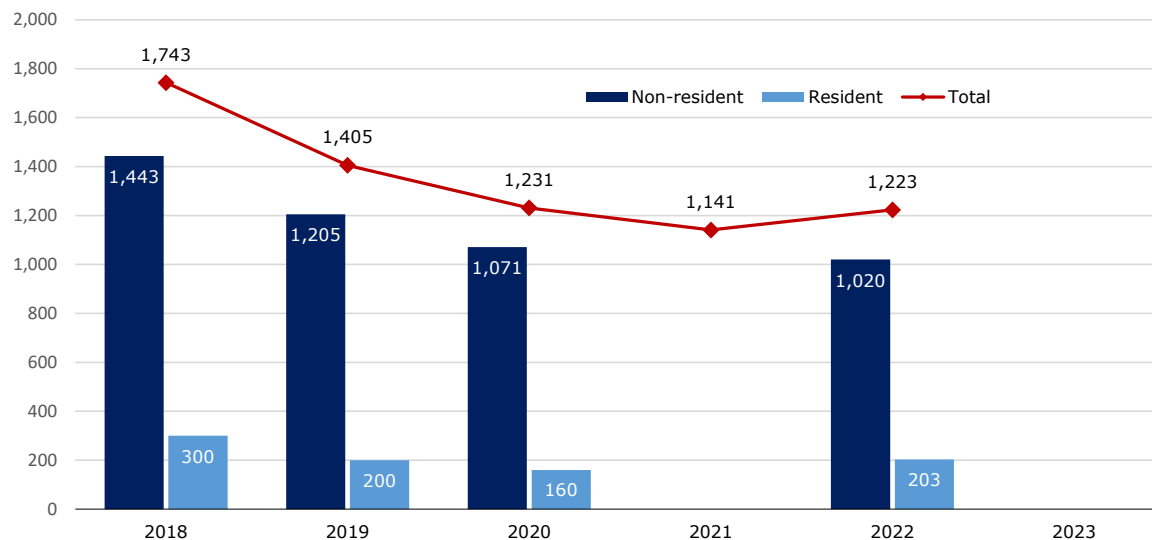
³⁵ WTO RTA Database. Viewed at: <https://rtas.wto.org/UI/PublicMaintainRTAHome.aspx>.

³⁶ Convention on Biological Diversity, *Sierra Leone – Country Profile*. Viewed at: <https://www.cbd.int/countries/profile?country=sl>.

3.129. Only five and four patent applications (from non-residents) were received in 2019 and 2020, respectively³⁷, and the number of industrial design applications stayed similarly low, with five applications in 2018 and 2019 each and four in 2021.³⁸ Trademarks seem of more relevance to Sierra Leone's economy (Chart 3.3).

Chart 3.3 Total trademark applications (direct and via the Madrid System), 2018-23

(No.)



Source: WIPO statistics database. Last updated: December 2023

3.130. As described in the previous Review, the OARG is mandated with the enforcement of IPRs.³⁹ However, no specific measures were implemented during the review period to address infringement activities. The authorities note that the OARG organized meetings with the police and customs administration to raise awareness of issues related to IPR infringement. As was the case during the previous Review, copyrights and trademarks are more commonly infringed upon compared to other forms of IPRs.

3.131. Overall, Sierra Leone stands to gain from further harnessing IPRs in its economic development strategy and updating its legislation to embrace, for example, the relevance of IPRs for the digital economy. The authorities note that an IPR strategic policy is currently being drafted. This policy aims to facilitate the effective application of IPRs to drive innovation in key sectors like agriculture and manufacturing.

³⁷ WIPO IP Statistics Data Center, IPR: Patent. Viewed at: <https://www3.wipo.int/ipstats/ips-search/search-result?type=IPS&selectedTab=patent&indicator=10&reportType=11&fromYear=1980&toYear=2022&ipsOffSelValues=SL&ipsOriSelValues=&ipsTechSelValues=900,901,902>

³⁸ WIPO IP Statistics Data Center, IPR: Industrial Design. Viewed at: <https://www3.wipo.int/ipstats/ips-search/search-result?type=IPS&selectedTab=industrial&indicator=50&reportType=11&fromYear=2018&toYear=2022&ipsOffSelValues=SL&ipsOriSelValues=&ipsTechSelValues=900,901,902>

³⁹ WTO document [WT/TPR/S/303/Rev.1](#), 10 January 2017.

4 TRADE POLICIES BY SECTOR

4.1 Agriculture, forestry, and fisheries

4.1.1 Overview

4.1. Accounting for more than two thirds of GDP in 2023 and employing about three quarters of the country's labour force, the agricultural sector is the backbone of the Sierra Leonean economy.

4.2. The sector's contribution to export earnings was less than 10% of total exports, with a heavy reliance on cocoa. Imported food products account for a large share of domestic consumption. Despite the enabling climate and arable agricultural land, rice and other major food products such as wheat, flour, and poultry continue to be imported in large quantities.

4.3. Agriculture in Sierra Leone holds immense potential. Due to the country's significant rainfall and vast expanses of fertile land, the agricultural sector has significant opportunities to enhance productivity and profitability. Sierra Leone is endowed with some 5.4 million hectares of arable land, with nearly 75% of it still available for cultivation.¹ This favourable climate supports a diverse range of crops and livestock farming. Food crops (predominantly rice and cassava) represent the largest share of the country's agricultural production. However, during the review period, production data for these crops showed significant variability, pointing to a fragile food security situation (Table 4.1).

Table 4.1 Production of main agricultural items, 2018-22

(Tonnes)

	2018	2019	2020	2021	2022
Rice	1,169,418	947,463	1,039,864	1,504,191	1,396,900
Cassava	2,658,029	1,160,121	2,143,953	1,987,368	1,622,822
Sweet potato	230,339	221,580	263,140	195,015	235,155
Groundnut	93,191	134,442	77,685	89,901	69,493
Pepper	39,791	22,510	83,638	158,214	175,857
Oil palm	5,441,226	4,936,256	5,186,796	5,009,233	5,117,372

Source: Ministry of Agriculture and Forestry (MAF).

4.4. This contrasts with the previous review period, when authorities reported a doubling of rice paddy production to over one million tonnes between 2006 and 2012, driven by policies aimed at boosting productivity and expanding cultivated areas. Additionally, they highlighted a fourfold increase in cassava production during the same period, thanks to government support in providing farmers with processing equipment and improved planting materials. The majority of food crops are produced by smallholder farmers with average land holdings of between 0.5 and 2.0 hectares.²

4.5. Agricultural productivity and crop yields are hindered by various issues. Key factors include declining soil fertility caused by land overuse, limited availability of agricultural inputs, and the prevalence of pests and diseases. Additionally, the authorities highlight the lack of investment in agricultural infrastructure, such as rural roads and irrigation systems, as significant barriers to production. Furthermore, productivity is impacted by limited access to technical knowledge, innovations, and advanced farming practices. Post-harvest losses are exacerbated by insufficient storage facilities and drying floors, leaving farmers vulnerable to significant crop losses. According to the authorities, post-harvest losses are estimated to average 40% and much higher for crops including vegetables, fruits, cassava, and sweet potato. Limited access to financial services constrains farmers from investing in agricultural inputs, with smallholders being particularly affected due to the high cost of credit.³ As indicated at the time of the previous Review, Sierra Leone's land tenure system tended to keep a sizeable portion of arable land away from productive activities. Foreign nationals and companies are not allowed to own land. They may lease land by entering into a joint venture with the local paramount chief, who consults with local customary landowners, and

¹ The Investor's Guide to Sierra Leone, *Agriculture and Fisheries*. Viewed at: <https://www.investingsinsierraleone.com/agriculture-and-fisheries/#>.

² Global Forum for Rural Advisory Services (2017), *Sierra Leone: Landscape Analysis*. Viewed at: <https://www.g-fras.org/en/reviews-assessments/item/974-sierra-leone-landscape-analysis.html>.

³ USAID and INGENAES (2017), *Sierra Leone: Landscape Analysis*. Viewed at: https://www.academia.edu/37158073/Sierra_Leone_Landscape_Analysis_focusing_on_agricultural_extension_and_gender_and_nutrition.

if the principle of the lease is accepted, the investor must request approval from the Ministry of Agriculture. A land lease agreement may not exceed 50 years, with a possibility of renewal for 21 years. The annual rent rate amounts to USD 5 per acre of land initially and is subject to a review every five years.

4.6. These challenges have resulted in Sierra Leone's limited integration into global agricultural value chains. According to the authorities, a value chain analysis has been conducted for several key products, including cocoa, oil palm, cassava, vegetables (such as cabbage), rice, ginger, and poultry (with a focus on eggs). The analysis revealed that minimal value addition occurs in all cases, with the value chains being short, often consisting of only two or, at most, three stages.

4.1.2 Policy developments

4.7. The Ministry of Agriculture and Food Security oversees the overall development of the agriculture sector.

4.8. The Medium-Term National Development Plan (MTNDP) 2019-2023 has served as the overarching policy strategy framework for the Government to steer Sierra Leone towards improved economic growth and development. Agriculture was an important policy objective under the MTNDP 2019-2023. Over that period, the authorities developed the National Agricultural Transformation Policy 2019-2023 (NATP 2023), a strategy that aims to put agriculture at the centre of economic development. It details plans for achieving the agricultural objectives of the MTNDP. The NATP 2023 focuses on developing agricultural value chains by increasing agricultural productivity and production and establishing crops and livestock processing zones across the country. It also aims to enhance market access and improve credit availability for marginalized groups, particularly women and rural communities.⁴

4.9. The Government relied on foreign direct investment (FDI) to enhance productivity through mechanized agricultural development and investments along the agriculture value chain. Under NATP 2023, one of the key objectives was to increase public funding for agricultural projects to 10% of the national budget within the first two years, while simultaneously encouraging private sector investment. This initiative was supported by over USD 200 million in funding from international organizations such as the World Bank, the FAO, and the European Union. At the time of the NATP 2023's implementation, several commercial agricultural companies undertook operations in Sierra Leone; engaged in the production or processing of products such as palm oil, timber, rice, and seed sorghum; and provided agri-machinery contracting services. Other ventures included pineapple cultivation, canning, and the manufacturing of juice concentrates.⁵

4.10. In 2023, as part of the agricultural component of Sierra Leone's MTNDP 2024-2030, the Feed Salone Strategy (2023-2028) replaced the NATP as the overarching framework for agricultural reform.⁶ The Strategy is structured around six strategic pillars aimed at enhancing mechanization and irrigation systems; the seeds and inputs supply chain; aggregation, processing, and marketing infrastructure; agricultural financing; the use of agricultural technology and climate-smart practices; and empowering women and youth in the sector.

4.11. Key objectives include achieving self-sufficiency in staple foods such as rice, poultry, onions, and cassava flour to reduce dependence on food imports; optimizing value chains for export-oriented cash crops to boost foreign exchange earnings; developing agro-industrial zones dedicated to full-scale production to create rural employment opportunities and support livestock farming, particularly small ruminants; and implementing sustainable, climate-smart agricultural practices by improving soil fertility, enhancing water management, diversifying crop production, and increasing resilience to climate change.

4.12. In an effort to strengthen the market infrastructure for smallholder farmers, the International Fund for Agricultural Development (IFAD)-funded Rural Finance and Community Improvement

⁴ International Trade Centre (2023), *Access to Input for Agricultural Exports in Sierra Leone*. Viewed at: <https://www.intracen.org/file/policy-paper-access-to-agri-inputs-in-slpdf>.

⁵ Investing in Sierra Leone, *Agriculture and Fisheries: Sectors in Perspective*. Viewed at: <https://www.investinginsierraleone.com/agriculture-and-fisheries/#>.

⁶ Government of Sierra Leone, *The Feed Salone Strategy*. Viewed at: <https://feedsalone.gov.sl/wp-content/uploads/2023/11/FEED-SALONE-STRATEGY-GOSL.pdf>.

Programme (RFCIP) reportedly established a network of lending institutions specifically tailored to the needs of these farmers. Two key institutions were created as part of the RFCIP: the Financial Service Associations (FSAs) and the Community Banks (CBs). FSAs are group-owned financial institutions that encourage member ownership by requiring the purchase of shares to access agricultural credit. CBs are regulated by the Bank of Sierra Leone (BSL) and provide credit programmes and savings accounts to serve small to medium-sized agribusinesses.⁷

4.13. During the review period, Sierra Leone's agricultural development strategies have consistently emphasized the importance of an efficient, private-sector-led agricultural input supply system to drive productivity growth. Since 2017, the country transitioned from a centralized, government-led model of input procurement and distribution to one led by the private sector. This shift has been accompanied by the establishment of new agricultural institutions aimed at regulating private sector actors within this framework, as noted by the UN/WTO International Trade Center. The Sierra Leone Seed Certification Agency Act of 2018 and its accompanying regulations from 2020 created the Sierra Leone Seed Certification Agency (SLeSCA), which now governs the private-sector-driven seed value chain, replacing the previous state-subsidized system. The SLeSCA is responsible for overseeing seed certification, packaging, labelling, storage, and testing, including for imported seeds, with importation restricted to licensed seed sellers. Standards in Sierra Leone align with the ECOWAS Harmonized Seed Regulations. However, despite these reforms, many farmers continue to depend on the informal sector for seeds and frequently face challenges with seed quality and mislabelling.⁸

4.14. In line with these reforms, the authorities adopted the National Fertilizer Policy in 2017, transitioning from a government-led fertilizer strategy to one driven by the private sector. This policy is aligned with the ECOWAS Regulation on fertilizer quality control, which aims to harmonize the rules governing fertilizer quality across ECOWAS member States. The policy's objectives include regulating and supervising fertilizer packaging, inspecting and analysing fertilizers distributed within the country, overseeing the import and export of fertilizers, and issuing licences to fertilizer importers, exporters, and manufacturers.

4.15. In 2024, import tariffs on agricultural products were 14.4% based on the WTO definition and 11.9% according to the ISIC classification. Agricultural inputs are generally low, varying from zero to 5% for fertilizers and 5% to 10% for agricultural machineries.

4.16. Coffee, cocoa, palm kernel oil, palm kernel cake, ginger, and piassava are subject to export levies (Section 3.2.2).

4.1.3 Forestry

4.17. The FAO considers Sierra Leone as moderately forested with 14.7% forest cover, and a further 61.1% of land classified as other wooded land.⁹ It also noted that over the next two decades, the area of legally designated forest estates is expected to decline due to a heavy reliance on biomass-based energy, logging, mining activities, and urban and agricultural expansion, which will permanently alter land use. In situations involving mining encroachments, the forest land may be replanted after mining operations conclude. Approximately 10% of the country's land area, including government-controlled estates and salvage areas with closed forests, is projected to be deforested at a rate of about 1.5% to 2.0% per year.¹⁰

4.18. No significant developments were registered in the forestry industry during the period under review. In accordance with the country's MTNDP 2024-2030, the Government aims to ensure that the national territory under sustainable carbon financing at least doubles from a baseline of 71,000 hectares, and an additional 10 million trees are planted. In 2019, a National Programme for Tree Planting and Reforestation was established, to which the Government allocated initial funding

⁷ Global Forum for Rural Advisory Services, *Sierra Leone Landscape Analysis*. Viewed at: <https://www.g-fras.org/en/reviews-assesments/item/974-sierra-leone-landscape-analysis.html>.

⁸ ITC (2023), *Access to Inputs for Agricultural Exports in Sierra Leone*. Viewed at: <https://www.intracen.org/file/policy-paper-access-to-agri-inputs-in-slpdf>.

⁹ FAO (2020), *Global Forest Resource Assessment 2020: Sierra Leone*. Viewed at: <https://openknowledge.fao.org/server/api/core/bitstreams/23ea40fb-1371-4685-ab11-6212af08a8a6/content>.

¹⁰ FAO, *Forestry Sector in 2020*. Viewed at: <https://www.fao.org/4/ab577e/AB577E04.htm>.

of USD 2.4 million in 2019.¹¹ A National Timber Governance Agency was also expected to be established to oversee the licensing of timber production and exports alongside the reforestation programme.

4.19. Forestry and plantation activities, in particular, provide opportunities for foreign investors to earn credits under the Framework Convention on Climate Change Clean Development Mechanism that can be traded on the global carbon market. Sierra Leone aims to seize the opportunities presented by the development of such a market through various carbon capture projects.¹² In this context, the authorities indicated that in 2019 the Government was developing a strategic vision to make Sierra Leone Africa's first zero-carbon middle-income economy by 2040. Updated details regarding the project's implementation were not available.

4.20. The MAF is responsible for forest issues. Its Division of Forestry is responsible for policy implementation. The Forestry Act, 1988 and the Wildlife Act, 1972 remain the main pieces of legislation in the sector.

4.21. As noted in the previous Review, the Forestry Act mandates a permit for activities conducted in classified forests. A permit is generally required for cutting; burning; uprooting; damaging or destroying trees; removing timber or forest products; clearing land; constructing roads or structures; extracting earth, clay, sand, gravel, or stone; cultivating crops; and grazing animals.

4.22. The Forestry Act establishes a Reforestation Fund aimed at financing and promoting reforestation initiatives. The Fund is financed through a fee set at 10% of the value of exports, which is collected on timber, non-timber forest products, and associated transportation costs. These funds are then redistributed to districts to support their reforestation efforts. Information on the Fund's endowment was not available.

4.23. Sierra Leone is a party to the Convention on the Conservation of Biodiversity, the UN Framework Convention on Climate Change, the Convention on International Trade in Endangered Species of Wild Fauna and Flora, the International Convention to Combat Desertification, the World Heritage Convention, and the African Convention on the Conservation of Nature and Natural Resources.

4.1.4 Fisheries

4.24. The fisheries sector is regulated by the Fisheries and Aquaculture Policy (2016), the Fisheries Strategy (2016), the Fisheries and Aquaculture Act (2018), the Fisheries Fees Regulations (2018), and the Fisheries Regulations (1995). Sierra Leone has a coastline of 506 km¹³, with a commercially viable stock of fish. The fisheries sector is a vital component of the economy.

4.25. Fish catches during the review period were worth an estimated first-sale value of over USD 200 million annually. As the main source of livelihood and animal protein, the sector provides direct employment to some 200,000 persons and indirect employment to some 600,000 persons, and it contributes over 10% to the country's GDP. The total annual production is estimated at 228,000 tonnes, with the marine artisanal catch contributing approximately 150,000 tonnes and industrial catch production accounting for around 78,000 tonnes.¹⁴

4.26. The capital-intensive industrial fisheries subsector, primarily composed of foreign vessels, operates in offshore waters. Common types of industrial vessels and fleets include purse seiners, pelagic longliners, demersal and pelagic trawlers, and shrimp trawlers. Highly migratory tuna stocks and deep-water rose shrimp, found mainly offshore, also attract high-seas fishing vessels. Fish

¹¹ Investing in Sierra Leone, *Agriculture and Fisheries: Sectors in Perspective*. Viewed at: <https://www.investingsierraleone.com/agriculture-and-fisheries/#>.

¹² Investing in Sierra Leone, *Agriculture and Fisheries: Sectors in Perspective*. Viewed at: <https://www.investingsierraleone.com/agriculture-and-fisheries/>.

¹³ Government of Sierra Leone (2021), *National Adaptation Plan*. Viewed at: https://unfccc.int/sites/default/files/resource/SierraLeone_iNAP_Final.pdf.

¹⁴ MFMR, *Fisheries Management Plan for Sierra Leone 2020-2025*. Viewed at: <https://faolex.fao.org/docs/pdf/sie214135.pdf>.

processing establishments, mainly focused on exporting croaker species, have been expanding rapidly in recent years, indicating the emergence of a robust value chain in the country.

4.27. The traditional artisanal fishery, which is focused on inshore marine fisheries, and aquaculture, remains relatively underdeveloped in Sierra Leone but holds significant potential.¹⁵ The Inshore Exclusion Zone is generally reserved for artisanal and recreational fisheries, in accordance with the legal framework. The Ministry of Fisheries and Marine Resources oversees the development and conservation of Sierra Leone's fisheries resources.¹⁶

4.28. One of the main policy challenges is the effective control of fishing activities to prevent overfishing, and the application of measures for a sustainable fishing industry and to align the total fishing capacity with the allowable annual catch.¹⁷

4.29. The weakness of Sierra Leone's fisheries management system and its limited capability to patrol its own EEZ has made the country highly vulnerable to illegal fishing by foreign fleets. This poses a threat to the existence of the country's fisheries resources as it leads to both economic and biological overexploitation. For the first time in the history of Sierra Leone, a closed season was observed in April 2019. Throughout this one-month period, all industrial fishing vessels were prohibited from fishing activities. This decision was made as part of a fisheries management strategy and in response to concerns that the country's fisheries resources were being exploited in a biologically unsustainable manner.

4.30. The economic and social impacts of IUU fishing at both national and community/household levels include loss of revenues in terms of taxes, licence fees, export revenues, stock reduction, unemployment, food insecurity, and expenditures for surveillance operations.

4.31. During the review period, Sierra Leone adopted the Fisheries and Aquaculture Act, 2018 (No. 10 of 2018), which provides general rules relating to commercial and artisanal fishing by nationals of Sierra Leone wherever they are (beyond the fisheries waters, including fishing on the high seas or in waters under the jurisdiction of another State) and commercial fishing by foreigners in the fisheries waters of Sierra Leone and rules relating to aquaculture. The Act outlines the objectives and goals for the management and development of fisheries. It mandates the Director of Fisheries, in collaboration with relevant stakeholders, to implement annual Fisheries Management Plans, subject to the Minister's prior approval, concerning any fishery resources or areas within Sierra Leone's territorial waters. In 2019, a Fishery Management Plan for Sierra Leone (2020-2025) and a National Plan of Action to Prevent, Deter and Eliminate Illegal, Unreported and Unregulated Fishing were adopted.

4.32. To fish in Sierra Leone waters, a vessel must obtain a valid registration certificate issued by the Director of Fisheries. Before importing, constructing, acquiring a new fishing vessel or gear, or converting a vessel for fishing purposes, authorization from the Director of Fisheries is required. This authorization ensures a thorough background check to confirm that the vessel and its prospective owner have never participated in IUU fishing activities. A license or authorization issued by the Director of Fisheries is mandatory before engaging in a specified set of activities. These activities include, but are not limited to, using a fishing vessel (national or foreign) for fishing or related purposes, employing a Sierra Leone fishing vessel for operations outside the fisheries waters, operating a fish processing establishment or storage facility, exporting or importing live fish or other fish products, and introducing any genetically modified fish into the fisheries waters.

4.33. The Act also addresses various aspects, including international and regional cooperation in fisheries management to combat IUU fishing, as well as monitoring, control, and surveillance of fisheries and related activities. It outlines enforcement measures regarding pollution in fisheries waters, the development and regulation of aquaculture (covering issues like escape of aquaculture stocks, use of drugs and chemicals, aquaculture waste, and transboundary aquaculture ecosystems), and the Declaration of Protected or Endangered Aquatic Species. Additionally, it specifies offenses

¹⁵ MFMR (2016).

¹⁶ SLIEPA, *Ministry of Fisheries and Marine Resources*. Viewed at: <https://www.sliepa.gov.sl/invest-in-sierra-leone/existing-investors/p/item/20749/ministry-of-fisheries-and-marine-resources>.

¹⁷ Stop Illegal Fishing (2019), "Sierra Leone News: Execution of Fisheries Policy May Be Troubled by Limited Resources", 25 February. Viewed at: <https://stopillegalfishing.com/press-links/sierra-leone-news-execution-of-fisheries-policy-may-be-troubled-by-limited-resources/>.

and penalties. The Act prohibits the taking, importing, exporting, landing, transshipping, or purchasing of any fish or fish products caught in violation of the laws of another State, as well as using a vessel for fishing or related activities for illegal purposes within Sierra Leone waters.

4.34. Sierra Leone has ratified the United Nations Fish Stocks Agreements, the Port States Measures Agreement, and the FAO Compliance Agreement in 2019. On 20 June 2024, Sierra Leone ratified the WTO Agreement on Fisheries Subsidies. The authorities recognize that IUU fishing, overfishing, overcapacity, and unregulated high-seas fisheries significantly contribute to the depletion of global fish stocks. They emphasize the importance of addressing these issues to enhance fisheries sustainability and promote a sustainable blue economy, particularly for the millions of predominantly poor individuals who depend on fishing for their livelihoods.

4.35. Sierra Leone views the ratification of the Agreement as an opportunity to strengthen its fisheries sector and access the WTO Fisheries Funding Mechanism, which supports the integration of sustainability into fisheries subsidy policies, improves fisheries management systems for sustainable practices, and ensures compliance with notification and transparency obligations related to fisheries information, policies, and practices.

4.2 Mining and energy

4.2.1 Mining

4.36. Sierra Leone is well known for its vast endowment in minerals, which include diamonds, rutile, bauxite, gold, and iron ore, as well as its promising petroleum potential (Table 4.2). Value-added activities are still limited, with most mineral products being exported in their raw, unprocessed form.

Table 4.2 Production figures of the main mineral products since 2017

Mining statistics: minerals production, exports and export values				
Year	Minerals/category	Production stats		Export stats
		Volume	Unit	Volume
2017	Iron ore	6,521,008	WMT	5,946,675
	Diamond	319,107	Carats	280,055
	<i>Large scale</i>	137,629	Carats	98,577
	<i>Artisanal</i>	181,478	Carats	181,478
	Gold	5,011	Oz	5,011
	<i>Large scale</i>	-	Oz	-
	<i>Artisanal</i>	5,011	Oz	5,011
	Gold concentrate	-	WMT	-
	Coltan	517	DMT	517
	Bauxite	1,823,552	WMT	1,646,854
	Rutile	165,467	DMT	161,815
	Ilmenite	57,026	DMT	59,652
	Garnet	-	DMT	-
	Zircon in concentrate	619	DMT	30,555
	Heavy minerals concentrate	1,244	DMT	1,244
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	-	DMT	-
	<i>Artisanal</i>	1,244	DMT	1,244
2018	Iron ore	-	WMT	968,585
	Diamond	759,763	Carats	741,180
	<i>Large scale</i>	578,834	Carats	559,672
	<i>Artisanal</i>	180,929	Carats	181,508
	Gold	4,776	Oz	4,776
	<i>Large scale</i>	-	Oz	-
	<i>Artisanal</i>	4,776	Oz	4,776
	Gold concentrate	-	WMT	-
	Coltan	429	DMT	429
	Bauxite	2,034,355	WMT	1,822,123
	Rutile	113,669	DMT	104,540
	Ilmenite	54,645	DMT	53,723
	Garnet	-	DMT	-
	Zircon in concentrate	13,245	DMT	57,653
	Heavy minerals concentrate	600	DMT	600
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	-	DMT	-
	<i>Artisanal</i>	600	DMT	600
2019	Iron ore	722,305	WMT	174,665
	Diamond	772,218	Carats	804,387

Mining statistics: minerals production, exports and export values				
Year	Minerals/category	Production stats		Export stats
		Volume	Unit	Volume
	<i>Large scale</i>	604,205	Carats	636,375
	<i>Artisanal</i>	168,013	Carats	168,013
	Gold	2,597	Oz	2,597
	<i>Large scale</i>	-	Oz	-
	<i>Artisanal</i>	2,597	Oz	2,597
	Gold concentrate	2,649	WMT	2,425,414
	Coltan	219	DMT	219
	Bauxite	2,017,606	WMT	1,785,436
	Rutile	132,805	DMT	126,498
	Ilmenite	61,326	DMT	53,853
	Garnet	-	DMT	-
	Zircon in concentrate	2,644	DMT	36,897
	Heavy minerals concentrate	13,110	DMT	13,110
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	11,990	DMT	11,990
	<i>Artisanal</i>	1,120	DMT	1,120
2020	Iron ore	-	WMT	-
	Diamond	686,032	Carats	641,370
	<i>Large scale</i>	602,993	Carats	558,331
	<i>Artisanal</i>	83,039	Carats	83,039
	Gold	861	Oz	861
	<i>Large scale</i>	-	Oz	-
	<i>Artisanal</i>	861	Oz	861
	Gold concentrate	783	WMT	751,558
	Coltan	396	DMT	396
	Bauxite	1,441,982	WMT	1,308,951
	Rutile	116,564	DMT	107,829
	Ilmenite	45,822	DMT	58,468
	Garnet	-	DMT	6,126
	Zircon in concentrate	-	DMT	30,641
	Heavy minerals concentrate	9,852	DMT	9,852
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	3,543	DMT	3,543
	<i>Artisanal</i>	6,309	DMT	6,309
2021	Iron ore	1,583,828	WMT	1,732,081
	Diamond	841,832	Carats	838,383
	<i>Large scale</i>	653,584	Carats	650,135
	<i>Artisanal</i>	188,248	Carats	188,248
	Gold	4,129	Oz	3,047
	<i>Large scale</i>	2,709	Oz	1,628
	<i>Artisanal</i>	1,419	Oz	1,419
	Gold concentrate	453	WMT	648,739
	Coltan	353	DMT	353
	Bauxite	1,443,691	WMT	1,462,650
	Rutile	127,053	DMT	129,359
	Ilmenite	52,142	DMT	39,915
	Garnet	2,219	DMT	7,711
	Zircon in concentrate	4,073	DMT	20,400
	Heavy minerals concentrate	39,951	DMT	39,951
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	20,537	DMT	20,537
	<i>Artisanal</i>	19,414	DMT	19,414
2022	Iron ore	4,370,079	WMT	7,485,604
	Diamond	680,106	Carats	707,110
	<i>Large scale</i>	524,549	Carats	551,553
	<i>Artisanal</i>	155,557	Carats	155,557
	Gold	5,026	Oz	4,319
	<i>Large scale</i>	3,990	Oz	3,283
	<i>Artisanal</i>	1,036	Oz	1,036
	Gold concentrate	514	WMT	428,032
	Coltan	235	DMT	235
	Bauxite	973,424	WMT	851,641
	Rutile	135,812	DMT	122,450
	Ilmenite	58,590	DMT	62,360
	Garnet	-	DMT	-
	Zircon in concentrate	10,709	DMT	41,564
	Heavy minerals concentrate	46,035	DMT	46,035
	<i>Large scale</i>	-	DMT	-
	<i>Small scale</i>	24,705	DMT	24,705
	<i>Artisanal</i>	21,330	DMT	21,330

Mining statistics: minerals production, exports and export values				
Year	Minerals/category	Production stats		Export stats
		Volume	Unit	Volume
2023	Iron ore	10,066,540	WMT	10,203,854
	Diamond	530,221	Carats	525,845
	<i>Large scale</i>	444,730	Carats	440,354
	<i>Artisanal</i>	85,492	Carats	85,492
	Gold	5,563	Oz	3,733
	<i>Large scale</i>	4,449	Oz	2,619
	<i>Artisanal</i>	1,114	Oz	1,114
	Gold concentrate	-	WMT	-
	Coltan	308	DMT	308
	Bauxite	1,353,708	WMT	1,332,349
	Rutile	112,241	DMT	108,349
	Ilmenite	44,839	DMT	36,995
	Garnet	-	DMT	7,000
	Zircon in concentrate	27,776	DMT	27,024
	Heavy minerals concentrate	92,977	DMT	92,977
	<i>Large scale</i>	6,024	DMT	6,024
	<i>Small scale</i>	81,235	DMT	81,235
	<i>Artisanal</i>	5,718	DMT	5,718

- Nil.

Note: DMT = dry metric tonne; WMT = wet metric tonne.

Source: Information provided by the authorities.

4.37. During the review period, mining's contribution to GDP steadily rose from 2.1% in 2017 to 5.6% in 2023, due to the resumption of some mining activities notably iron ore. However, its contribution to export earnings fluctuated over the same period, with a significant surge from 69.2% in 2021 to 92.3% in 2023. The authorities aim to enhance governance and management within the mining sector, focusing on value addition to promote employment, poverty reduction, community benefits, environmental restoration, and revenue generation. Key goals include raising mining revenue from 10% of domestic revenue in 2017 to 20% by 2030, increasing the mining sector's contribution to GDP from 5% in 2017 to 20% by 2030, and completing environmental rehabilitation at five mining sites across the country by 2030.¹⁸ As an action to assess the country's mineral resources, the Government undertook a geophysical survey and collected data on the type, quantity, and location of minerals in 2019.

4.38. The Ministry of Mines and Mineral Resources is responsible for managing, overseeing, and regulating exploration, mining, and the trade of minerals. This includes formulating policies and coordinating efforts between government agencies related to the development of the mineral sector. The National Mineral Agency, established under the Ministry, is in charge of providing technical support to the Ministry, including the execution, monitoring, and enforcement of licences.

4.39. Among reform steps, during the review period, the Parliament enacted the Mines and Mineral Development Act, 2022, and its 2023 implementing Regulations¹⁹, which repealed the 2009 Mines and Minerals Act. The reform is expected to enhance exploration, mining, and mineral development, as well as the sale and export of minerals, to drive socio-economic benefits for the people of Sierra Leone. It also promotes transparent and accountable management of the minerals sector, aligning with international best practices. The Act mandates that companies secure free, prior, and informed consent from local communities and landowners before initiating or continuing projects. Additionally, during the review period, notable legislative reforms were implemented, including the adoption of the Extractive Industries Revenue Act, 2018 and the Environment Protection Act, 2022.

4.40. Under the Mines and Minerals Act, all mineral resources are owned by the State, and their exploitation is regulated through licences. These licences are divided into five categories: reconnaissance, exploration, artisanal mining, small-scale mining, and large-scale mining, with minimal restrictions for foreign entities. Artisanal mining is reserved exclusively for Sierra Leonean citizens. However, reconnaissance, exploration, and large-scale mining licences are available to both

¹⁸ MTNDP 2024-2030.

¹⁹ National Mineral Agency, The Mines and Mineral Development Regulations, 2023. Viewed at: https://www.nma.gov.sl/wpcontent/uploads/2024/08/The_Mines_and_Minerals_Development_Regulations_2023.pdf; and The Mines and Mineral Development Act, 2022. Viewed at: https://www.nma.gov.sl/wpcontent/uploads/2024/08/The_Mines_and_Minerals_Development_Act_2022.pdf.

national and foreign legal entities. Small-scale mining licences are limited to corporate bodies incorporated or registered in Sierra Leone, with at least 30% of shares held by Sierra Leonean citizens, or to cooperative societies registered in Sierra Leone with at least 30% of their members being Sierra Leonean citizens.

4.41. Annual charges apply to mining fees and renewals, and royalties are calculated based on the market value of extracted minerals. Licence categories and related fees are provided in Schedule 1 of the Mines and Mineral Development Regulations, 2023. Before mining can commence, companies must obtain an environmental impact assessment licence, valid for 12 months, from the Environmental Protection Agency. Furthermore, firms are required to ensure a safe and healthy working environment for their employees. Mineral exporters and dealers are also required to obtain a licence.

4.42. As was the case under the previous mining regime, holders of small- and large-scale mining licences are required to prioritize the recruitment of nationals and implement a programme for training and employing local workers. Large-scale mining licence holders are required to obtain a land lease or other rights to use the land. In accordance with the Mines and Mineral Development Act, 2022, rent is distributed among stakeholders: 70% to landowners, 10% to the district council, 10% to paramount chiefs, and 10% to the Constituency Development Fund.

4.43. The Government continues to maintain incentives to further boost mining activities in Sierra Leone. Such incentives include full deduction of fees related to prospection and exploration activities from taxable income, a deduction of 40% of production costs from the taxable income during the first year of activity, and a 10% amortization of start-up costs. Individuals may also deduct 50% of some investment expenditures from their personal income taxes, up to a limit of USD 150,000.

4.44. Sierra Leone has been a member of the Kimberley Process since 2003 to protect the legitimate trade in rough diamonds. The Diamond Cutting and Polishing Act of 2009 regulates the issuance of licences that entitle the holder to buy, deal in, export, and import diamonds. Sierra Leone is also a signatory to the Extractive Industry Transparency Initiative (EITI) to improve governance and revenue management in the extractive sector.

4.45. Export taxes are collected on diamonds (3% of the assessed value) and gold (5% of the assessed value) (Section 3.2.2).

4.2.2 Energy

4.2.2.1 Overview

4.46. Biomass remains Sierra Leone's main source of energy, accounting for some 80% of the total energy in 2017. Some 13% of energy demand was met by petroleum products and the remaining by renewables. Biomass energy was predominantly used by households, while petroleum products were mainly used in transportation.

4.47. The Ministry of Energy is responsible for oversight of the sector. However, other ministries retain responsibility over some specific issues. For instance, the Ministry of Agriculture, Forestry and Food Security is in charge of issues related to bioenergy and crop-related energy, and the Ministry of Trade and Industry, through its Petroleum Regulatory Agency, deals with the marketing and sales of petroleum products.

4.48. Under the MTNDP 2024-2030, the Government aims to provide adequate, affordable, and sustainable power supply nationwide to stimulate economic development through the consolidation, improvement, and expansion of existing energy supply infrastructure and ensure energy security for sustainable development. The Plan's targets consist of increasing the percentage of the population with access to electricity from 32% in 2021 to 60% by 2030, the percentage of households with access to electricity from 25.4% in 2021 to 60% by 2030, and the number of district headquarters

towns with reliable electricity supply from 9 in 2021 to 16 by 2030. An obsolete and inefficient transmission and distribution network largely explains the low access to electricity in Sierra Leone.²⁰

4.49. The strategic objective for the energy sector is to produce/generate and distribute adequate electricity and power from renewable and clean sources for increased access for the population to enhance economic growth and development. The Sierra Leone national energy policy document (2009) remains the guiding framework for the Government's energy strategy. This policy is complemented by the Renewable Energy Action Plan (2016) and the Bioenergy Action Plan (2022), developed in alignment with the ECOWAS Bioenergy Policy. The authorities consider that improved energy supply results in improved standards of living, which manifests in increased food production and storage, increased industrial output, provision of efficient transportation and adequate shelter, and improved healthcare and enhancements in other human services.

4.2.2.2 Petroleum

4.50. The upstream segment of the petroleum sector in Sierra Leone remains in the exploration phase. The Government's vision for the development of the oil and gas industry involves investing in geological data collection, enhancing pre-qualification criteria, and offering fiscal incentives to attract foreign oil and gas companies.²¹ The Government has entered into a revenue-sharing agreement with GeoPartners, a UK-based company, to conduct a seismic survey in areas that have not yet been explored. This survey aims to improve understanding of subsurface structures and reservoir characteristics.

4.51. The Petroleum Act is the primary legislation regulating petroleum exploration and production activities in Sierra Leone. It grants the Republic of Sierra Leone ownership and control over petroleum resources (crude oil, natural gas, or both) in their natural state. The Act outlines the necessary licences for specific activities within the petroleum sector and establishes obligations related to environmental protection, worker health and safety, and local participation.

4.52. The rights that can be granted under the Petroleum Act include a reconnaissance permit, a petroleum licence, and a permit for the laying and operation of pipelines (Table 4.3).

Table 4.3 Petroleum rights, related fees, and conditions

Licence/mode of acquisition	Conditions	Rights
Reconnaissance permit		
Application submitted to the Petroleum Directorate	- Duration: by negotiation - Non-renewable - No fee	Non-exclusive right to reconnaissance operations
Petroleum licence		
Call for tenders or for direct negotiations	- Maximum duration: 30 years, extendable once for 10 years - Application fee: USD 25,000/block	Exclusive rights to exploration and production operations
Permit to build and operate pipelines		
Application submitted to the Petroleum Directorate	Linked to the petroleum licence	Laying and operation of pipelines

Source: Petroleum (Exploration and Production) Act, 2011; and information provided by the authorities.

4.53. Petroleum licences, exclusively granted to domestically incorporated companies, give rights for exploration and production. The petroleum industry has no restrictions on foreign investment.²²

4.54. Licences are awarded through a competitive bidding process for an initial exploration period of up to seven years, consisting of a three-year term, followed by two possible renewals of two years each. If the bidding process does not result in a successful outcome, the Ministry may grant a licence

²⁰ IMF (2024), *Sierra Leone: Poverty Reduction and Growth Strategy*, p. 114. Viewed at: <https://www.elibrary.imf.org/view/journals/002/2024/323/article-A001-en.xml>.

²¹ Investing in Sierra Leone, *Natural Resources: Mining and Petroleum*. Viewed at: <https://www.investinginsierraleone.com/natural-resources/#petroleum>.

²² Investing in Sierra Leone, *Natural Resources: Mining and Petroleum*. Viewed at: <https://www.investinginsierraleone.com/natural-resources/>

through direct negotiations. Prior to commencing any commercial production, the operator is required to submit comprehensive development plans, with a maximum duration of 30 years.

4.55. The Petroleum Regulatory Agency (PRA) oversees and coordinates operations in Sierra Leone's downstream petroleum sector. Its role includes issuing licences and regulating the importation, refining, storage, transportation, and distribution of petroleum products to ensure their consistent supply to consumers at standard prices. The PRA also manages the enforcement of legislation related to downstream petroleum activities. It publishes both the retail and commercial pricing formulas used to determine standard prices on its website. Importing petroleum products requires prior authorization from the PRA.

4.56. Since the removal of subsidies and tax exemptions in 2016, there is no longer a price distinction between commercial and retail fuel. This policy change was intended to reduce revenue losses, eliminate distortions in the domestic petroleum market, and stop the smuggling of subsidized Sierra Leonean fuel to neighbouring countries.

4.57. It was indicated during the previous Review that the current legislation covers only offshore petroleum activities. The legislation is being revised, with a view to establishing a single legal framework for onshore and offshore activities.

4.2.2.3 Electricity

4.58. According to the authorities, the National Medium-Term Development Plan (NMTDP) 2019-2023 led to substantial improvements in the electricity sector. Over the period 2019-23, considerable investments in the generation, transmission, and distribution system yielded positive results, as access to electricity more than doubled from 16% in 2018 to 36% in 2023 and households with access nearly doubled from 13.5% in 2018 to 25.4% in 2021. The loss of electricity through leakages in the distribution system increased from 38% in 2018 to 44% in 2019 and fell to 38% in 2021. Official figures suggest that 9 district headquarters towns had a reliable electricity supply in 2021, slightly below the target of 10 set in 2019. However, the percentage of the population with access to environmental-friendly stoves increased from 18% in 2018 to 20.2% in 2019.²³

4.59. The Sierra Leone Electricity and Water Regulatory Commission Act, 2011 and the National Electricity Act, 2011 are the primary regulations governing the sector. The Electricity and Water Regulatory Commission (EWRC) oversees licensing, monitors compliance, regulates tariffs, and ensures fair competition for unregulated services. The industry is dominated by two state-owned enterprises (SOEs): the Electricity Generation and Transmission Company (EGTC) and the Electricity Distribution and Supply Authority (EDSA). The EGTC handles electricity generation and transmission, while EDSA, as a monopoly, is responsible for electricity distribution. The Act allows independent power producers (IPPs) to build generating stations, including hydroelectric projects, and to own and operate transmission facilities. However, they are mandated to sell their generated electricity to EDSA. As of end 2024, seven IPPs were in operation in Sierra Leone.

4.60. The IMF identifies the lack of reliable energy supply as a major obstacle to economic and social development.²⁴ EDSA has been struggling with persistent commercial and technical losses, estimated at around 38%. Its financial situation has worsened due to rising electricity procurement costs, compounded by the depreciation of the local currency, which increased the value of dollar-denominated obligations to Karpowership. Despite these challenges, electricity tariffs have remained unchanged since 2019, putting additional strain on the Government's budget, with subsidies standing at USD 42 million in 2022.

4.61. The authorities are implementing broad energy sector reforms, supported by the World Bank, to enhance EDSA's operational efficiency, boost generation capacity, and improve the electricity connection infrastructure. In 2022, to increase revenue, the Government had plans to review electricity tariffs while preserving the social tariff band and integrate two mining companies into the grid. EDSA aims to reduce losses to 35% by replacing old meters to combat power theft and installing

²³ MTNDP 2024-2030.

²⁴ IMF (2022), *Sierra Leone: Staff Report for the 2022 Article IV Consultation*, IMF Country Report No. 022/259, p. 57. Viewed at: <https://www.imf.org/en/Publications/CR/Issues/2022/07/29/Sierra-Leone-2022-Article-IV-Consultation-and-Fifth-Review-under-the-Extended-Credit-521569>.

pre-paid meters in government buildings. To reduce dependency on Karpowership²⁵, EDSA is looking to scale up purchases from more affordable sources, such as the Côte d'Ivoire-Liberia-Sierra Leone-Guinea (CLSG) power pool, and invest further in renewable energy.²⁶

4.3 Manufacturing

4.62. Sierra Leone's manufacturing sector is relatively small, and its contribution to GDP gradually declined during the review period, from 2% in 2017 to 1.6% in 2023 (Table 1.1). The sector employs roughly 2% of the labour force and consists mainly of small and medium-sized enterprises. Activities are limited to light manufacturing destined for domestic consumption.

4.63. The manufacturing sector in Sierra Leone faces significant obstacles, including low technological development, high operational costs due to inadequate infrastructure, unreliable and expensive energy, and limited access to financing. To address these challenges, efforts are being made to improve Sierra Leone's integration into agri-business value chains, particularly in palm oil processing.

4.64. Although several incentive schemes have been introduced to stimulate the sector, their effectiveness appears to fall short in overcoming the many challenges presented by the country's business environment.

4.65. In 2024, the average tariff rate applied to manufacturing products stood at 11.9%. The highest tariff rates apply to dairy products, beverages and tobacco, textiles, and clothing. Additional protection is provided by the excise tax, since it applies only to some imported manufactured goods (Section 3).

4.4 Services

4.4.1 Financial services

4.66. In 2023, Sierra Leone's financial services sector accounted for approximately 3% of GDP, gradually down from around 5% in 2018. The BSL regulates and supervises activities of commercial banks and other financial institutions to ensure sound economic and financial environment, while the Sierra Leone Insurance Commission (SLICOM) regulates and supervises the insurance sector.

4.67. As of December 2023, the BSL supervised 14 commercial banks, 44 licensed microfinance institutions (MFIs), 17 CBs, 59 financial services associations, 79 foreign exchange bureaus, 2 discount houses, 1 home mortgage finance company, 1 leasing company, 2 mobile financial services, and 1 stock exchange.²⁷

4.68. The World Bank's figures indicate that the financial sector is highly concentrated.²⁸ Commercial banks account for 85% of financial sector assets, and the largest two state-owned banks alone hold about 30% of total financial sector assets.

4.69. The World Bank has also identified crowding-out by government securities as a key factor contributing to the extremely limited credit market for the private sector in Sierra Leone. In 2020, private sector credit amounted to just 6% of GDP. The lack of private lending is primarily due to banks' preference for lending to the Government, where they can earn high returns. Consequently, nearly half of commercial banks' assets are tied up in government securities. This dynamic also discourages banks from offering innovative financial products, such as those with longer terms, reduced collateral demands, or a focus on climate adaptation.²⁹

²⁵ An operator of ships equipped with power generation units that can supply electricity to national grids.

²⁶ IMF (2022), IMF Country Report No. 022/259.

²⁷ Bank of Sierra Leone, *Directory of Financial Institutions*. Viewed at: https://bsl.gov.sl/Directory_of_Financial_Institutions.html.

²⁸ World Bank (2023), *Project Information Document: Sierra Leone Financial Inclusion Phase 2*. Viewed at: <https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099050323185538319/p177947094ba0c07095580f2b89af05cef>.

²⁹ World Bank (2023), *Project Information Document: Sierra Leone Financial Inclusion Phase 2*.

4.70. Sierra Leone's total financial inclusion rate remains low. Only 29% of adults have an account with a formal financial institution or mobile money provider, well below the Sub-Saharan African average (55%). A gender gap is also noticeable, with just 25% of women owning an account, compared to 33% of men. The main barriers include insufficient funds (89% of the adult population), lack of documentation (32%), high costs (22%), and distance to providers (20%).³⁰

4.71. Achieving financial inclusion is a key priority for the authorities. In 2016, Sierra Leone launched its first National Strategy for Financial Inclusion (NSFI), implemented from 2017 to 2020, aiming to make financial services accessible and affordable to all Sierra Leoneans and MSMEs and fostering inclusive, resilient, private-sector-led growth. The Strategy led to the establishment of the Financial Inclusion Secretariat within the BSL, tasked with overseeing its implementation.

4.72. Key achievements under the NSFI include the organization of a Fintech Challenge, the creation of a Regulatory Sandbox, and the development of a Financial Literacy Framework. Other notable initiatives include the establishment of the Sierra Leone Collateral Registry (SLCR). The SLCR, an online platform, enables the registration of security interests in both movable and immovable property, reducing risks for lenders by preventing the same property from being used as collateral for multiple loans. The 2019 Borrowers and Lenders Act further expanded the scope of the Collateral Registry, allowing for the registration of immovable assets and security interests from lenders not regulated by the BSL. Additionally, under the Strategy, the BSL initiated efforts to implement a national retail payment switch and establish a deposit insurance scheme, with the adoption during the review period of the related National Payment Systems Act, 2022; National Switch Directives, 2023; and Deposit Protection Fund Act (DPF Act), 2023. Among the progress made in strengthening Sierra Leone's financial services industry, the authorities have established the Financial Policy Committee, approved new Corporate Governance Guidelines for the banking sector, and established a Deposit Protection Fund Unit in the BSL to fully operationalize the DPF Act.

4.73. However, the evaluation of the NSFI revealed challenges in execution, including inefficient working groups, a lack of accountability, and insufficient technical expertise. The absence of gender-disaggregated data and measurement mechanisms hindered the accurate assessment of the strategy's success. These shortcomings were primarily due to limited ownership, human capacity, and financial resources.

4.74. In 2022, the BSL launched its NSFI for 2022-2026.³¹ The Strategy aims to target women, youth, rural populations, and MSMEs. Its objectives include expanding access to client-centric financial products and services for underserved groups, leveraging innovative technology to increase access to affordable and safe digital financial services, and ensuring all Sierra Leoneans receive consistent financial education, thus improving their financial literacy and confidence in using financial services safely.

4.4.1.1 Banking

4.75. Sierra Leone's banking system is small relative to the size of the economy. In 2024, there were 14 commercial banks in operation: 10 were wholly foreign-owned, 2 had foreign participation, and 2 were state-owned.

4.76. The banking sector is highly concentrated, with the five largest banks making up 66% of total banking sector assets. In 2020, total credit to the private sector represented 6% of the country's GDP. Banks accounted for 5.9% of GDP in credit, with the remainder provided by microfinance institutions and non-bank financial institutions.

4.77. The banking sector remains stable but faces vulnerabilities due to its high exposure to the Government and a challenging macroeconomic environment. According to the BSL, credit risk in the loan portfolio was heightened in 2021, largely due to the lingering impacts of COVID-19 restrictions on various economic activities. The ratio of non-performing loans (NPLs) rose to 15.2% in 2021, up from 12.7% at the end of 2020, exceeding the regulatory target of 10%. Notably, the NPL ratio for the mining, quarrying, and business services sectors worsened significantly, climbing to 32% and

³⁰ World Bank (2023), *Project Information Document: Sierra Leone Financial Inclusion Phase 2*.

³¹ Alliance for Financial Inclusion (2022), *National Strategy for Financial Inclusion, 2022-2026*.

Viewed at: <https://www.afi-global.org/publications/sierra-leones-2022-2026-national-financial-inclusion-strategy/>.

19% in 2021, compared to 17% and 8%, respectively, in 2020.³² As of the end of 2022, the World Bank reported a decline in NPLs to 12.1%. The capital adequacy ratio stood at 35.2%, well above the 15% regulatory minimum.³³

4.78. The legal framework was subject to various reforms. For example, the Anti-Money Laundering and Combating of Financing of Terrorism (Amendment) Act, 2019 requires the declaration of amounts exceeding USD 10,000 upon entry or exit from Sierra Leone, with penalties for non-compliance, including forfeiture.

4.79. The Borrowers and Lenders Act, 2019 and the Deposit Protection Act, 2023 aim to enhance consumer protection and stabilize lending practices to enhance confidence in the financial system. The Redenomination of the Leone Regulations, 2021 was implemented to simplify transactions (Section 1.2), while the National Payment Systems Act, 2022, and the National Switch Directives, 2023 aim to promote electronic payment efficiency and interoperability.

4.80. Banks are subject to minimum paid-up capital, capital adequacy ratios, and liquidity requirements. In 2024, the BSL increased the minimum paid-up capital requirement for commercial banks from SLE 85 million to SLE 270 million. Commercial banks are expected to meet this new requirement progressively over a three-year period.³⁴ The minimum capital adequacy ratio for risk-weighted assets and the cash ratio equivalent for total deposits remain unchanged at 15% and 12%, respectively. The authorities indicate that they are working to develop prudential standards in line with the Basel Core Principles II/III.

4.81. As at the time of the previous Review, the Banking Act outlines the process for licensing banking businesses, regulating banking activities, and protecting depositors. Any institution wishing to operate a bank must apply for a licence from the BSL. Eligible applicants include registered companies, cooperative societies, and statutory bodies. Foreign banks can only operate through a subsidiary, subject to confirmation from their home supervisory authority that they meet management and prudential standards. Licences are issued for at least five years and are non-transferable. During the review period, the Banking Act, 2011 was replaced by the Banking Act, 2019. The new Act introduces holding companies as entities subject to licensing, regulation, and supervision requirements, alongside banks. It also prioritizes the protection of depositors.³⁵

4.82. The microfinance sector in Sierra Leone is diverse, encompassing four types of institutions that serve similar client bases: credit-only MFIs, deposit-taking MFIs, member-based CBs, and financial services associations (i.e. credit cooperatives pending licensing). The sector is regulated through the Other Financial Services Act, 2001, with its implementing regulations.³⁶

4.83. Many MFIs are small with limited assets. Out of 57 licensed credit-only MFIs, only 25 regularly report to the BSL. Additionally, there are 23 deposit-taking institutions, including 5 deposit-taking MFIs, 17 CBs, and Apex Bank (SL) Ltd, which oversees 59 FSAs under its purview awaiting BSL licensing.³⁷ The industry saw significant growth in 2021, with MFIs experiencing a 40% increase in assets, and deposit-taking MFIs reporting a 43% rise in assets, equity, and deposits. In the first quarter of 2022, the combined assets of licensed MFIs, the Apex Bank, and financial services associations amounted to approximately USD 96.9 million. In comparison, commercial banking assets stood at USD 1.35 billion as of June 2021. Despite their relatively small asset base, these institutions have a significant outreach, collectively serving around 300,000 clients as of March 2023.³⁸

³² BSL (2022), *Financial Stability Report 2021*. Viewed at: <https://bsl.gov.sl/FRS.pdf>.

³³ World Bank (2023), *Sierra Leone Economic Update*. Viewed at: <https://documents1.worldbank.org/curated/en/099129110242318576/pdf/IDU06c24816805aaa04d28098bc015c2cdf495af.pdf>.

³⁴ Sierra Leone Gazette No. 80, Directives to Commercial Banks. Viewed at: <https://sierralii.gov.sl/akn/sl/officialGazette/government-gazette/2024-09-27/80/eng@2024-09-27>.

³⁵ BSL, The Banking Act, 2019. Viewed at: <https://bsl.gov.sl/The%20%20Banking%20Act%202019.pdf>.

³⁶ Ministry of Finance and BSL (2023), *Environmental and Social Management Framework (ESMF)*. Viewed at: <https://mof.gov.sl/wp-content/uploads/2023/10/ESMF-SL-Second-Financial-Inclusion-Project.pdf>.

³⁷ Apex Bank provides financial services, including primary supervision and technical support, to a network of Rural Financial Institutions.

³⁸ World Bank (2023), *Project Information Document: Sierra Leone Financial Inclusion Phase 2*.

4.4.1.2 Insurance

4.84. The legal framework for the insurance industry remained largely unchanged during the review period. The Insurance Act, 2016 continues to regulate insurance operations in Sierra Leone. The country's insurance market encompasses 11 insurance companies. The market also includes 11 insurance brokers and 10 insurance agents. The West African Insurance Companies Association (WAICA) Re-Insurance Corporation was, for years, the only registered re-insurance company. In 2023, a second re-insurance company was brought into operation.

4.85. Under the Insurance Act, anyone operating an insurance business must obtain a licence. As noted in the previous Review, a company can engage in multiple classes of business but must maintain separate accounts for each. Commercial banks can be licensed as corporate insurance agents for general insurers, considering their role in selling insurance products to borrowers as part of their lending requirements. Registration is also required for insurance agents, brokers, adjusters, and assessors, with licences issued annually. Additionally, insurance companies must pay an annual levy of 1% of their gross premiums to SLICOM. Brokers are required to pay a levy at a rate of 0.5% of their commission, despite the actual rate being 3%.

4.86. Insurers are mandated to keep their assets at least 10% higher than their liabilities based on premium income. Specifically for life insurers, liabilities must not exceed the amount held in life insurance funds. Companies are prohibited from declaring or distributing dividends until they have met all obligations regarding paid-up capital, solvency, and reserves. Additionally, they are required to invest a minimum of 25% of their premiums in government securities, while the threshold is set at 50% for companies involved in life insurance.

4.87. There are no restrictions on companies established in Sierra Leone when it comes to insuring risks located outside the country. However, foreign companies must register locally to insure risks within Sierra Leone. While insurance companies set their own premiums, these are subject to approval by SLICOM. Re-insurance policies are to be contracted with Sierra Leonean reinsurers.

4.88. The following insurance classes remain compulsory in Sierra Leone motor third-party liability insurance, marine liability insurance, property insurance, social security insurance, and professional indemnity insurance. Importers are also required to ensure their imports with a company registered in Sierra Leone.

4.4.2 Telecommunications

4.89. The Government's priority in the telecommunications industry is to improve digital penetration, access, and literacy and increase uptake through policies to expand coverage and infrastructure across the country. According to the authorities, the National Broadband Strategy 2023-2028 aims at achieving 50% digital penetration in urban areas by 2027 and 95% by 2030, improving rural connectivity to 80% by 2027, increasing digital literacy in schools to 85%, and reaching 50% digital literacy among the national workforce by 2027. The authorities indicate that the upgrading of mobile network operators' sites from 2G to 3G and 4G technology and the recent 5G trial licence granted to two operators (Africell and Orange) have further aided the increase in digital penetration from under 10% before 2019 to about 30% in 2024. The penetration rates for mobile, fixed-line, and Internet services grew steadily between 2017 and 2024, increasing from 87.7% to 98.5%, 0.2% to 0.9%, and 13.2% to 38%, respectively.

4.90. In 2021, a National Digital Development Strategy was adopted, presenting a plan to harness digital technologies for socio-economic progress in Sierra Leone.³⁹ It highlights the critical role of infrastructure, skills development, governance, and cybersecurity in creating a resilient and inclusive digital economy. The Strategy calls for the creation of a national digital infrastructure master plan, encourages infrastructure sharing, and aims to improve universal access to digital services, especially in underserved areas. It also focuses on enhancing the affordability of digital services and devices while addressing the environmental impact of digital growth. Additionally, the Strategy acknowledges the potential of digital financial services and e-commerce to lower transaction costs

³⁹ Ministry of Information and Communications (2021), *National Digital Development Strategy*. Viewed at: <https://moic.gov.sl/wp-content/uploads/2022/08/National-Digital-Development-Strategy-2022-01-10.pdf>.

and stimulate economic growth. As part of the effort to promote the digital economy, a National Cybersecurity Coordination Center was created through the Cybersecurity and Crime Act, 2021.

4.91. The authorities indicate that the mobile market in 2023 was dominated by Africell (64%), followed by Orange (27%) and Qcell (9%). The three companies are also Internet service providers, and the Sierra Leone Telecommunications Company (Sierratel), a state-owned company, provides fixed network data access.

4.92. The Internet industry in Sierra Leone consists of the monopoly Cable Landing Station managed through a public-private partnership (PPP) and the national terrestrial fiber cable backbone company (another PPP), which interconnects cities and towns in Sierra Leone. The Metro Cable company provides metropolitan Internet infrastructure to 29 active ISPs that provide last mile Internet access to consumers.

4.93. The National Communications Authority Act, 2022 mandates that telecommunications operators ensure interconnection among their networks. Upon receiving a written request from one operator, another operator is required to interconnect and engage in good faith negotiations to establish the terms of the interconnection agreement. This process aims to facilitate the provision of electronic communications services to consumers.

4.94. Operators have the freedom to negotiate interconnection arrangements independently. However, if any challenges arise, they can notify the regulator, which will investigate the matter. The regulator's role is to promote fair, transparent, and seamless interconnection practices among operators.

4.95. The Ministry of Information and Communications (MIC) oversees national policies related to information and communications. In September 2022, Parliament enacted the National Communications Authority Act, which replaced the Telecommunications Act, 2006 as the primary legislation governing the sector. This law established the National Communications Authority (NatCA) as the regulatory body for telecommunications in Sierra Leone, succeeding the National Telecommunications Commission (NATCOM). NatCA's responsibilities include licensing and regulating ICT operators, promoting universal access to basic telecommunications services, fostering fair competition to benefit ICT network and service investors, protecting users of ICT networks and services, and resolving disputes between operators and consumers. The licensing regime has shifted from technology-specific licences to technology-neutral unified licences.

4.96. The authorities indicate that five regulations were drafted by the Authority with supervision from the MIC and ratified by Parliament in December 2020:

- Telecommunications Licensing Regulations, 2020, to establish a framework for licensing telecommunications operators, ensuring fair competition and efficient service delivery;
- Electronic Communications Equipment Type Approval Regulations, to ensure electronic communications equipment used in Sierra Leone meets the required standards and is safe for use;
- Radio Frequency Spectrum Regulations, to manage and allocate radio frequency spectrum efficiently, ensuring optimal use and minimizing interference;
- Telecommunications Quality of Service Regulations, to set and enforce standards for the quality of telecommunications services provided to consumers; and
- Subscriber Identification and Registration Management Regulations, to provide a clear framework for identifying and verifying subscribers and ensuring data accuracy and security for legal and national security purposes.

4.97. The Universal Access Development Fund (UADF) is in place to enhance access to essential telecommunications services, particularly in rural areas that are unserved or underserved. The financing sources for the Fund, as stipulated by the National Communications Authority Act, 2022, include a levy on the annual gross income of service providers as reported for tax purposes (0.75%), budgetary allocations from Parliament, and a 2% allocation from the revenues generated by the

NatCA. Among telecommunications projects implemented recently, the UADF has implemented a satellite-based communication technology to facilitate connectivity in remote areas where traditional terrestrial networks were insufficient or non-existent.⁴⁰

4.98. As noted in the previous Review, in the area of postal services, the state-owned Sierra Leone Postal Services Limited (SALPOST) has the country's universal service obligation. It has exclusive rights to provide domestic courier services for packages weighing up to 2 kg, print and issue postage stamps, and install boxes and mail bags for mail collection and delivery. International providers include DHL, TNT, Redcoat, and UPS.

4.99. SALPOST is in charge of licensing and regulating the operation of postal services.

4.4.3 Transport

4.4.3.1 Overview

4.100. The Ministry of Transport and Aviation is responsible for overarching policy formulation for the transport sector.

4.101. The authorities' vision is to create a resilient and sustainable transport sector that drives socio-economic growth, enhances international competitiveness, and fosters human capital development in Sierra Leone. Their goal is to establish strategic policies and provide clear policy guidelines for delivering safe, secure, reliable, affordable, sustainable, and resilient maritime, land, and aviation transportation systems across the country.

4.102. The policy and strategic steps for Sierra Leone's three transport modes are anchored by four main pillars: ensuring effective sector governance to improve transportation services; modernizing public transport and enhancing road safety; providing safe, secure, and efficient maritime services to unlock the potential of the blue economy and facilitate trade; and strengthening aviation safety while promoting global confidence in the industry. The expected outcome would be to reduce logistic costs for the business community and ensure its competitiveness. The Government relies on PPPs to fill the country's infrastructural gap, particularly for the construction of roads and airports.

4.4.3.2 Land transport

4.103. The Sierra Leone Road Safety Authority is responsible for making and enforcing road transport regulations, including collecting road-user charges. The Authority's additional objectives include coordinating relevant stakeholders and promoting efficiency within the road transport sector.

4.104. A dedicated Road Maintenance Fund was established to cover the costs associated with maintaining the core road network. The Fund primarily derives its revenue from a road-user fee of USD 0.16 per litre of fuel, as well as vehicle licensing, registration fees, and other charges collected under the Road Traffic Act, 2007. The administration of the Fund is overseen by the Sierra Leone Road Maintenance Fund Administration.

4.105. The authorities indicate that the industry is fully open to foreign participation.

4.106. The rail transportation system is operated solely by one mining company, with no public rail services available. By contrast, Sierra Leone no longer has any general-purpose railroads for public or commercial use.

4.4.3.3 Air transport

4.107. Aviation plays a crucial economic and social role in Sierra Leone's development. Most visitors, including tourists, primarily rely on air transport. Air connectivity is vital for the country's integration into GVCs through delivery of certain engineering services, while efficient air services

⁴⁰ UADF, 2023 Annual Report. Viewed at: <https://uadf.gov.sl/wp-content/uploads/2024/06/Annual-Report-2023.pdf>.

reduce costs and open opportunities for exporting high-value, low-volume products that require fast delivery.

4.108. The Sierra Leone Civil Aviation Authority (SLCAA) has the mandate of overseeing air transport and related cargo services and ensuring compliance with related international agreements and obligations. The SLCAA is also in charge of promoting and developing safety in aviation, including oversight in aircraft operation, air navigation facilities and services, air traffic control, meteorological services, and facilities.

4.109. The SLCAA is responsible for granting licences for international and domestic scheduled and non-scheduled air service operations into and within Sierra Leone. Businesses interested in engaging in commercial air transport services (including foreign air operators) require a licence from the SLCAA. For air operators to be granted air traffic rights by the SLCAA, they must comply with the applicable technical requirements. Airlines currently flying to Sierra Leone include Brussels Airlines, Turkish Airlines, Asky, Kenyan Airways, and Royal Air Maroc.

4.110. The Sierra Leone Airport Authority, an SOE, manages Lungi International Airport and all the other national airfields. Most of the services at Lungi International Airport are provided by private entities, with the exception of the tour operator. However, service fees at the airport are significantly higher than the regional average. This has led to high air ticket prices for flights operating through the airport. As a result, some passengers opt to fly to neighbouring countries and use alternative transportation methods to reach Sierra Leone, finding it more cost-effective. Currently there is no national carrier.

4.111. Sierra Leone is a signatory to the Yamoussoukro Declaration concerning the liberalization of intra-African air transport markets. Sierra Leone is also a party to the Banjul Accord Group Agreement, together with Cabo Verde, Ghana, and the Gambia. Sierra Leone has concluded 22 air services agreements involving 42 countries.⁴¹

4.4.3.4 Maritime transport

4.112. Maritime transport is the primary mode of transportation for Sierra Leone's international trade in goods. In 2023, the World Bank ranked Sierra Leone's Freetown Port 226th out of 405 global ports, maintaining the same position as in 2022 when 348 ports were evaluated. In Sub-Saharan Africa, Freetown Port, the main national harbour, was ranked 5th out of 40 container ports according to the World Bank's Container Port Performance Index 2023.⁴²

4.113. In their strategic vision to enhance the efficiency of maritime transport industry and port activities, the authorities aim at, *inter alia*, increasing access to inland waterway transportation services through PPPs, streamlining the clearing process at the port, and reducing the turnaround time for clearing and forwarding from 72 hours to 24 hours.

4.114. During the review period, the Sierra Leone Port and Harbour Authority Act (Act No. 29 of 2023) established the Sierra Leone Ports and Harbours Authority, which replaced the Sierra Leone Ports Authority. It manages and coordinates activities at the country's seaports and main river ports.⁴³

4.115. The Government is engaged in a reform led by the private sector, aimed at enhancing the efficiency of port operations and reducing business costs. The management of Freetown Port is

⁴¹ These are (year of signature/last review in parenthesis): Belgium (1973), Benin (1987), Brazil (2012), Cameroon (1978), Canada (2011), Côte d'Ivoire (not available), Cuba (1976), Czech Republic (1969), France (1990), Gambia (1990), Germany (1970), Ghana (1970), Guinea (1989), Jordan (1983), Hungary (1975), Iceland (2013), Italy (1970), Jamaica (2013), Kenya (not available), State of Kuwait (2012), Lebanon (1968), Liberia (1973), Luxembourg (not available), Mali (1974), Morocco (2008), Netherlands (1983), Nigeria (1973), Norway (2013), Pakistan (1978), Qatar (2013), Congo (1995), Romania (1980), Russian Federation (1980), Senegal (1997), Singapore (2013), South Africa (2006), Spain (1983), Sudan (2012), Türkiye (2011), United Arab Emirates (1978), United Kingdom (2012), and United States (2012).

⁴² World Bank (2024), *The Container Port Performance Index 2023*. Viewed at: <https://documents1.worldbank.org/curated/en/099060324114539683/pdf/P17583313892300871be641a5ea7b90e0e6.pdf>.

⁴³ Sierra Leone Ports and Harbours Authority. Viewed at: <https://slpha.sl/>.

assumed through a landlord port model, which has led to the privatization of core port activities to private port operators. The Freetown Terminal Limited manages the container terminal under a concession agreement, and Nectar Sierra Leone Bulk Terminal Limited, is responsible for the non-containerized cargo terminal as the concessionaire.

4.116. The authorities indicate that they are exploring the possibility of a second seaport in Sierra Leone in a context of PPP.

4.117. The Sierra Leone National Shipping Company (SLNSC), the country's sole national carrier, is a joint venture between the Government (51% of the shareholding) and a foreign private company. Every shipper engaged in seaborne transportation in Sierra Leone is required to register with the SLNSC. The SLNSC is entitled to handle the seaborne transportation of at least 40% of the total volume of cargo exported from or imported into Sierra Leone. Additionally, it has the power to set out the terms for any Floating Production, Storage, and Offloading unit (FPSO) or Floating Storage and Offloading unit (FSO), including to participate with an interest of up to 40% in the provision, operation, and ownership of such entities. The SLNSC also provides various shipping services including freight levies collection and clearing and forwarding services.

4.118. The Sierra Leone Maritime Administration (SLMA), an independent body, is in charge of overseeing the registration of ships and other vessels, as well as the regulation and improvement of performance and practice standards in the shipping industry, including the coastal and inland water transport system and the marine environment. It is also responsible for providing safety and security at sea, certification of seafarers, pilotage, support aids to navigation, and wreck removals. It was indicated during the previous Review that the SLMA was funded mainly by the proceeds of a charge levied on all cargo loaded or discharged in the country. Operators were subject to a registration fee and a tonnage tax. Information on the rates was not available in the context of this Review.

4.4.4 Tourism

4.119. Tourism development is a key priority for Sierra Leone in its efforts to diversify the economy. The country's first-ever National Strategic Tourism Plan was adopted in May 2024.⁴⁴

4.120. The authorities are committed to fostering sustainable tourism as a catalyst for economic growth and socio-cultural integration while positioning the country as a welcoming tourist destination. Their vision is to create a dynamic and appealing brand of sustainable tourism that highlights the natural environment; cultural heritage; artisanal craftsmanship; and rural lifestyles. This initiative aims to benefit visitors, residents, and communities alike, ensuring the long-term prosperity of Sierra Leone. By 2030, the MTNDP 2024-2030 aims to boost international arrivals by at least 50% annually and create a 30% increase in job opportunities within the tourism sector.

4.121. According to the authorities, the Government's priorities and challenges in the tourism sector include enhancing the policy and legal framework governing the industry; fostering competition to lower costs and improve value for money by raising standards and service quality; promoting eco-tourism to safeguard the nation's rich biodiversity and encourage green investments; supporting local entrepreneurs and establishing connections with international partners to facilitate tourism-related activities that align with the rural economy, harvest seasons, wildlife tourism, agricultural practices, and creative arts and culture; and bolstering public-private community partnerships while encouraging greater involvement from the private sector.

4.122. A sector-specific incentive programme is available to encourage investments in tourism (Section 3.3.1).

4.123. According to the authorities, in 2022, direct employment in the tourism sector stood at 29,429.

⁴⁴ Ministry of Tourism and Cultural Affairs (2024), *National Strategic Tourism Plan*. Viewed at: <https://slede.gov.sl/wp-content/uploads/2024/05/Final-Strategy-and-Action-plan-Volume-I-Core-Report-2024.pdf>.

4.124. The total number of tourists visiting Sierra Leone declined significantly in 2020 due to COVID-19 restrictions. Nevertheless, by 2022, arrivals from all continents were on track to reach levels comparable to those before the pandemic (Table 4.4).

Table 4.4 Air tourist arrivals by region excluding diaspora, 2018-22

Year	Africa	Asia	Americas	Middle East	Europe	Others	Total
2018	14,617	5,069	15,428	2,158	17,197	2,004	56,473
2019	13,729	8,221	15,039	3,412	20,372	2,317	63,090
2020	7,463	2,270	4,728	1,112	8,305	578	24,456
2021	9,211	4,096	11,049	2,778	11,428	1,747	40,309
2022	15,636	6,651	13,077	3,578	16,480	995	56,417

Source: Information provided by the authorities.

4.125. Tourists usually visit Sierra Leone for a range of purposes, mainly holidays, business, and conferences (Table 4.5).

Table 4.5 Air tourist arrivals by purpose of visit including diaspora, 2018-22

Year	Holiday	VFR ^a	Business	Conference	Other	Total	Diaspora	All arrivals
2018	17,569	14,362	14,461	7,627	2,454	56,473	38,835	95,308
2019	20,696	14,146	21,011	5,617	1,620	63,090	44,540	107,630
2020	7,227	7,993	5,684	1,940	1,612	24,456	16,784	41,240
2021	10,225	13,413	9,539	4,442	2,690	40,309	30,844	71,153
2022	15,053	16,205	11,929	9,088	4,142	56,417	43,433	99,850

a VFR = visiting friends and relatives.

Note: The estimated average overnight stay of visitors is 5 to 7 days.

Source: Information provided by the authorities.

4.126. During the review period, the institutional framework remained unchanged. The Ministry of Tourism and Cultural Affairs continues to oversee the formulation of policies related to tourism and culture. The National Tourism Board (NTB) is tasked with promoting and developing tourism, which includes assessing the impact of tourism policies and managing the registration, licensing, and classification of tourist facilities. The NTB also monitors all tourist establishments to ensure they adhere to regional classification standards. Currently, there are no statutory restrictions on foreign investment in the industry.

5 APPENDIX TABLES

Table A1.1 Merchandise exports by MTN category, 2017-23

	2017	2018	2019	2020	2021	2022	2023
Total exports (USD million)	881	694	708	576	965	1,334	1,533
	(% of total)						
A Live animals and meat	0.0	0.1	0.0	0.0	0.0	0.0	0.0
B Dairy products	0.0	0.0	0.0	0.0	0.0	0.0	0.0
C Fruits and vegetables	0.1	0.1	0.1	0.1	0.0	0.1	0.1
D Coffee, tea, cocoa and spices	8.5	3.9	5.3	9.6	5.0	3.4	3.5
D01 Coffee, tea, maté	0.4	0.5	0.5	0.9	0.3	0.3	0.2
Coffee (HS 0901)	0.4	0.4	0.4	0.9	0.3	0.3	0.2
D02 Cocoa	8.0	3.4	4.8	8.6	4.6	3.1	3.3
E Cereals and food preparations	0.1	0.0	0.1	0.1	0.1	0.0	0.0
F Oilseeds, fats and oils	0.1	1.1	0.8	0.6	2.1	2.0	0.7
F03 Vegetable fats and oils	0.1	1.0	0.8	0.6	2.1	2.0	0.7
G Sugars and sugar confectionery	0.0	0.0	0.0	0.0	0.0	0.0	0.0
H Beverages and tobacco	0.2	0.1	0.2	0.1	0.1	0.1	0.2
I Cotton, silk and wool	0.0	0.0	0.0	0.0	0.0	0.0	0.0
J Other agricultural products	0.1	0.2	0.1	0.9	0.8	0.5	0.2
K Fish and fish products	4.0	4.2	3.7	3.2	1.3	0.9	0.8
L Minerals and metals	73.2	59.5	63.3	56.8	66.8	81.2	91.2
L01 Mineral fuels, other than petroleum oils	0.0	0.9	0.3	0.0	0.2	0.1	0.0
L02 Other minerals	57.1	41.7	43.9	42.2	53.0	70.6	78.4
Iron ores and concentrates, other than roasted iron pyrites (HS 2601)	28.5	4.6	2.4	0.0	19.6	44.7	58.5
Titanium ores and concentrates (HS 2614)	18.3	21.1	24.7	28.9	23.2	18.6	12.6
Aluminium ores and concentrates (HS 2606)	8.7	13.0	12.0	9.9	6.9	4.4	4.2
Zirconium ores and concentrates (HS 261510)	0.3	1.4	3.3	1.5	2.3	2.1	2.7
L03 Non-metallic mineral products	13.5	13.3	14.8	11.4	11.0	7.5	8.4
Diamond (HS 7102, except 7102.39)	13.4	13.0	14.7	11.3	10.9	7.4	8.4
L04 Jewellery and related products	0.1	0.7	1.3	0.2	0.2	0.2	0.7
L05 Non-ferrous metals	1.2	1.4	1.3	1.3	1.3	1.2	1.6
Non-monetary gold (HS 7108)	0.4	0.3	0.3	0.4	0.5	0.4	0.6
L06 Iron and steel	1.3	1.5	1.7	1.7	1.1	1.6	2.1
L07 Metal products	0.2	0.1	0.1	0.0	0.0	0.1	0.0
M Petroleum	0.3	0.6	0.0	0.0	0.6	0.0	0.0
N Chemicals	0.9	0.9	0.5	0.8	0.7	0.7	0.3
N03 Pharmaceuticals	0.5	0.2	0.0	0.1	0.2	0.2	0.2
N04 Plastics	0.1	0.2	0.2	0.4	0.3	0.3	0.1
O Wood, paper, furniture	5.9	16.3	18.8	21.8	16.7	7.8	0.3
O01 Wood and wood products	4.9	15.9	18.3	21.6	16.6	7.6	0.1
P Textiles	0.1	0.2	0.2	0.1	0.1	0.1	0.2
Q Clothing	0.3	0.3	0.3	0.3	0.1	0.2	0.1
R Rubber, leather and footwear	0.2	0.4	0.3	0.2	0.2	0.1	0.1
S Mechanical, office and computing machinery	2.3	7.8	2.4	1.9	1.1	0.8	0.6
S01 General industrial machinery	0.3	4.6	1.4	1.1	0.5	0.5	0.3
S02 Machinery for specialized industries	1.8	3.0	0.8	0.6	0.4	0.3	0.2
T Electrical machinery and electronic equipment	1.3	2.3	1.8	2.2	1.3	1.1	0.8
U Transport equipment	1.5	1.2	0.8	0.4	1.6	0.5	0.5
V Other manufactures	0.4	0.4	0.5	0.4	1.2	0.5	0.3
Z Other	0.4	0.6	0.6	0.7	0.3	0.1	0.1

Note: Data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total exports, including all relevant partners, regardless of data availability.

Product groups are based on the WTO Multilateral Trade Negotiations Categories (2023 version).
Viewed at: <https://stats.wto.org/>.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

Table A1.2 Merchandise imports by MTN category, 2017-23

	2017	2018	2019	2020	2021	2022	2023
Total imports (USD million)	1,069	1,070	1,127	1,183	1,620	1,754	1,956
	(% of total)						
A Live animals and meat	2.0	2.5	2.3	2.9	3.3	2.4	2.6
A02 Meat	2.0	2.4	2.3	2.9	3.2	2.4	2.6
B Dairy products	0.9	0.9	0.7	0.6	0.5	0.3	0.4
C Fruits and vegetables	2.2	2.2	2.0	2.1	1.8	2.0	2.1
D Coffee, tea, cocoa and spices	0.5	0.4	0.4	0.5	0.5	0.4	0.3
E Cereals and food preparations	19.2	16.6	16.8	18.4	14.1	15.0	12.6
E01 Cereals	14.2	11.5	11.4	12.8	9.9	11.1	9.0
Rice (HS 1006)	12.0	9.8	9.6	11.3	8.0	9.1	8.0
E02 Food preparations	5.0	5.1	5.4	5.7	4.2	3.9	3.6
F Oilseeds, fats and oils	2.4	2.3	2.0	0.8	0.5	0.5	0.4
G Sugars and sugar confectionery	1.8	1.5	1.4	1.6	1.3	1.5	1.4
H Beverages and tobacco	2.7	3.4	2.8	2.9	2.8	2.4	2.5
H03 Tobacco	0.3	0.9	0.8	1.1	1.7	1.3	1.9
I Cotton, silk and wool	0.0	0.0	0.0	0.0	0.0	0.0	0.0
J Other agricultural products	0.7	0.6	0.6	0.7	0.8	0.4	0.4
K Fish and fish products	0.7	0.8	0.8	0.8	1.2	1.2	0.7
L Minerals and metals	12.8	15.6	14.6	14.3	16.4	17.2	15.5
L02 Other minerals	2.3	2.2	2.1	2.3	2.4	3.1	3.1
Cement, mainly Portland cement (HS 2523)	2.2	1.9	1.8	2.1	2.3	2.9	3.0
L03 Non-metallic mineral products	1.8	1.8	2.1	2.8	3.6	3.5	3.5
Ceramic products (HS 69)	1.2	1.2	1.4	2.1	2.7	2.3	2.7
L06 Iron and steel	6.6	8.6	7.8	7.1	7.9	8.1	6.7
M Petroleum	1.2	1.6	1.9	1.6	4.2	3.3	2.1
M02 Petroleum oils, other than crude	1.2	1.6	1.9	1.6	4.2	3.3	2.1
N Chemicals	12.1	11.4	12.4	15.9	13.7	15.6	13.6
N03 Pharmaceuticals	4.0	3.2	3.6	6.8	4.8	5.7	4.9
N04 Plastics	3.5	4.3	5.2	4.8	5.6	5.7	5.2
N09 Other chemical products	3.5	3.1	2.8	3.7	2.8	2.8	2.4
O Wood, paper, furniture	2.4	2.7	3.4	2.9	2.5	2.2	2.8
O02 Pulp, paper and printed matter	1.3	1.6	2.1	1.4	1.4	1.0	1.5
O03 Furniture	0.7	0.8	0.9	1.1	0.8	0.8	1.0
P Textiles	4.1	2.9	3.2	3.3	4.2	2.7	3.4
Q Clothing	0.8	0.7	0.8	0.7	0.8	0.9	1.2
R Rubber, leather and footwear	2.6	2.9	3.3	2.9	3.2	2.5	2.8
S Mechanical, office and computing machinery	9.6	11.4	8.7	7.2	6.9	8.2	11.4
S01 General industrial machinery	3.0	5.3	3.3	2.8	2.7	3.5	4.1
S02 Machinery for specialized industries	4.9	5.0	4.2	3.2	3.3	3.4	5.9
T Electrical machinery and electronic equipment	7.7	8.0	9.0	8.2	7.0	7.9	10.7
T01 Electrical machinery	4.5	5.1	5.6	5.2	4.1	4.6	8.2
U Transport equipment	8.4	7.7	9.0	7.5	9.4	8.4	7.7
U01 Motor vehicles	5.4	4.9	4.6	4.6	5.8	4.3	5.1
V Other manufactures	2.9	2.5	2.5	2.8	3.0	2.8	3.8
Z Other	2.1	1.5	1.3	1.3	2.1	2.3	1.5

Note: Data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total imports, including all relevant partners, regardless of data availability.

Product groups are based on the WTO Multilateral Trade Negotiations Categories (2023 version). Viewed at: <https://stats.wto.org/>.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

Table A1.3 Merchandise exports by destination, 2017-23

	2017	2018	2019	2020	2021	2022	2023
Total exports (USD million)	881	694	708	576	965	1,334	1,533
	(% of total)						
Americas	7.5	12.8	5.0	6.3	2.2	1.7	1.7
United States	3.6	8.2	4.4	5.7	1.8	1.4	1.5
Other - Americas	3.9	4.5	0.6	0.6	0.4	0.3	0.2
Canada	0.5	2.7	0.5	0.5	0.3	0.2	0.1
Europe	40.9	45.5	47.5	45.9	40.3	25.7	16.0
EU-27	38.2	44.6	46.8	45.1	38.9	23.9	15.1
Belgium	14.6	17.1	21.4	19.2	16.7	11.1	4.7
Netherlands	8.6	3.7	5.2	9.0	4.5	3.5	3.5
Ireland	0.1	0.1	0.1	0.0	0.0	1.8	3.1
Germany	2.4	4.6	5.8	4.7	8.1	4.0	1.6
France	2.5	3.3	1.8	1.3	0.3	0.7	0.6
EFTA	0.2	0.2	0.1	0.2	0.2	0.1	0.1
Other Europe	2.6	0.8	0.7	0.6	1.2	1.7	0.9
United Kingdom	1.0	0.3	0.2	0.2	0.3	1.5	0.7
Commonwealth of Independent States^a (CIS)	0.0	0.0	1.5	0.6	0.0	1.1	1.0
Africa	4.7	5.3	3.9	2.7	4.4	2.3	0.9
Senegal	0.4	1.6	1.0	0.8	1.8	1.2	0.3
South Africa	0.2	0.3	0.4	0.2	0.1	0.2	0.2
Nigeria	0.0	0.1	0.0	0.8	0.5	0.2	0.1
Morocco	0.1	0.1	0.1	0.1	0.1	0.0	0.1
Côte d'Ivoire	2.5	1.1	1.1	0.1	0.8	0.1	0.1
Middle East	1.5	3.1	6.2	5.0	7.4	4.9	3.2
United Arab Emirates	1.4	2.9	6.0	4.9	7.2	4.8	3.1
Asia	45.4	33.3	35.8	39.5	45.7	64.3	77.2
China	38.4	25.5	27.4	27.5	40.2	57.2	66.9
Japan	0.2	1.8	2.2	4.9	1.2	1.6	2.3
Other - Asia	6.8	6.0	6.2	7.1	4.3	5.5	8.0
India	2.4	2.0	2.9	2.3	1.5	2.7	6.3
Korea, Republic of	1.7	2.6	2.3	3.0	1.4	1.1	1.0
Australia	1.6	0.8	0.2	0.3	0.3	0.1	0.2
<i>Memo:</i>							
EU-28	39.2	44.8	47.0	45.3	39.2	25.4	15.8

a Commonwealth of Independent States, including certain associate and former member States.

Note: Data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total exports, including all relevant partners, regardless of data availability.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

Table A1.4 Merchandise imports by origin, 2017-23

	2017	2018	2019	2020	2021	2022	2023
Total imports (USD million)	1,069	1,070	1,127	1,183	1,620	1,754	1,956
	(% of total)						
Americas	14.3	12.7	12.8	12.9	11.2	9.8	9.8
United States	7.4	6.7	7.0	6.2	7.1	6.1	5.3
Other - Americas	6.9	6.1	5.9	6.7	4.2	3.7	4.5
Brazil	3.9	3.6	3.6	4.7	2.6	1.7	2.3
Paraguay	0.2	0.3	0.4	0.6	0.2	0.1	0.7
Canada	0.6	0.7	0.6	0.6	0.5	0.4	0.5
Uruguay	2.0	1.3	1.0	0.6	0.4	0.7	0.3
Europe	28.1	26.7	25.3	26.1	27.2	26.7	19.8
EU-27	18.4	17.3	15.4	16.0	15.5	14.8	12.5
Belgium	3.1	2.9	2.5	2.0	5.1	4.9	3.5
Netherlands	5.4	4.4	3.8	5.8	3.7	3.0	2.8
Germany	2.3	2.3	1.7	1.3	1.2	1.3	1.2
Italy	0.8	0.7	0.5	0.5	0.5	1.0	0.9
Spain	1.8	1.9	1.8	1.3	1.2	0.9	0.9
France	2.1	1.8	1.4	1.8	0.9	0.8	0.8
EFTA	0.7	0.1	0.2	0.2	0.2	0.2	0.5
Switzerland	0.7	0.1	0.1	0.2	0.2	0.2	0.5
Other Europe	9.0	9.4	9.8	10.0	11.5	11.7	6.7
Türkiye	4.9	5.1	5.4	6.5	8.3	9.0	4.5
United Kingdom	3.8	3.8	3.9	3.0	2.7	2.5	2.1
Commonwealth of dependent States^a (CIS)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Africa	8.9	10.0	9.5	5.6	5.5	7.7	10.6
South Africa	4.5	4.3	4.2	1.7	2.0	3.8	4.0
Egypt	0.3	0.4	0.5	0.4	0.4	0.5	2.9
Côte d'Ivoire	0.7	0.5	0.4	0.6	0.4	0.4	1.5
Morocco	1.1	1.1	0.9	0.9	1.2	1.5	0.7
Senegal	1.3	1.5	1.3	1.0	0.5	0.7	0.5
Middle East	5.0	5.5	4.6	5.9	7.3	6.9	7.0
United Arab Emirates	3.2	3.7	3.2	4.4	5.5	5.0	5.2
Lebanese Republic	1.0	0.7	0.7	0.8	0.9	0.9	1.1
Saudi Arabia, Kingdom of	0.5	0.7	0.4	0.4	0.5	0.6	0.3
Asia	43.6	45.0	47.8	49.4	48.7	49.0	52.8
China	22.7	23.6	27.8	31.4	29.7	32.7	31.3
Japan	0.3	0.7	1.4	0.7	1.1	0.6	0.3
Other - Asia	20.7	20.7	18.5	17.4	17.9	15.7	21.3
India	9.3	9.9	11.2	10.5	11.8	11.5	14.0
Korea, Republic of	0.6	0.8	0.8	0.7	0.6	0.5	4.0
Malaysia	1.5	1.6	1.5	1.8	1.0	0.7	0.8
Indonesia	2.6	2.7	1.6	1.0	0.5	0.7	0.5
Thailand	1.4	1.2	0.9	1.0	0.7	0.4	0.5
Pakistan	2.9	2.0	1.1	0.9	0.2	0.2	0.5
Singapore	0.2	0.7	0.2	0.3	0.9	1.2	0.3
<i>Memo:</i>							
EU-28	22.1	21.1	19.3	19.0	18.2	17.3	14.6

a Commonwealth of Independent States, including certain associate and former member States.

Note: Data are based on Sierra Leone's partner data, available from 2017 to 2023. If no data are available from partners, they are excluded from the calculations to avoid volatility. The partners included in the calculations account for an average of over 95% of total imports, including all relevant partners, regardless of data availability.

Source: WTO Secretariat calculations, based on data from Sierra Leone's partners (mirror statistics) sourced from the UN Comtrade database.

Table A3.1 Sierra Leone's main investment incentives, 2024

Sector/incentive	Selected requirements	Legal basis
General incentives		
- Deduction for income tax purposes: • Capital allowances for plant, machinery and equipment, including automobiles and trucks utilized in business operations shall be deducted from the profit or other income before tax: 40% • All other tangible depreciable assets (except buildings and intangible depreciable assets): 10% • Buildings used to house industrial, manufacturing, or agricultural activities: 15% • Buildings used to house other commercial activities: 3%-10% • Other buildings: 3%-5% • Employment of disabled persons: 200% of the cost • Research and development: 100% of the expenses • Training of local staff: 100% of the expenses • Social services (building schools, hospitals, etc.): 100% of the expenses • Donation into Skills Development Fund: 100% of the donation		Income Tax Act, 2000 and various amendments; Finance Act, 2011; and Finance Act, 2014
- 3 years of duty-free import of plant, machinery, and equipment for the first 3 years	A minimum of USD 10 million investment for new businesses, USD 5 million for business expansion	Finance Act, 2016
- Lower import duty (3%) on raw materials		Finance Act, 2013
- 5-10 years of corporate tax exemption	Businesses with a least 20% of Sierra Leonean ownership, 100 employees, and USD 5 million investment. Businesses with at least 150 employees and investment of USD 7.5 million get 10 years tax exemption	Finance Act, 2014
25% tax credit for taxpayers undertaking Corporate Social Responsibility (CSR) in the normal course of business or in areas as complementary activity in support of the Government in specified priority areas	(i) Free and quality school education; (ii) children's welfare; (iii) natural disasters and disease outbreaks; (iv) maternal child health; (v) agriculture (food and cash crop production, fisheries, and animal husbandry) and agri-business; and (vi) water and sanitation (established between 1 January 2021 and 31 December 2023 for first year of business operations)	Subsection 3 (c) of Section 115 of ITA, 2000 (as amended in Section 19 of Finance Act, 2021)
100% income tax relief for SMEs	Agriculture, manufacturing, mining, and petroleum sectors	Section 45 of Finance Act, 2021
GST exemption for plant and machinery		Finance Act, 2024
Allowable free calls and data for promotions up to 15% of total billable. Unbilled calls are GST exempted.		Finance Act, 2024
Withholding tax relief on application for expatriates		Finance Act, 2024
Refinery		
• 5 years of corporate relief tax • 5 years of duty-free imports of equipment and machinery	• A minimum of USD 20 million investment • Employment of at least 50 nationals	Section 47, Finance Act, 2013
• Interest exemption on rehabilitation and decommissioning funds for extractive projects		Section 10(1)(b) and 28(1)(b) of the Extractives Industries Revenue Act
• Mining and petroleum companies are exempted from the Minimum Alternate Taxes		Finance Act, 2024
Agriculture		
5 years of duty-free import of agricultural inputs (fertilizers; pesticides; insecticides; seeds and seedlings; hybrid tree seeds; seed animal for feeding; day-old chicks; and animal semen)		Finance Act, 2013
100% exemption of income of a company incorporated in Sierra Leone derived from specified agricultural activity for a period of 10 years – 50% exemptions of dividends paid in that period.	Must be incorporated in Sierra Leone	Section 31 (1)(f)(2) & (3) and (g) of the Income Tax Act, 2000

Sector/incentive	Selected requirements	Legal basis
Poultry and livestock		
3 years of income tax exemption	A minimum investment of USD 50,000 for nationals and USD 500,000 for non-nationals	Finance Act, 2013
5 years of duty-free import of feeds, vaccine, and veterinary drugs		Finance Act, 2013
Fish farming		
5 years of exemption from income tax on income derived from the farming activity and 50% of dividends paid	Farms with at least 10 fish ponds and measuring at least 200 m ²	Finance Act, 2015
Energy		
3 years of duty-free import of assembling stoves and cookers; equipment for the production of LPG; photovoltaic system equipment and energy-efficient appliances that meet IEC global standards	- A minimum of USD 500,000 investment - Employment of at least 50 persons	Finance Act, 2011; Finance Act, 2016
5 years of corporate tax relief for businesses in the provision or supply of renewable energy from solar mini-grids in Sierra Leone, commencing from the later of date of registering first commercial production or 1 January 2021	Subject to tariff price requirements	Section 54 of Finance Act, 2021
Pharmaceuticals		
10 years of income tax relief	Manufacturing drugs, medical devices, and other health – related items according to WHO guidelines	Finance Act, 2011 Section 25, subsection (1))
	- A minimum of USD 500,000 investment - Employment of at least 50 persons	NRA Tax and Non-Tax Revenue Guide, 2022
10 years of duty-free imports of raw materials for drug manufacturing - Reduced duty rate of 3% for intermediate goods		Finance Act, 2011
Tourism		
5 years of income tax exemption (up to 150% of the original capital invested)	Hotels with a minimum of 10 ensuite bedrooms (50 bedrooms for hotels in the Western area)	Finance Act, 2011
Tax relief for the employment of expatriate staff for tourism development	Registered with the National Tourist Board	Finance Act, 2010
All tourism establishments registered with the National Tourist Board were eligible for income tax relief for the period of 1 January 2021—31 December 2023		Finance Act, 2021
5-year exemption for any Sierra Leone company that provides commercial passenger flights	Sierra Leone company	Section 31A of the Income Tax Act, 2000 and Section 6 of the Finance Act, 2016
PPP infrastructure projects		
15 years of income tax exemption	A minimum of USD 20 million in capital investment	Section 23 of the Finance Act, 2011
Duty-free import of plant, machinery, and equipment during the period of construction	Subject to an approved bill of quantities (excluding petroleum products)	Finance Act, 2011
Duty-free imports for a period of five years effective from the date of first import registration	Any person importing plant, machinery, or equipment for the manufacturing of paper bags, cotton bags, compostable bags, or any biodegradable plastic bag alternatives for his manufacturing business purpose and not resale	Finance Act, 2024

Source: Information provided by the authorities.

Table A3.2 Data on the use of each procurement method on an annual basis, 2018-21

Method of procurement used	2018		2019		2020		2021	
	Number of procurement activities	Value of procurement activities (SLE)	Number of procurement activities	Value of procurement activities (SLE)	Number of procurement activities	Value of procurement activities (SLE)	Number of procurement activities	Value of procurement activities (SLE)
International Competitive Bidding (ICB)	64	436.04	111	651.06	140	570.81	68	746.50
National Competitive Bidding (NCB)	191	151.95	482	356.27	428	166.58	831	662.46
Request for Quotation (RFQ)	4,957	100.19	5,741	170.15	5,177	148.81	5,480	281.24
Sole source	15	1.77	30	64.15	43	194.18	11	24.09
Restricted bidding	36	16.58	44	5.96	11	4.87	16	26.92
Others (Proforma invoice, Local Purchase Orders, direct purchase, etc.)	446	19.17	1,382	23.56	1,296	91.03	763	142.52
Procurement activities executed with no methods available							62	14.92

Source: Information provided by the authorities.